EMERGING AND DEVELOPING COUNTRIES: HOW WILL THEY WEATHER THE ENERGY SHOCK?

As in 2022, the energy shock will affect emerging and developing economies. Today, as in the past, this shock is a negative-sum game between importing and exporting countries. Furthermore, although this is basically a supply shock, central banks in emerging economies may tighten their policies if they need to counter downward pressure on exchange rates, in order to prevent inflation from rising too sharply. However, compared to 2022, there are mitigating factors: 1/ the absence of a shock to agricultural commodity prices so far; 2/ AI, which is an external growth driver for Asian countries in particular; and 3/ the Fed is expected to adopt a more accommodative stance than in 2022 in response to the anticipated rise in inflation. In terms of the solvency and liquidity of public finances and external accounts, emerging economies are no more vulnerable than in 2022. However, some developing countries still face vulnerabilities. The impact on energy balances is putting pressure on interest rates and exchange rates, although this pressure remains limited for now.

Almost exactly four years after Russia's military intervention in Ukraine in 2022, emerging economies will suffer the consequences of a new external shock of a similar kind: a spike in oil and gas prices combined with a disruption to supplies from the Gulf states. The stagflationary shock will depend on both the scale of the price rise and the duration of the conflict. Beyond a few weeks of tensions, what will be the impact on growth and inflation for emerging economies? How will their financial conditions be affected? Are emerging economies more or less vulnerable than they were in 2022?

A STAGFLATIONARY SHOCK

Whether the scenario entails a moderate but sustained rise in oil prices or a very sharp but temporary rise, macroeconomic simulations show that the negative impact on growth for netimporters far outweighs the positive impact for net-exporters countries. In the first scenario, there would be no positive impact for exporting countries whatsoever. Indeed, a commodity price shock is never a zero-sum game. As a matter of fact, in 2022, growth in emerging and developing countries reached 4.3% compared with 7% in 2021, whereas in October 2021 the IMF had forecast a slowdown of just 1.5 percentage points (from 6.4% to 5.1%).

Compared with 2022, there are three moderating factors. First, the spike in hydrocarbon prices has not spread to the prices of key agricultural commodities (wheat, maize, cotton, rice). Second, although Asian countries are experiencing direct impacts from supply disruptions, , they are benefiting more than other EMs from the development of artificial intelligence. Such a growth driver did not exist in 2022. Third, even if inflation picks up again, monetary tightening in the United States on a scale comparable to that of 2022 is unlikely.

However, three risk factors are worth mentioning. First, hydrocarbon prices have driven up the costs of petroleum-derived materials used in fertilisers. This poses a risk that these increased costs will spread to agricultural commodity prices through the rising cost of production inputs. Second, if the conflict were to drag on, supply disruptions would affect all sectors of activity in Asia, where, with the exception of China, crude oil stocks do not exceed two months, and even less in Africa (in South Africa, the ratio is just two weeks). Third, faced with rising inflation and pressure on exchange rates, central banks in emerging economies may opt to tighten their monetary policies.

The initial adverse effect on inflation will stem from various factors that may partly offset one another. However, unlike the impact on growth, the rise in energy costs is likely to affect both exporters and importers.

The direct impact on inflation will depend on: i) the share of energy in price indices; ii) fluctuations in the exchange rate relative to the US dollar; and iii) the introduction (or strengthening) of mechanisms to mitigate the rise in energy prices for consumers or producers. Furthermore, the overall effect of the shock will be determined by its spillover to the broader price level: it will be more significant the higher the inflation rate and/or the further along the economy is in the economic cycle.

For emerging economies, the share of energy in consumer price indices varies from 7% to 13%. The direct impact of rising hydrocarbon prices would therefore be quite substantial[1].

Most emerging economies have reached the intermediate phase of their business cycle. They are therefore neither at the lowest nor at the highest point of the cycle (output gaps are either moderately positive[2] or moderately negative). The spillover effects on overall prices would not be exacerbated by an overheating situation. Furthermore, exchange rate depreciation remains contained (median of -1.5% against the USD since 27 February). Finally, many countries have mechanisms in place to limit price rises (China) or are reintroducing compensation systems through tax cuts or increased subsidies (Croatia, Hungary, Indonesia, Türkiye). Some countries have even introduced rationing measures to limit fuel consumption. These compensatory measures will mitigate the negative impact of the shock on inflation and household consumption, albeit at the expense of a deterioration in public finances or to the detriment of refining companies.

OVERALL, FINANCIAL CONDITIONS REMAIN LARGELY UNAFFECTED

The shock has put pressure on domestic interest rates. In Asia, the rise has been moderate (35 basis points [bp] or less, except for the Philippines (+70 bp). It has also been moderate in Brazil and Mexico (+40 bp). The countries most affected are those in Central Europe and South Africa, with rises of between 55 and 70 bp (with Hungary at the higher end) and, above all, Türkiye at +135 bp. The markets are therefore anticipating a surge in inflation, followed by a faster tightening of monetary policy than in Asia, mirroring trends observed in 2022.

1 For instance, Türkiye exhibits all the characteristics of an economy that is highly sensitive to energy price shocks. Its central bank estimates that a sustained increase in oil prices of 10% would result in an additional 1 percentage point (pp) of inflation within a year. Estimates by local economists range from 4 to 6 pp, based on assumptions that the price of Brent crude will stabilise at USD 85 or USD 100 for at least a year, even taking into account the mechanism designed to cushion price rises, which is very generous to consumers (up to 75%).

2 With the exception of Asian countries that are benefiting from the AI boom, such as Taiwan.

Türkiye has been the most impacted because of the significant structural exchange rate pass-through[3] and the contagion effect on other prices.

By contrast, risk premiums have reacted very little, including for the Gulf countries, with the exception of Bahrain[4]. In those countries where risk premiums have risen, CDS spreads have typically widened by less than 15 basis points[5]. During the first two months of the year, governments successfully issued international debt without facing significant challenges. However, the risk of a flight to quality cannot be ruled out, as portfolio investments remained significant until February 2025.

THE VULNERABILITY OF EMERGING AND DEVELOPING COUNTRIES COMPARED WITH THE PREVIOUS SHOCK OF 2022

The vulnerability of emerging economies to external shocks is gauged by the creditworthiness of their governments and the resilience of their external accounts. However, are emerging and developing countries more vulnerable than they were in 2022?

Sovereign solvency has deteriorated only marginally

In a sample of 43 emerging economies (including industrialised Asian countries and Central European eurozone members and excluding Ukraine), public debt-to-GDP ratios rose by 5 percentage points, or even more in 25% of cases. However, the interest burden relative to income has risen significantly in only six countries (by 5 percentage points or more). In a strict sense, the creditworthiness of governments has deteriorated only marginally, despite the rise in indebtedness.

Furthermore, although non-resident portfolio investment flows remain strong, the share of local currency sovereign debt held by non-residents has declined since 2022 in most countries. Exposure to exchange rate risk has also fallen, with foreign currency debt (as a percentage of GDP) having risen by more than 5 percentage points of GDP in only five countries, which may account for the moderate increase in CDS spreads.

Based on these indicators, Egypt and Pakistan emerge as the most vulnerable countries in our sample. Egypt's vulnerability stems from a sharp increase in its debt burden, which absorbs more than half of the country's revenue. Pakistan's situation is similarly precarious due to an increase in the interest burden, coupled with a possible rise in subsidies that could jeopardise IMF support.

In Argentina, public finances remain the weak link among emerging economies. This is not due to a deterioration in the government's creditworthiness – quite the contrary – but because of insufficient foreign exchange reserves relative to the repayment of its US dollar-denominated debt (a dollar liquidity issue).

The risk of default associated with a deterioration in creditworthiness mainly affects low-income countries. Indeed, these countries have often seen a sharp rise in their public debt, including foreign-currency debt, resulting in a surge in interest payments (which were already high in 2022). This situation is evident in Bangladesh, Nigeria and, in particular, Senegal.

Resilience of external accounts, except for low-income countries in deficit

At first glance, the resilience of a country's external accounts depends on the magnitude of the shock's impact on the energy balance, the size of the energy balance itself, as well as the size of the current account deficit and the foreign exchange liquidity available to central banks.

For the emerging economies in our sample, energy balances (oil, gas and petroleum products) are in deficit in Central Europe and Türkiye (between -1.5% and -3.6% of GDP), but also in Asia (between -1.4% and -5.9% of GDP). Assuming a conservative estimate of a 40% average rise in hydrocarbon prices this year compared with the 2025 average (with the price per barrel held at USD 100), the increase in the energy bill would amount to between 0.8 and 2.3 percentage points of GDP for Asian countries, and between 0.5 and 1 percentage point of GDP for Central European countries and Türkiye. However, for countries with the highest energy balance deficits, current account balances are either in surplus (South Korea, Thailand) or below the 5% of GDP warning threshold (which is the case for most Central European countries, with Romania being the notable exception). In our sample of 43 countries, the percentage of countries with a current account deficit of 3% or more is the same in 2025 as in 2022. In Latin America, the energy balance is even in surplus in Argentina, Brazil and Colombia, while the deficits in other countries are relatively minor.

The foreign exchange reserves held by central banks in emerging markets were generally higher at the end of 2025 compared to the end of 2022. When considering the months of imports of goods, services and other current payments, these reserves have, at best, remained stable. However, as a general rule, the ratios exceed five months.

For emerging economies, the risk of a balance of payments crisis associated with a spike in energy costs is, in principle, low. Nevertheless, Argentina, Egypt, Pakistan and Ukraine require support from financial institutions and major international banks to service their external debt. Pakistan is particularly vulnerable due to its foreign exchange reserves being insufficient from this viewpoint. Conversely, for countries with a high current account deficit, the rising energy bill may exert downward pressure on their exchange rates.

Low-income countries are more vulnerable to the energy price shock, either because their energy deficit is very high (Cambodia, Laos) or because their foreign exchange reserves are insufficient relative to their external debt servicing requirements (Sri Lanka). Furthermore, many sub-Saharan African countries rely heavily on imports from Gulf states and have no oil reserves of their own.

François Faure

3 Currently, the Turkish lira has held up better than Central European currencies (-0.4% against the US dollar since 27 February) due to interventions by the Central Bank. However, the pass-through coefficient stands at 0.4, in contrast to the range of 0.1 and 0.2 for the main Central European countries and South Africa.

4 Except for Bahrain (+35bp).

5 Alongside Bahrain, the other exceptions are Egypt (+46bp), Argentina and Türkiye (+25bp each).

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WAR IN THE GULF

UNITED STATES

Prolonged conflict, rising economic costs and risks. Attacks against and from Iran are continuing, accompanied by escalating rhetoric including explicit threats against oil infrastructure (from both sides). France and Italy are reported to have begun talks with Iran with a view to reopening the Strait of Hormuz. Türkiye and India have negotiated the safe passage of a number of ships. Nevertheless, production continues to decline and shortages of petroleum products, fertilisers and byproducts are emerging, affecting the chemical industry in Europe and Asia. The US has suspended its sanctions on Russian oil for 30 days (the EU and the UK have kept theirs in place), but this has not prevented oil prices from rising, share prices from falling, and bond yields and the dollar from appreciating (see below and the Market Review). The prospect of oil tankers being escorted by the US Navy, or even an international coalition as requested by President Trump, is still remote. Therefore, experts are revising their oil price forecasts upwards (see below). Against this backdrop, central banks, which are meeting this week, will likely adopt a highly vigilant stance on inflation risks, even if most of them will not take immediate action.

ADVANCED ECONOMIES

UNITED STATES

International trade: On the tariffs front, Section 301 will replace Section 122 this summer. The administration is launching investigations, due to be completed in July (when the 10% blanket tariff expires), under Section 301 of the Trade Act of 1974, targeting partners with "unfair trade practices". One investigation covers 16 countries (including China, the European Union, Japan and Mexico) for "structurally excessive manufacturing capacity and output", and another covers 60 countries (including the 16 already mentioned) for "forced labour". However, the EU is reported to have received assurances from the Trump administration that the agreement reached last summer will be honoured.

Overly high inflation, with growth forecasts revised downwards. The headline and core CPI indices remained at +2.4% and +2.5% year-on-year, respectively, in February. Energy and food prices have been pushing figures up, whilst housing and used car prices are continuing to fall. In the PCE index, headline inflation fell (-0.1 pp to +2.8% y/y) in January, in contrast to core PCE (the measure favoured by the Fed), which rose to +3.1% y/y (+0.1 pp). Growth for Q4 2025 has been revised downwards to +0.7% on an annualised quarter-on-quarter basis (following +4.4% in Q3), weighed down by non-residential investment and an ultimately negative contribution from foreign trade. In February, existing home sales returned to their November 2025 level (4.1 million in annualised terms) following the volatility of December–January. Household confidence (University of Michigan), with half of the responses collected after the start of the war in Iran, fell to 55.5 (-1.1 m/m) in March after four months of improvement. The expectations component (54.1, -2.5 points) accounts for the decline. One-year inflation expectations remained unchanged (3.4%). A federal court has blocked the Department of Justice's lawsuit (which will be appealed) against Fed Chair Jerome Powell, on the grounds that the "the government has produced essentially zero evidence to suspect Chair Powell of a crime". Coming up: FOMC rate decision and quarterly projections (Wednesday), industrial production (Monday) and PPI (Wednesday).

EUROZONE / EUROPEAN UNION

European Union: Seeking ways to cushion the impact of the energy crisis. Ursula von der Leyen presented a series of measures to MEPs, including long-term supply contracts, targeted state aid and gas price caps. She is also advocating maintaining the ETS carbon quota system. These measures are expected to be determined at the European Council on 19 March as part of the "One Europe, One Market" roadmap. A plan dedicated for developing small modular reactors (SMRs) for commercial use by the early 2030s was also presented (which is expected to mobilise EUR 200 million from the Innovation Fund), along with a new Infrastructure Fund for the transition to a low-carbon economy (the EIB will provide EUR 75 billion over three years). The finance ministers of the six largest EU countries have proposed creating a single supervisory body for European financial markets. Coming up: presentation of the 28th regime (Wednesday), European Council and presentation of the "One Europe, One Market" roadmap (Thursday and Friday).

Eurozone: Bond yields at their highest since 2010. The German 10-year yield reached 2.96% on 13 March. Yield spreads are widening, reaching 68 basis points for France (+10 basis points since early March) and 80 basis points for Italy (+17 basis points since early March). Industrial production fell again in January (-1.5% m/m). Coming up: inflation (Tuesday), labour costs for Q4 2025 (Wednesday), ECB meeting and new macroeconomic projections (Thursday), and January current account (Friday).

- **France: Growth remains steady.** According to Banque de France (BdF), growth stood at 0.2–0.3% for the 1st quarter (0.3%, according to our nowcast, link to the scenario page), driven by manufacturing and market services. This survey does not yet show any impact from the shock to energy prices (which, according to BdF, could affect growth at the end of the quarter). France recorded a current account surplus in January (EUR 2.1 billion). The surplus in services remains stable (EUR 4.7 billion) and the deficit in goods is narrowing (EUR -2 billion), supported in particular by defence exports (EUR +750 million y/y, half of the defence export gain for the whole of 2025). The government is considering how to limit the rise in fuel prices, by capping fuel retailers' margins in particular.
- **Germany: Strong exports to the US are offsetting weak domestic demand. In January, the trade surplus stood at EUR 21.2 billion (the highest since August 2024).** Imports fell (-5.9% m/m, the lowest level since November 2024), highlighting the weakness of domestic demand. Exports fell (-2.3% m/m), including those to the EU (-4.8%) and China (-13.2%), whilst sales to the US surged (+11.7%).
- **Italy: Manufacturing output fell in January** (-1.9% y/y), dragged down by the chemicals and petroleum-refining sectors. The drop in producer prices (-1.6% y/y) is moderating due to a rise in energy prices (+2.7% q/q). Coming up: January foreign trade figures (Friday).

JAPAN

Prepared to face the energy shock. The government has announced that it will release 45 days' worth of oil reserves from Monday 16 March (80 million barrels), whilst over 90% of supplies come from the Middle East. The BoJ stands ready to intervene in the markets if volatility erupts or if there is an excessive weakening in the yen, which has depreciated over the past month (with USD/JPY at its lowest since 2024), falling to 159.46 on 13 March from 152.68 on 14 February. GDP growth was revised to +1.2% q/q (annualised rate) in Q4 2025 (+1 pp), driven by non-residential investment and public spending. In January, real wage growth was positive (+1.4% y/y) for the first time since December 2024, supported by scheduled contractual wage increases (+0.9 pp to +2.1% y/y). Coming up: BoJ meeting.

UNITED KINGDOM

While GDP stagnates, bond yields rise sharply. GDP remained flat month-on-month in January (+0.8% year-on-year), with construction (+0.2%) offsetting the decline in industrial production. The trade balance recorded

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a surplus in January (GBP +3.6 bn vs. GBP -4.4 bn in December), supported by exports (+7.2% m/m) of machinery and equipment and chemicals, in particular. The 10-year government bond yield peaked at 4.81% on Thursday, the highest since 2010, when it stood at 4.86%.

Coming up: January unemployment and wage figures (Tuesday), and BoE meeting (Thursday).

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Gulf countries: Widespread shock, with varying impacts. Stock market movements reflect the degree of vulnerability of Gulf countries to the consequences of the conflict. The Abu Dhabi and Dubai markets are by far the hardest hit (-11% and -15% since 27 February), whilst Saudi Arabia and Oman's markets are holding up better. For these latter two countries, oil remains a mitigating factor. Saudi Arabia, in particular, has the capacity to bypass the Strait of Hormuz via the Red Sea, accounting for 60–65% of its total exports. Furthermore, reports suggest an upcoming review of the asset portfolios of several sovereign wealth funds, likely with a view to supporting the macroeconomic stability of these countries.

ASIA

Currencies are holding up well. Since 27 February 2026, currency depreciation against the USD has ranged from 0.8% in Vietnam (spot rate) to 3.4% in the Philippines.

Some countries have adopted regulatory measures or incentives to limit fuel consumption (remote working in Thailand, the Philippines and Vietnam, and diesel rationing in Bangladesh and Pakistan) **and to mitigate the impact of rising oil prices on households.** Indonesia has announced an increase in subsidies, and Taiwan has introduced mechanisms to cushion the rise in fuel prices. Taipei has also confirmed that the country's energy reserves are above the legal thresholds (90 days' worth of oil, 11 days' worth of natural gas and 30 days' worth of coal).

China: The 15th Five-Year Plan, adopted on 12 March, focuses on industry, high technology and science. Beijing's objectives include continuing to move up the value chain in the manufacturing sector, leveraging AI to boost productivity gains and winning the "battle for future technologies". The rise in household consumption is not central to Beijing's economic strategy. It is, however, one of the plan's objectives. **The authorities are implementing measures to limit the rise in fuel prices at the pump**, notably by controlling the selling prices of state-owned refineries. China is also reported to have halted its exports of refined products (around 8% of its domestic production). **Economic data for the first two months of 2026 point to an acceleration in growth**, with a rebound in retail sales (+2.8% year-on-year in value terms in January–February 2026, following +1.7% in Q4 2025) and investment (+1.8% in January–February, following a decline in Q4 2025), as well as a sharp rise (of over 20% year-on-year in value terms) in exports and imports of goods (compared with +3.7% and +2.8% year-on-year, respectively, in Q4 2025). This rise is mainly driven by the significant increase in trade in microchips and to base effects.

EMERGING EUROPE

Central Europe: Inflation fell in February, with regional variations. Inflation was below 2% year-on-year in Hungary (1.4%) and the Czech Republic (1.6%). In Poland, it was just over 2% (2.1% year-on-year), whilst it remained very high in Romania (9.3% year-on-year after 9.6% in January). The conflict in the Middle East is likely to lead to an uptick in inflation and prompt caution around monetary policy. The prospects for easing are fading, with central banks in the region expected to opt for a status quo in the coming months.

Hungary has already introduced a cap on fuel prices at the pump (19.25 forints per litre for petrol and 20.48 forints per litre for diesel).

Central European currencies remain resilient. Over the past week, movements have been relatively limited. The Polish zloty has even appreciated (by +0.2% against the EUR), thereby limiting the losses recorded since 27 February. In the region, the Czech koruna, the Polish zloty and the Romanian leu have been the least affected (CZK/EUR: -0.8% since 27 February, PLN/EUR: -1.1%, RON/EUR: 0%, and HUF/EUR: -4.2%).

Türkiye: The government has activated the mechanism to offset rising fuel prices by reducing excise duties (eşel-mobil or sliding scale) on fuels. The mechanism is designed to offset up to 75% of the rise in pump prices for petrol, diesel and LPG. On 12 March, the central bank kept its key policy rate (the one-week repo rate) at 37%, as well as the corridor range for other key policy rates (35.5%–40%). Over the past week, the pound has remained almost stable against the dollar (-0.1%). Since 27 February, it has depreciated by just 0.4% and appreciated by 2.1% against the euro. By contrast, the yield on 10-year government bonds remains around 30%, compared with 28% at the end of February.

LATIN AMERICA

The impact of the war in the Middle East is less severe than in other emerging regions. Direct risks are limited (only a marginal proportion of hydrocarbon imports comes from Gulf countries) and several countries (Argentina, Brazil, Colombia and Ecuador) have a surplus on their energy trade balance. Since 27 February, the most affected currencies have been those of net oil-importing countries: Uruguay (-4.4% against the USD), Chile (-3.8%), Mexico (-3.5%) and Peru (-2%). Peru is also a net exporter of gold, which could partially offset the increase in hydrocarbon imports. Among net hydrocarbon-exporting countries, the Colombian peso has appreciated by 2.1% and the Argentine peso by 1.2%. By contrast, the Brazilian real has depreciated by 1.6%.

COMMODITIES

The war in Iran and the closure of the Strait of Hormuz are disrupting oil supply chains. The International Energy Agency (IEA) estimates that Gulf countries have reduced their total oil production by at least 10 million barrels per day (8 mb/d of crude oil and 2 mb/d of condensates and NGL). The region's refining capacity has also been affected, with an estimated loss of over 3 mb/d of capacity. As a result, the IEA estimates that global oil supply is set to fall by 8 mb/d (around 8% of global supply) in March.

Furthermore, the alternative routes around the Strait that were not previously exposed to the conflict, are now being targeted by Iran, with an Omani port evacuated and operations suspended for several hours on 12 March. Although other routes are still operating, they are being avoided by ships and oil tankers (such as the Fujairah terminal in the UAE). Disruptions in the oil market are expected to continue.

The US EIA has significantly revised its forecast for the price of Brent in 2026 upwards to USD 79 per barrel (+37% compared to the February 2026 estimate) and forecasts Brent to exceed USD 95 per barrel for the next two months.

This weekend's attacks on Fujairah and Kharg Island (from where 90% of Iran's exported oil is shipped) and the ongoing conflict are weighing on Brent crude, which reached USD 106 per barrel on Monday morning (up 3% from its previous close).

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	13/03/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2,38	+12,5	+39,2	+29,3	+20,7
Bund 5Y	2,60	+10,3	+29,8	+13,3	+15,4
Bund 10Y	2,86	+21,7	+1,8	+0,5	+3,3
OAT 10Y	3,51	+29,2	+6,3	-5,4	-3,1
BTP 10Y	3,73	+16,6	+42,8	+23,7	-8,0
BONO 10Y	3,39	+13,6	+29,9	+14,0	-1,3
Treasuries 2Y	3,75	+17,2	+33,3	+27,3	-22,7
Treasuries 5Y	3,87	+13,9	+26,2	+14,4	-16,0
Treasuries 10Y	4,28	+20,1	-6,8	-2,9	-14,0
Gilt 2Y	4,13	+26,4	+50,8	+37,7	-5,4
Treasuries 5Y	4,34	+22,0	+39,4	+49,4	+3,9
Gilt 10Y	4,83	+19,8	34,0	+27,9	+14,8

Currencies & Commodities

	Level	Change, %			
	13/03/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1,14	-1,6	-1,7	-1,1	+7,7
GBP/USD	1,32	-0,9	-2,8	-1,6	+2,3
USD/JPY	159,57	+1,3	+4,2	+1,8	+8,0
DXY	100,36	+1,4	+3,6	+2,1	-6,5
EUR/GBP	0,86	-0,3	-0,7	-1,0	+3,1
EUR/CHF	0,90	+0,1	-0,9	-2,9	-5,9
EUR/JPY	182,61	+0,1	+0,6	-0,8	+13,9
Oil, Brent ($/bbl)	102,68	+28,7	+37,0	+53,3	+34,3
Gold ($/ounce)	5032	-2,2	+0,7	+16,4	+68,9

Equity Indices

	Level	Change, %			
	13/03/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4330	-1,8	-4,0	-2,3	+20,3
North America					
S&P500	6632	-1,6	-3,0	-3,1	+20,1
Dow Jones	46558	-2,0	-5,9	-3,1	+14,1
Nasdaq composite	22105	-1,3	-2,0	-4,9	+27,8
Europe					
CAC 40	7912	-1,0	-4,8	-2,9	-0,3
DAX 30	23447	-0,6	-5,9	-4,3	+3,9
EuroStoxx50	5717	-0,1	-4,5	-1,3	+7,3
FTSE100	10261	-0,2	-1,8	+3,3	+20,1
Asia					
MSCI, loc.	1770	-2,2	-4,6	+4,8	+27,7
Nikkei 225	53820	-3,2	-5,5	+6,9	+46,3
Emerging					
MSCI Emerging ($)	1469	-2,0	-5,5	+4,6	+32,9
China	79	+0,4	-4,3	-4,0	+5,8
India	921	-5,7	-10,1	-13,0	-0,4
Brazil	1834	-0,9	-6,3	+11,4	+43,8

Performance by sector

Eurostoxx600

Year 2026 to 13-3, €

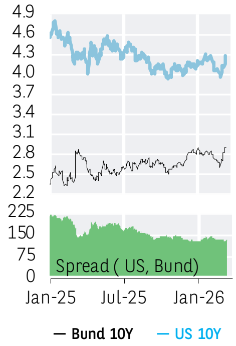
+25,9%	Oil & Gas
+19,4%	Telecoms
+14,9%	Utilities
+10,6%	Commodities
+3,8%	Food industry
+3,7%	Chemical
+2,4%	Industry
+1,7%	Technology
+0,6%	**Eurostoxx600**
+0,4%	Real Estate
-1,9%	Health
-4,8%	Construction
-5,1%	Retail
-5,4%	Insurance
-6,0%	Financial services
-6,5%	Banks
-10,7%	Travel & leisure
-13,7%	Media
-15,3%	Consumption Goods

S&P500

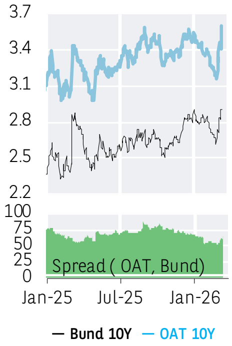
Year 2026 to 13-3, $

+28,3%	Energy
+14,4%	Retail
+14,3%	Telecoms
+9,4%	Capital Goods
+9,4%	Utilities
+8,5%	Food, Beverage & Tobacco
+7,5%	Materials
+0,6%	Semiconductors
-0,3%	Pharmaceuticals
-2,4%	Tech. Hardware & Equip.
-3,1%	**S&P500**
-4,7%	Media
-5,0%	Consumer Services
-6,1%	Insurance
-7,0%	Commercial & Pro. Services
-7,3%	Consumer Discretionary
-8,8%	Healthcare
-12,5%	Bank
-12,8%	Automobiles
-23,7%	Real Estate

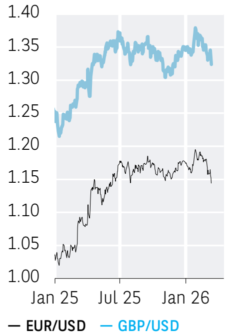
Bund 10Y & US Treas. 10Y



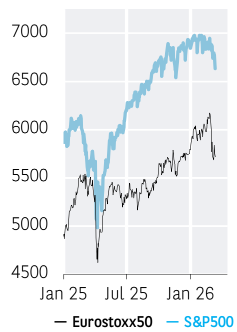
Bund 10Y & OAT 10Y



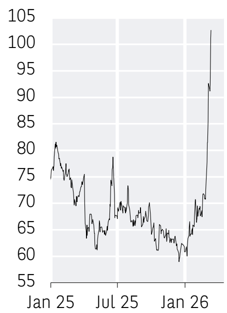
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)

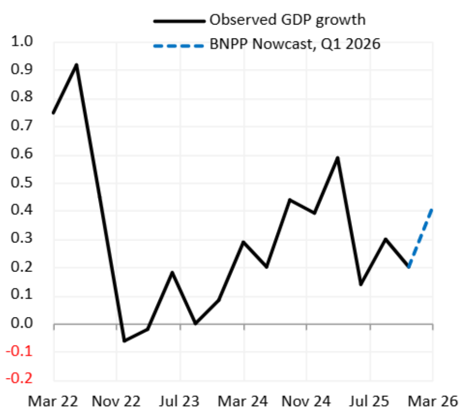
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 16 March 2026

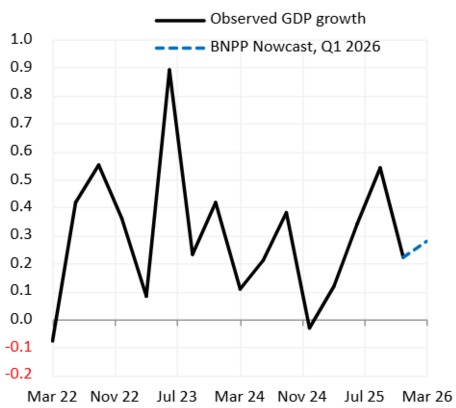
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



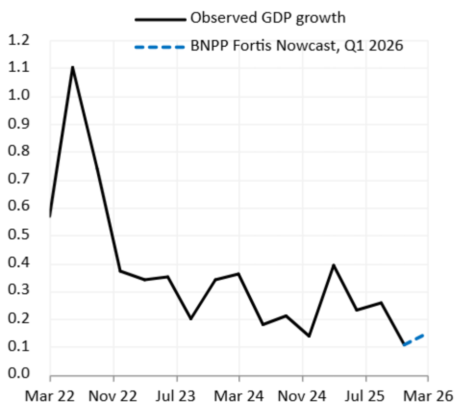
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry and an improvement in wholesale trade.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the Nowscast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2,8	2,1	2,9	2,0	2,9	2,7	3,0	2,7
Japan	0,1	1,2	0,8	0,9	2,7	3,1	1,9	2,5
United Kingdom	1,1	1,3	1,0	1,3	2,5	3,4	2,4	2,2
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4.7	4.5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	3,8	3,8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 16 March 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Q1	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.25	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.00	2.00	2.00	2.50
	Bund 10y	2.90	3.00	3.05	3.10	-
	OAT 10y	3.55	3.65	3.80	3.87	-
	BTP 10y	3.50	3.58	3.70	3.75	-
	BONO 10y	3.35	3.42	3.50	3.55	-
UK	Base rate	3.50	3.50	3.50	3.50	3.00
	Gilts 10y	4.50	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	1.90	2.00	2.05	2.10	-

Exchange Rates		2026				2027
End of period		Q1	Q2	Q3	Q4	Q4
USD	EUR / USD	1.17	1.18	1.19	1.20	1.22
	USD / JPY	157	158	159	160	160
	GBP / USD	1.31	1.31	1.31	1.30	1.33
EUR	EUR / GBP	0.89	0.90	0.91	0.92	0.92
	EUR / JPY	184	186	189	192	195

Brent		2026				2027
Quarter Average		Q1	Q2	Q3	Q4	Q4
Brent	USD/bbl	55	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy)
Last update: 02/02/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

Due to the war in the Gulf, the risks surrounding our scenarios are skewed downward with respect to growth and upward with respect to inflation.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.9%, a yearly improvement (+2.1% in 2025). This apparent resilience to uncertainty and tariff shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.0% in 2026) until at least the end of 2027 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth reached 5.0% in 2025, like in 2024, and is projected to decelerate very moderately in 2026. Domestic demand weakened in the last quarter of 2025, with a contraction in investment and a slowdown in retail sales growth, but then rebounded in the first two months of 2026. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, and the strengthening of private consumption is one of their priorities. However, the central bank and the government will continue to implement cautious policy measures. Export growth performance remains strong, with the fall in sales to the US being offset by the increase in exports to the rest of the world. In the short term, Chinese goods are expected to remain competitive. Deflationary pressures persist. They might decline in 2026, partly thanks to higher global oil prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. The EU-US trade agreement remains precarious and tensions with China are mounting, creating uncertainty around our forecasts. Inflation is expected to remain below the 2% target in 2026. Stronger economic activity will lead to a progressive acceleration in inflation in 2027, albeit a moderate one. This would lead the ECB to increase the policy rate in H2 2027, bringing the deposit facility rate to 2.5%.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Activity is expected to slow slightly in 2026, to 1.1% due to unfavourable carryover effect, after a +1.4% GDP growth in 2025. Despite downside risks in the labour market and difficulties in industry, quarterly growth is expected to return to a higher and more stable pace in 2026 (+0.3% q/q on average) thanks to monetary easing. Increased defence spending in the United Kingdom and Europe will also support GDP, while downside risks related to trade tensions are mitigated by the agreement with the United States. Inflation would only return to target very gradually, and monetary policy would remain restrictive, despite a new rate cut in Q1 2026, bringing the Bank rate down to 3.5%. With inflation falling more sustainably towards the 2% target, a new phase of normalization would begin, with two further rate cuts in H1 2027.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +11% and is expected to slow to +0.6% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

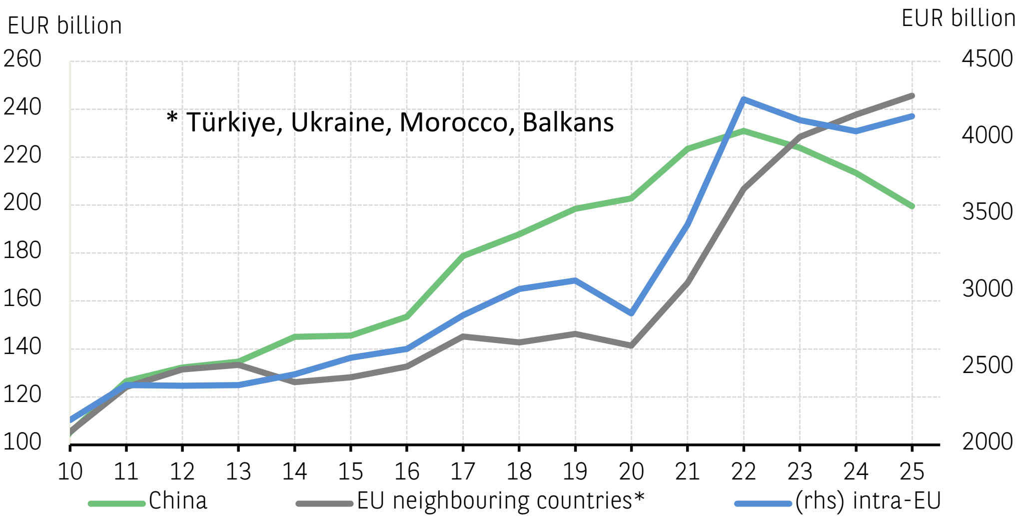
CHART
OF THE WEEK

11 March 2026

THE EUROPEAN 'NEIGHBOURHOOD': AN IMPORTANT GROWTH DRIVER FOR EU EXPORTS

Guillaume Derrien

EUROPEAN UNION EXPORTS



SOURCE: EUROSTAT, BNP PARIBAS

Fewer exports to China… Market opportunities in China are shrinking dramatically due to the country's shift towards higher-end products and its import substitution policy. 2025 marked an unprecedented turning point in this regard: European exports to China fell by 14% in nominal terms and by 10.2% in volume, as the country's share of total EU exports (7.5%) reached its lowest level in nearly fifteen years.

… but more exports between European partners and neighbours. European exports outside the EU area, however, grew in 2025, posting a nominal increase of 2.0%, alongside a rebound in intra-zone trade (up 2.5%). Strong demand in the pharmaceutical sector led to a resurgence in exports to Switzerland (+13.5%). At the same time, European exporters have been exploring alternative markets in their immediate vicinity since 2020, and increased access to these markets is now timely. Türkiye, Morocco, Ukraine and the Balkans[1] are capturing a growing share of European exports. A pivotal moment was reached in 2023, when the total exports to these countries exceeded those to China[2]. This bloc now accounts for nearly 10% (9.4% in 2025) of total EU exports, excluding intra-zone trade.

The machinery and equipment sector is benefiting most from this trend (despite experiencing a sharp decline in its markets in China). These developments are closely linked to rising European investment in these countries, which are therefore eligible for EU funding (notably from the European Investment Bank or, in the future, under *Readiness 2030*).

A structural reinforcement that is set to increase. Economic ties between the EU and its neighbours are strengthening: trade in goods (total exports and imports combined) has reached 8.5% of the EU's overall trade, excluding intra-zone trade. This shift in European trade patterns is structural and reflects the industrial transformation of these countries, which are becoming increasingly integrated in the European value chain. Türkiye and Morocco are importing more intermediate goods from the EU and re-exporting more finished goods back to the EU, particularly in the automotive sector. For Ukraine, the dynamics are different. However, current demand for equipment, particularly military equipment, along with the demand that is expected during reconstruction, will bolster European exports. The Balkan countries, meanwhile, are benefiting from the EUR 6 billion European Growth Plan and greater integration into the EU single market.

These growth drivers for European companies are set to strengthen in the coming years, with initiatives aimed at relocating some industrial activities closer to the European market (nearshoring). This trend is anticipated to develop in tandem with the expected strengthening of intra-EU trade, driven by increased investment efforts. It should also benefit those who qualify for access through the advancement of European preference policies, which are central to the Industrial Accelerator Act introduced by the European Commission on 4 March.

Guillaume Derrien
guillaume.a.derrien@bnpparibas.com

1 Includes Serbia, Albania, Montenegro, Bosnia and Herzegovina, North Macedonia and Kosovo.
2 Specifically, between 2019 and 2025, EU exports grew by 68% to Türkiye, 58% to Morocco, 92% to Ukraine and 57% to the Balkans.

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d'un monde
qui change

DEPLOYMENT OF AI: INITIAL FEEDBACK

Although artificial intelligence (AI) has been around for a long time, its widespread use in the world of work, particularly in the service sector, is a new phenomenon that raises many questions. Which sectors or professions will be affected? Which others will benefit? Will the expected productivity gains materialise? Observing trends in the United States, where it all began, already provides some answers.

Will artificial intelligence (AI) change the destiny of humanity, as James Watt's steam engine (1763) and Thomas Edison's light bulb (1879) did in their day? Of course, nothing is predetermined, and the annals of science are filled with promises that are at times overstated, and at other times unmet. Nevertheless, one would have to be quite detached from the realities of the world to overlook the fact that the digital wave currently sweeping across it is on a scale unprecedented since the advent of the internet, that no economic player can escape it, and that its consequences will be significant.

Rather than being a disruption, the emergence of AI in homes and businesses is the ultimate manifestation of a frantic race for computing power, which is also a race towards the infinitely small. In 2026, the engraving precision of the most advanced integrated circuits, produced by the Taiwanese company TSMC[1], is reduced to an astonishing size of 2 nanometres, or a thirty-five thousandth the thickness of a human hair. Capable of executing hundreds of millions of operations per second, the chips that fill data centre cabinets are scanning the universe of human knowledge and interactions with greater speed and precision, as long as they leave a digital trace.

As a result, AI has evolved beyond merely performing complex analytical tasks based on a predefined program; in its "generative" and "agentic" forms, it is now capable of improving its performance, assimilating instructions in real time, creating content (whether textual, visual or audio), making independent decisions and using natural language. Given these advancements, the question is no longer whether, but when and to what extent, certain professions or sectors will be impacted.

IMMEDIATE IMPACT ON EMPLOYMENT AND PRODUCTIVITY: INSIGHTS FROM THE UNITED STATES

In the United States, where it all began, the deployment of AI is already having a very real impact on the labour market[2]. Remarkably, employment trends began to change in 2023, coinciding with the introduction of the first pre-trained generative language models (GPTs) on personal and office computers. The most notable shifts were observed in information and communication technologies (ICT), administrative services, retail, and manufacturing, where robust business performance did not prevent a reduction in the workforce (*Chart 1.A*). In these sectors, tasks such as mechanical assembly, computer programming, data entry, invoice processing, first-level technical support, quality control and customer e-mailing were increasingly being taken over by machines.

AI consumes a lot of resources, including electricity, but also water for metal refining and data centre cooling. Consequently, it had a positive effect on employment in sectors such as energy, infrastructure and distribution networks (utilities). In light of these developments, stock market valuations have diverged significantly. American technology companies considered the primary beneficiaries of AI, particularly the "magnificent seven" (Apple, Microsoft, Amazon Web Services, Alphabet, Meta, Nvidia and Tesla), have seen a threefold increase in their market capitalisation in just three years.

1 TSMC: Taiwan Semiconductor Manufacturing Company. See Les Echos (2025), TSMC launches mass production of 2-nanometre chips, December.
2 See Bensaidani, A. (2026), [AI in the United States: growth without jobs?, BNP Paribas Economic Research, EcoTV, February.]

UNITED STATES: EMPLOYMENT'S ANNUAL GROWTH RATE

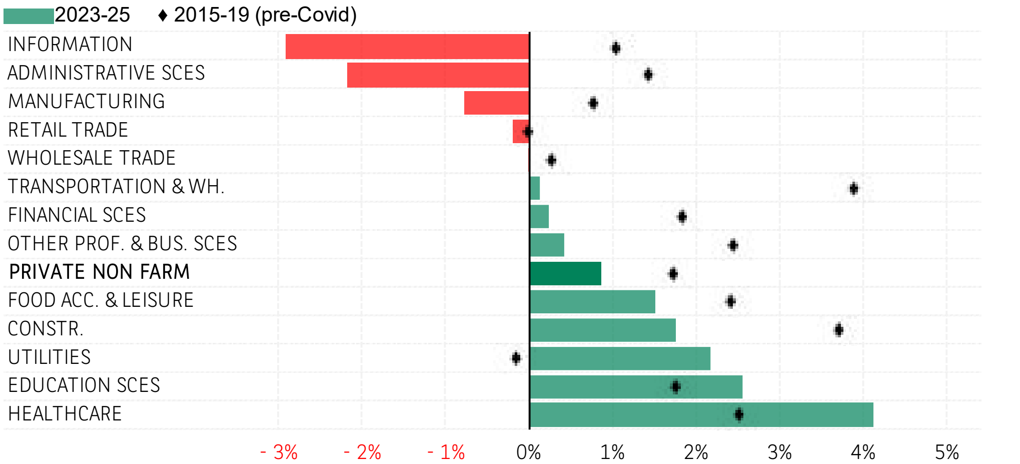

CHART 1.A

SOURCE: US BUREAU OF ECONOMIC ANALYSIS, BNP PARIBAS

UNITED STATES: PRODUCTIVITY PER HEAD'S ANNUAL GROWTH RATE

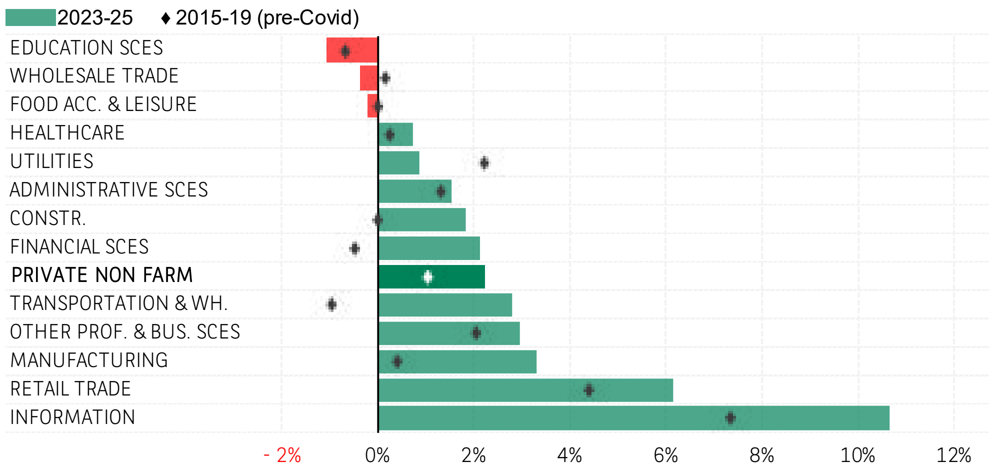

CHART 1.B

SOURCE: US BUREAU OF ECONOMIC ANALYSIS, BNP PARIBAS

Is this justified? In 1987, as the world was becoming computerised, economist Robert Solow playfully remarked that computers were everywhere except in productivity statistics. Today, those statistics have something to say. A comparison of employment and value-added data by sector in the United States confirms the significant gains made in the ICT sector: per capita productivity growth has exceeded 10% per year since the deployment of the latest generation of AI, compared with 7% during the pre-Covid period, which was already high (*see Chart 1.B*). With the exception of administrative services, the productivity leap is also impressive in the previously identified sectors of retail and manufacturing. Ultimately, the entire economy is being driven forward. Although it was expected to slow down due to rising interest rates and customs tariffs, US growth has continued to defy forecasts, mainly thanks to productivity gains. Since 2023, these have amounted to 2.2% per year (in the non-agricultural private sector), which is double the historical average[3].

BEYOND THE SHORT TERM: AI SHOULD SUPPORT GROWTH RATHER THAN CAUSE UNEMPLOYMENT.

There is a shift in the paradigm, even if it cannot necessarily be extrapolated at the same rate. In the short term, the substitution effect is in full swing (capital is replacing labour). A recent article by the Federal Reserve Bank of Dallas shows that this trend is to the detriment of younger workers, who are less experienced than their elders and whose jobs are therefore more easily automated[4].

However, in the long term, the history of technical progress teaches us that the factors of production are more complementary than substitutive: while a wave of innovation may render certain skills obsolete, it also requires the development of other skills to enable it to move forward. This concept of "creative destruction" was theorised in 1942 by the economist Joseph Schumpeter and has been taken up by the recent Nobel Prize winner in economics, Phillipe Aghion[5].

In the rather optimistic interpretation advocated by the latter, the main challenge posed by AI is not so much destruction as the adaptation of employment: thus, public authorities, through universities or vocational training programs, but also businesses, must address the issue of "acculturation" in order to support this transition.

According to the AI readiness index calculated by the International Monetary Fund, France, like all Western countries, is fairly well positioned to meet the challenges ahead, which notably sets it apart from the emerging world[6]. Provided it is properly supported, the deployment of AI should not lead to a sustained increase in unemployment, especially as it is taking place within a specific demographic context characterised by a growing shortage of workers. In Japan, the country with the oldest population in the world, a high degree of automation has long coexisted with near full employment.

Jean-Luc PROUTAT
jean-luc.proutat@bnpparibas.com

3 Average from Q1 2023 to Q3 2025. Source: U.S. Bureau of Labor Statistics, U.S. Bureau of Economic Analysis.
4 David J.S. (2026), AI is simultaneously aiding and replacing workers, wage data suggest, 24 February.
5 See, for example, Aghion P. (2025), Senate hearing on growth and industry, October.
6 See Peltier C. (2026), The rise of artificial intelligence: strategic opportunities for emerging countries, BNP PARIBAS Eco-Perspectives, March.

ECONEWS

Find out more in our scenario and forecasts

		in % change			
	06/03/2026	1-Week	1-Month	Year to date	1-Year
S&P500	6740.0	-2.0	-2.8	-1.5	+17.5
Nasdaq Composite	22387.7	-1.2	-2.8	-3.7	+23.9
Euro STOXX 50	5719.90	-6.8	-4.6	-1.2	+3.6
CAC40	7993.49	-6.8	-3.4	-1.9	-2.5
Euro STOXX Banks	245.40	-8.7	-10.1	-6.8	+26.7
BNP Paribas	86.35	-9.6	-7.3	+6.9	+11.9
Nikkei 225	55620.84	-5.5	+2.5	+10.5	+47.5
Hang Seng Index	25757.29	-3.3	-3.0	+0.5	+5.7

		in bps			
	06/03/2026	1-Week	1-Month	Year to date	1-Year
OAT 10Y (%)	3.51	+29.2	+6.3	-5.4	-3.1
Bund 10Y (%)	2.86	+21.7	+1.8	+0.5	+2.7
US Tr. 10Y (%)	4.14	+20.1	-6.8	-2.9	-14.0
JGB 10Y (%)	2.16	+4.0	-7.1	+9.4	+61.9
		in % change			
EURUSD	1.16	-1.6	-1.7	-1.1	+7.7
DXY Index	98.92	+1.3	+1.3	+0.6	-4.9
Brent ($/bbl)	93.26	+28.7	+37.0	+53.3	+34.3
Dutch TTF Price (€/MWh)	52.80	+64.9	+38.7	+84.6	+34.2

Source: Bloomberg, BNP Paribas

WAR IN THE GULF

The conflict in Iran has led to a sharp rise in oil and gas prices, raising fears of stagflation. The price of oil (Brent) has risen by 48% since 27 February, while the price of gas (European benchmark, TTF) has risen by 94%. This will inevitably have some impact on global inflation. The extent of this impact will also depend on how the conflict evolves, particularly in the event of a prolonged blockade of the Strait of Hormuz and significant damage to oil and gas facilities in the region (*see our analysis*). Financial markets reacted in the first week of the conflict with modest declines in stock markets and currencies (against the US dollar) and sharp rises in bond yields (*see table above*). These fluctuations (in energy prices and markets) became more pronounced at the market opening on Monday 9 March. Markets are also anticipating a less accommodative monetary policy stance from the ECB, the Fed and the BoE.

ADVANCED ECONOMIES

UNITED STATES

United States: Disparity between employment figures and economic activity, relative strength of the USD. Approximately 92k jobs were lost in February (January: +126k), and the figure for the previous two months was revised downwards by -69k. The participation rate fell to 62%, limiting the rise in the unemployment rate to 4.4% (+0.1pp). The ISM services index recovered to 56.1 in February (+2.3 m/m), while the ISM manufacturing index remained in growth territory (52.4, -0.2pp), although the prices paid index rebounded (+11.5pp to 70.5; reflecting the impact of customs tariffs on steel and aluminium). The Fed's Beige Book describes economic activity as "slight to moderate" with hiring described as constrained. In Q4 2025, productivity growth slowed compared to Q3 (from +5.2% to +2.8% annualised).

Last week, the USD (Bloomberg Spot Index) appreciated by 1.4%, while the S&P 500 fell by just 2% (-6.8% for the EURO STOXX 50). On the other hand, bond yields rose by 18 bp on the 2-year (3.56%) and 10-year (4.15%) bonds, as inflation fears reduced the likelihood of a rate cut by the Fed. *Coming up: CPI inflation (Wednesday), existing home sales and NFIB (Tuesday), January PCE inflation and Michigan consumer confidence (Friday).*

EUROPEAN UNION

Presentation of the Industrial Accelerator Act (IAC), which makes the granting of national or European subsidies conditional on achieving a minimum threshold of local production or the use of European components (or components from third countries that have a free trade agreement with the EU and adhere to the principle of reciprocity). The primary sectors affected are energy-intensive industries, green technologies and the automotive industry. Strict conditions, particularly regarding European employment content (minimum of 50%), will apply to FDI exceeding EUR 100 million for foreign companies from countries that account for over 40% of global production capacity.

Eurozone: Favourable economic dynamics. The composite PMI rose to 51.9 in February (+0.6 m/m), while the services PMI rose to 50.9 (+0.3 m/m). Employment grew by 0.2% q/q in Q4 2025 and by 0.7% on average in 2025. GDP growth for Q4 was revised downwards to 0.2% q/q (-0.1pp). On a quarter-on-quarter basis, household consumption rebounded (+0.4%) and investment also increased (+0.6%). Inflation rebounded in February to 1.9% y/y (1.7% in January) due to exceptional factors, particularly in France (sales dates, electricity prices), although this does not alter its downward trajectory. Coming up: January's industrial production data (Friday).

Germany: Strong business climate, growth in construction output but decline in industry. The composite PMI improved to 53.2 in February (+1.1 m/m), as did the services PMI, which reached 53.5 (+1.1 m/m), bolstered by demand. In January, construction output rose by 2.9% m/m (reaching its highest level since March 2024), while the industrial sector declined by 2.4% (penalised by metallurgy and textiles). New industrial orders returned to their October level in January (after exceeding it by 8.6% on average in November-December). Car registrations rose by 3.8% m/m in February but were down 4.1% 3m/3m. Coming up: January's foreign trade data (Tuesday).

France: Inflation accelerates; aeronautics supports industry. Fuel prices rose by an average of 8.5% between 27 February and 6 March, which is expected to contribute an additional 0.3pp to inflation in March. Manufacturing output in January (+0.6% m/m) offset its December loss (-0.7% m/m). Volatility and increased production are attributed to the aerospace industry (+24% y/y in January 2026). The composite PMI rebounded to 49.9 in February (+0.8 m/m), bolstered by services (49.6; +1.2 m/m). However, car registrations fell by 15% y/y in February. Coming up: January's foreign trade data, Banque de France's economic report (Tuesday).

Italy: The Olympics are driving down unemployment and pushing up inflation. The unemployment rate reached 5.1% in January (-1.5pp y/y), its lowest level since 2004, linked to the period of preparation for the Olympics. Consequently, inflation rose in February (+0.6pp m/m to 1.6% y/y). The composite PMI improved in February (52.1; +0.7 m/m) despite a slowdown in services (52.3; -0.6 m/m). The budget deficit for 2025 was reported at -3.1% of GDP, compared to the government's target of -2.8% and a deficit of -3.4% in 2024, while public debt rose to 137.1% of GDP, up from 134.7% in 2024. Coming up: January's industrial production data (Friday).

JAPAN

Salary expectations bolster household confidence. The Rengo trade union confederation has officially requested a 5.94% salary increase. Household confidence reached a post-Covid high of 40 in February (+2.1 m/m, according to the Cabinet Office), bolstered by purchasing intentions and income growth. *Coming up: Q4 2025 GDP (Wednesday).*

ECONEWS

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UNITED KINGDOM

Bond yields rise. The 10-year yield rose to 4.7% on 9 March (+30 bp in one week). The OBR's projections for 2026 have been revised downwards (growth at 1.1%; inflation at 2.3%; unemployment peak at 5.3%) before a rebound in 2027. Fiscal consolidation could be undermined, with R. Reeves stressing that it may be necessary to cushion the impact of rising energy prices. The proposed abolition of the one-off tax on oil and gas profits before 2030 might be reconsidered. February's PMIs remain in expansionary territory (manufacturing at 51.7; composite at 53.7; services at 53.9), except in construction (44.5; -1.9 m/m). Car registrations rose in February (+7.2% y/y). *Coming up: January's foreign trade and industrial production data (Friday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Gulf countries: On the front line. The suspension of tourism and maritime traffic through the Strait of Hormuz are the primary channels of transmission of the conflict in Iran. Several countries in the region have cut back on oil production to cope with this paralysis. The shockwave has been particularly severe for Dubai (the stock market has fallen by 9% since the outbreak of the conflict) and Qatar (down over 5% in the past week). Other stock markets are holding up better (+2.8%), particularly Saudi Arabia due to the energy sector.

South Africa: Double exposure to the conflict in Iran. With a significant energy trade deficit (-3.5% of GDP in 2025), the country is feeling the effects of rising energy prices. Inflation is expected to rise again in March, which could end the SARB's monetary easing. South Africa is also exposed to foreign capital outflows due to heightened geopolitical risk, as the government maintains ties with Iran. Since 27 February, the South African rand has lost 4.4% against the US dollar. The yield on 10-year local currency sovereign bonds has rebounded by 0.3pp .

Angola and Nigeria: Two distinct growth trajectories. In 2025, growth in Angola slowed to 3.1% (vs. 4.9% in 2024), dragged down by a decline in oil production (-7.7%). Conversely, Nigeria's growth accelerated in 2025 to reach 3.9% (vs. 3.4% in 2024), partly driven by an increase in oil production (+8.8%). On the African continent, both countries are well-positioned to benefit from rising energy prices if this trend continues over time.

ASIA

Emerging Asia: Good resilience. Emerging Asian currencies held up well against the sharp rise in oil prices (due to the conflict in the Middle East). The Thai baht recorded the worst performance (-3.1% against the USD between 27 February and 9 March). In the region, South Korea, India and Thailand are among the largest importers of oil and gas, yet their external accounts are sufficiently robust. Seoul has significant stocks. In India (which has 45 days of reserves), the impact could be somewhat alleviated by purchases of Russian oil (the US government has authorised this). The average price of Urals is USD 13/b lower than Brent.

China: Targets set for 2026 on the first day of the annual session of the National People's Congress on 5 March. The government has set its official economic growth target at 4.5%-5.0% for 2026, slightly lower than the 5% target which was set over the last three years. Other targets remain unchanged from 2025: inflation at 2% (ceiling), official budget deficit at 4.0% of GDP, urban unemployment rate of around 5.5%, and creation of more than 12 million urban jobs. The PMIs published on 4 March by RatingDog indicate some improvement (52.1 in manufacturing and 56.7 in services), mainly in response to the recent downward revision of US customs duties, while the Statistical Bureau's PMIs remained slightly below 50 in February (49 in manufacturing and 49.7 in services). In light of the disruptions in the oil and gas market, China has strategic reserves that provide ample protection in the short term (1.2 billion barrels of oil). The yuan depreciated very slightly between 27 February and 9 March (by less than 1% for the spot rate), marking a break in the appreciation trend observed since the beginning of 2026. The CSI300 stock market index did not fall significantly either (-2% over the same seven-day period).

Malaysia and Thailand: Monetary status quo. Due to downward pressure on their currencies and rising oil prices, central banks kept their key rates unchanged, despite subdued inflation in Malaysia (+1.6% y/y in January) and persistent disinflation in Thailand (-0.9% y/y in February).

EMERGING EUROPE

Emerging Europe: Weak economic activity and currency depreciation. The main currencies of Central Europe recorded the sharpest depreciation against the USD among emerging countries: -2.5% for the zloty, -3% for the Czech koruna, and -4.5% for the Hungarian forint (compared with a median of just over 1% for emerging countries as a whole). These countries are net oil importers, although not to a greater extent than their Asian counterparts. At the same time, government bond yields and spreads relative to Germany have widened. In February, the Czech Republic's PMI index held steady at 50 (average of the previous two months). In contrast, Poland's PMI fell by nearly 2 points to 47.1.

Poland: Monetary status quo. The Polish Central Bank kept its key interest rate at 4% following the publication of inflation figures that were a tad above expectations. The recent depreciation of the zloty likely influenced this decision.

Türkiye: Overall inflation accelerated in February, while core inflation continued to slow down. The consumer price index rose by nearly 3% within a month. Year-on-year inflation rose to 31.5% from 30.7% in January. This acceleration is largely the result of a sharp increase in food prices. Core inflation is more moderate (1.5% month-on-month and 29.5% year-on-year, compared with 29.8% in January). The energy price shock is expected to have a particularly pronounced impact compared to other emerging markets: with household consumption remaining buoyant, the knock-on effects are likely to be significant given the high level of inflation. On a positive note, the exchange rate against the dollar has been stable since 27 February.

LATIN AMERICA

Brazil: Uneven impact on commodities. A prolonged war in the Middle East could yield both positive outcomes (Petrobras revenues and crude oil export revenues boosted by higher oil prices) and negative consequences (weakening of supply chains, particularly for fertilisers, 30% of which come from the region).

COMMODITIES

The closure of the Strait of Hormuz, the halt in production and the lack of appeasement continue to fuel price increases. Brent crude exceeded USD 100/b (peaking at USD 119/b) for the first time since 2022, following attacks on energy infrastructure in Iran ; the price of oil has risen by 48% since the start of the conflict (Brent was trading at USD122.8/b (its highest level in 2022) three months after the invasion of Ukraine). At the same time, WTI also reached USD100/b for the first time since July 2022.

The European TTF rose to EUR 62/MWh (+94% since the start of the conflict), peaking at EUR 69.50/MWh. It is worth noting that in 2022, it reached its highest level in August , at EUR 240/MWh (239.9), during the period of European gas stock replenishment.

THE RISE OF ARTIFICIAL INTELLIGENCE: STRATEGIC OPPORTUNITIES FOR EMERGING COUNTRIES

Emerging countries with strategic resources, such as critical metals and semiconductor production capacities, have become key players in the rise of artificial intelligence (AI). Those that are well positioned in AI supply chains have both a growth engine and a major geopolitical advantage. Asia's industrialised economies, which account for over 85% of the world's exports of electronic chips, are best placed to benefit from the increasing demand for AI. However, this advantage also exposes them to a potential correction in the technology boom. Latin American countries that extract minerals critical to AI have strategic leverage, but they will need to forge partnerships and attract foreign investment to strengthen their position in supply chains. Regardless of whether they supply minerals or chips, these countries are all exposed to the risks associated with the concentration of the main AI players amid heightened geopolitical tensions. Finally, Central Europe is relying on a skilled workforce and ambitious plans to leverage AI for economic development.

EMERGING COUNTRIES AND AI: VARIED POSITIONS

Emerging countries' positions regarding AI vary greatly, whether in terms of their ability to innovate, finance and adopt technologies; their exposure to AI's impact on productivity and employment; or their position within supply chains. In 2026, as in 2025, these supply chains will serve as the primary channel for transmitting the effects of the AI boom to emerging economies. In fact, in 2025, the sharp increase in technology investments, particularly in AI, fuelled global demand for electronic products and other goods associated with AI development. This has significantly bolstered exports and economic growth in countries that produce critical raw materials and, above all, high value-added manufactured goods. This is an important factor explaining the strong average growth performance of emerging economies in 2025 (estimated at 4.3%, stable compared to 2024).

Currently, the impact of AI expansion on the growth of emerging economies (excluding China) therefore primarily occurs through the spillover effects of investment in physical AI infrastructure. Although AI is expected to be adopted more quickly than previous innovations, its impact on productivity will only become evident after a period of diffusion of the new technology, contingent upon investments in both physical and human capital that facilitate its adoption (equipment upgrades, reorganisation of production processes, training, etc.).

Among emerging economies, the most developed Asian countries, China, the Baltic states and Central European countries are best positioned to deploy and use AI, according to the IMF's AI Preparedness Index (AIPI). Following them are Türkiye and the countries of the Middle East. The average capacity of Latin American countries and, above all, sub-Saharan Africa (SSA) to use AI is much more limited (the average AIPI for SSA is 0.34). *See Chart 1.*

A CLEAR ADVANTAGE IN SUPPLY CHAINS

Overall, while emerging economies are not as well positioned as advanced economies to take advantage of the adoption and diffusion of AI (the average AIPI for G7 countries is 0.72), they are better positioned within AI supply chains. These encompass activities related to the chip industry (design, manufacturing and assembly), equipment and other electronic materials, as well as AI infrastructure (such as supercomputers and data centres). These sectors are extremely capital-intensive and energy-intensive (*see page 6*), as well as demanding in terms of water and minerals. They have also become highly strategic.

As a result, countries that are well positioned within AI supply chains – primarily producers of critical metals, electricity and advanced semiconductors – have both a growth engine and a geopolitical advantage. This advantage is expected to strengthen in the short term, assuming that the surge in investment in data centres and other AI infrastructure continues. Currently, the four major players in the sector in the United States (Amazon, Microsoft, Meta, Google) are planning to invest USD 620 billion in 2026, four times the amount invested in 2023 and a 60% increase on 2025. These investments will drive global demand for semiconductors, with the market projected to grow by 26% in 2026 (following a 22% increase in 2025), according to forecasts from World Semiconductor Trade Statistics.

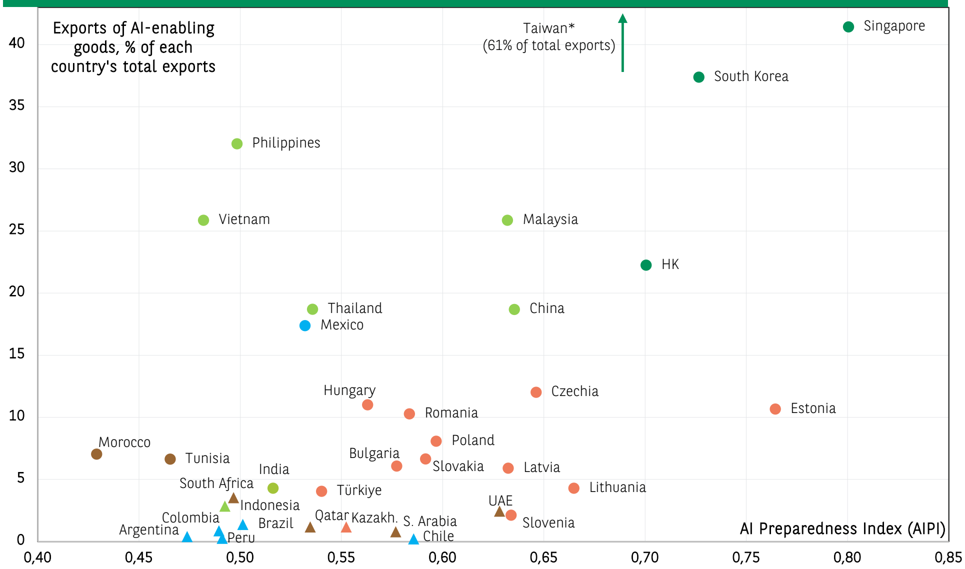
To assess countries' positioning within supply chains, we use export data for "AI-enabling goods" or "AI-related goods", as estimated by Oxford Economics and based on the WTO nomenclature. This results in a broad estimate of exports of AI-related goods. It includes raw materials, chemicals, equipment, semiconductors and other electrical and electronic equipment used in AI, as well as those that are "likely to be used" in AI (and potentially in other applications as well). In 2025, total exports of "AI-related goods" are estimated at USD 3.3 trillion, or around 12% of global merchandise exports. Semiconductors and other electronic components account for around 70% of the total, equipment for 25%, and raw materials and chemicals make up less than 5%. This last figure, which may seem surprising, contrasts with the strategic importance of the critical materials required for AI, but can be explained by the very small quantities that are ultimately used.

CHINA IS HOT ON THE HEELS OF THE UNITED STATES IN THE AI RACE

AI has become a battleground of intense competition between China and the United States. For Beijing, the AI sector is central to its strategy of enhancing China's technological supremacy globally and strengthening its national security. On the domestic front, AI is also a key element of the authorities' economic strategy (*see note on China in this issue of EcoPerspectives, page 11*). Innovation, the development of AI and its widespread deployment in the country are expected to boost productivity gains and support growth at a time when China is adjusting its economic engines (expansion of the export manufacturing sector against reduced reliance on the real estate sector and debt-financed investment) and facing demographic challenges. The country is also relatively well-positioned to adopt AI. The IMF's AI preparedness index confirms this position: it stands at 0.64 for China, compared with 0.46 for emerging economies and 0.68 for advanced economies.

In the race for AI, China has been rapidly closing the gap with the United States in recent years, thanks to huge investment and innovation efforts. The United States maintains its lead in computing power and the design of the most advanced chips (Nvidia) and controls the export of these chips to China. For its part, China is developing increasingly sophisticated models and has become a leader in open-source

AI-RELATED OPPORTUNITIES: ASIAN COUNTRIES ARE THE BEST POSITIONNED



Exported goods: ● mostly manuf. ▲ mostly commodities
AI preparedness index of the IMF: the AIPI is the sum of 4 dimensions: digital infrastructure, human capital, technological innovation, and legal frameworks.
* There is no AIPI for Taiwan

CHART 1 SOURCES : IMF (ITG AND AIPI DATA), OXFORD ECONOMICS, BNP PARIBAS

models as well as data collection. It is involved in almost the entire AI value chain and, most importantly, controls the supply of critical materials. The rivalry and race for technological supremacy between China and the United States will be determining factors in the evolution and decoupling of AI production chains in the medium term.

INDUSTRIALISED ASIAN COUNTRIES: PRIMARY BENEFICIARIES

Industrialised Asian countries occupy a prominent place in the AI supply chain, owing to the specialisation of their export base in semiconductors and other high-tech goods. Over 85% of global exports in the semiconductor sector[1] and 65% of global exports of "AI-related" goods[2] come from Asian countries. *See Charts 2 and 3.*

This specialisation has provided them with considerable advantages in recent months. While global trade experienced robust growth in 2025 (with total exports estimated to have risen by 5% in volume), Asia registered even greater export growth (+14.8% in volume for the most advanced countries[3], +8.5% for China and +6.4% for other countries in the region). The technology sector has accounted for over 80% of the growth in exports from Asia, excluding China, since April 2025, and nearly 60% of the growth in Chinese exports (IMF estimate, WEO Update, January 2026).

China accounts for 21% of all AI-related goods exported worldwide. Taiwan's position is also highly strategic as it lies at the core of the semiconductor supply chain, which is vital to the AI sector. This strategic importance is based on the high degree of openness and specialisation of its economy (61% of its exports are AI-related goods, the highest percentage worldwide) and its significant technological advantage.

Taiwan supplies 11% of the goods needed for AI and 15% of the semiconductors exported worldwide, and it manufactures almost all of the most advanced chips specialised for AI, (these chips are notably designed by Nvidia in the United States and manufactured by TSMC in Taiwan). In 2025, Taiwan's total exports jumped by 35% in value and 34% in volume, including a 79% increase to the United States. This leadership role also provides security for the island[4] and is a strategic asset that Taiwan emphasises in its negotiations with the United States and its other trading partners.

After China, Taiwan (and the United States), the countries that are best positioned within AI supply chains include South Korea, Singapore, Vietnam and Malaysia, which are ahead of Germany, the Netherlands and Mexico (*see note on Mexico, page 29*). These countries account for between 3% and 8% of global exports of AI-related goods in 2025, again according to the WTO nomenclature.

In the semiconductor sector, the value chain is characterised by significant fragmentation[5], which is reflected in the organisation of production in Asia. China is involved in various stages of production. Taiwan, South Korea and Japan specialise in the manufacture of silicon wafers, which are essential for etching integrated circuits. Together with China, these three countries accounted for 80% of wafer production capacity in 2025. Further along the supply chain, Malaysia, Vietnam and the Philippines specialise in the assembly, testing and packaging (OSAT) of chips to make electronic components. Although the contribution to GDP is relatively modest, the dynamism of the sector in 2025 has significantly driven the economic growth of these countries (*see note on Malaysia, page 15*).

1 BNP Paribas calculations for 2024-2025, ITC/COMTRADE data.
2 Estimate for 2025 based on Oxford Economics data.
3 South Korea, Taiwan, Hong Kong (99% of whose exports are re-exports of goods originating mainly from China and other Asian countries), Singapore (75% of whose exports are re-exports or exports of petroleum products).
4 In 2025, Taiwan announced substantial investments in the US as part of the trade agreement negotiated with Washington. Since October 2025, TSMC and Nvidia have commenced joint production of their first chips (silicon wafers) on US soil, in a factory in Phoenix. However, Taiwan continues to hold a monopoly on product finalisation for the time being, as the last stage of manufacturing (encapsulation) is carried out on the island, enabling it to maintain its "silicon shield".
5 See OECD, "Vulnerabilities in the semiconductor supply chain", No. 2023/05, https://doi.org/10.1787/6bed616f-en.

ASIA'S DOMINANCE IN SUPPLY CHAINS

Total world exports of AI-enabling goods, market shares (% of total)

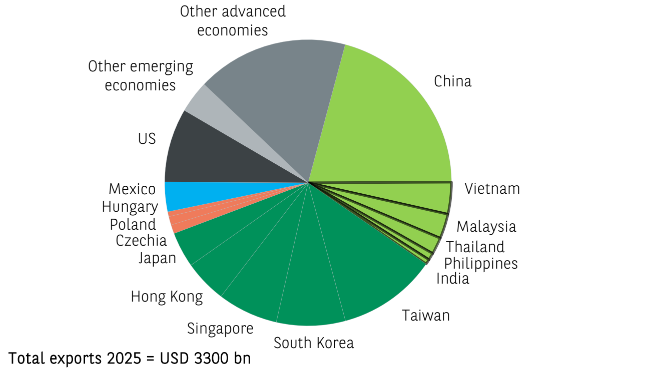


CHART 2 SOURCE: OXFORD ECONOMICS, WTO, BNP PARIBAS

Total world exports of semiconductors, market shares (% of total)

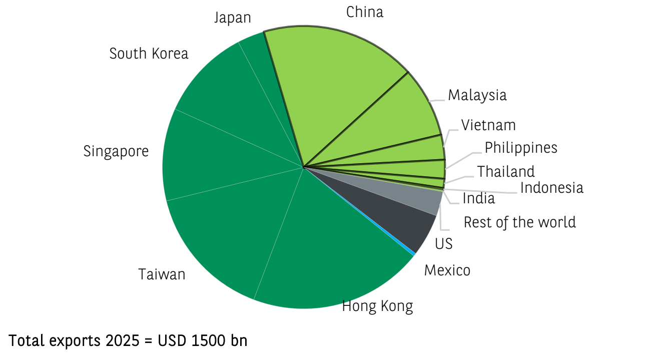


CHART 3 SOURCE: ITC, UN COMTRADE, BNP PARIBAS

PRODUCERS OF CRITICAL MATERIALS: A STRATEGIC POSITION

Raw materials account for only 2% of global exports of AI-related goods (again according to the WTO nomenclature). However, they hold strategic significance. The leading suppliers are located in the Middle East (particularly the United Arab Emirates), Asia (particularly Indonesia) and Latin America.

Global demand for raw materials essential for AI (specifically for chips and data centres) is projected to rise considerably in the coming years. The International Energy Agency (IEA) estimates, for example, that the demand for copper from data centres could more than double by 2030. This would represent around 2% of current global copper consumption. All these materials (including copper, aluminium, gold, silicon, palladium, germanium, gallium, etc.) are considered "critical" due to their low substitutability, their importance in generating value for global industry, and the geographical concentration of supplier countries (for raw or refined products).

The processes of exploring, extracting and processing minerals are difficult, time-consuming and expensive, but the quantities required for their end use are small. Consequently, significant supply challenges directly related to production issues or bottlenecks do not pose the greatest risk in the short term. On the other hand, the critical nature of these materials and the challenges posed by AI confer upon them a strategic role as tools in international relations and trade negotiations. The number of export restrictions on these metals has increased in recent years, and ongoing geopolitical tensions are amplifying the vulnerability of AI supply chains to the risk of supply disruptions.

China has the most powerful means of exerting pressure, thanks to its largely dominant role in the production of critical materials. Advanced countries are taking steps to reduce this vulnerability[6], but it will take them years to meet domestic demand, while China is implementing a development plan that was drawn up several years ago. Consequently, the growth of AI could potentially heighten, at least in the short term, the world's dependence on China, alongside Sino-American rivalry and geopolitical tensions.

In this context, the boom in the AI sector is creating opportunities for emerging countries with reserves of critical minerals. Although the export of these materials currently has a modest impact on their economic growth, these countries have a strategic advantage in forging partnerships, attracting foreign investment, developing new mining projects and capitalising on the expansion of AI. The environmental challenge will also pose a significant hurdle for these countries (*see notes on Argentina, Brazil and Chile, pages 23, 25, 27*).

CENTRAL EUROPE AND THE GULF COUNTRIES: AMBITIOUS PLANS

At first glance, Central European countries may not seem to have any comparative advantages in AI supply chains. However, they do have a well-educated workforce and infrastructure that will facilitate the integration of AI throughout the economy and its adoption by the populace. Furthermore, the governments of Central European countries are not shying away from launching ambitious plans aimed at using AI as a catalyst for development (*see notes on Poland and Hungary, pages 17 & 19*). These plans are based on several components: defining a strategy and ambitious medium-term objectives; providing public support for businesses to innovate, invest and adopt AI; constructing data centres (essential for the local development of AI); incorporating relevant training into education programmes; and adjusting regulations accordingly.

The Gulf countries have also drawn up highly ambitious plans. Saudi Arabia, for example, aims to develop the entire AI value chain and become a global leader in this sector within a few years (*see page 31*). The Gulf countries enjoy major comparative advantages: abundant, cheap energy and vast desert areas, which allow for the establishment of large data centres at relatively low cost. Energy is mainly carbon-based, but the number of solar projects is increasing. In addition, governments are able to mobilise large sums of money from sovereign wealth funds to finance technology partnerships and infrastructure, as well as to invest in education. Political will, natural resources and available capital are factors that favour the development of AI hubs in the region.

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Christine PELTIER
christine.peltier@bnpparibas.com
with the help of Clara Ngo Ba Do (intern)

6 See BNP Paribas, EcoInsight, European Union: low-carbon transition and energy sovereignty, a path fraught with pitfalls, February 2026.

THE ENERGY FACTOR: A CONSTRAINT ON AI DEVELOPMENT IN EMERGING COUNTRIES

The development of artificial intelligence (AI) depends largely on the availability of abundant and reliable electricity. The sector currently accounts for 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), where the vast majority of data centres are located. In contrast, this figure is less than 0.5% in the rest of the world, but is set to increase in the coming years. To attract investment in the AI sector, emerging countries must therefore consider significantly increasing their electricity generation capacity and establishing networks capable of continuously powering data centres. Massive investments in infrastructure, along with the use of flexible energy sources (gas, renewables), are assets for attracting AI projects. China, together with India, the Middle East and Eastern Europe, appear to have a better position.

AI ELECTRICITY CONSUMPTION: THE IMPORTANCE OF LOCATION

The availability of sufficient electricity and the ability to transport it are key factors in the establishment of local data centres, which are essential for the deployment and adoption of AI. Data centres are typically evaluated based on the electrical power required to operate them. Their energy consumption can exceed one gigawatt or GW (by way of comparison, the average output of a reactor in the French nuclear fleet is 0.9 GW). More generally, in light of the rapid expansion of data centres in recent years, the issue of facility location is of paramount importance. The growth of the sector depends – in addition to the availability of electricity – on a favourable combination of factors primarily associated with the presence of adequate skills, developed technological infrastructure, and political will. These conditions regarding location and the rapid growth of AI are resulting in a significant geographical concentration of development hubs, which is exerting considerable pressure on local electricity markets in many countries. This is fuelling sharp rises in electricity prices, especially in certain US states[1], and may even lead to moratoriums on the future establishment of data centres. In Ireland and the Netherlands, for example, the establishment of new data centres has been suspended (until 2028 in Ireland).

In 2025, 82% of global AI application development capacity, measured in terms of electricity consumption, was concentrated in the United States, the European Union and China. This trend towards geographical concentration is expected to continue, with around 85% of the new capacity expected by 2030 to be located in these three regions, according to the International Energy Agency (IEA). Approximately two-thirds of new projects are being planned in regions where clusters already exist. In China, the electricity consumption of data centres has increased by 15% per year over the last decade, which is double the annual growth rate of other sectors of the economy. The consumption of these centres is currently equivalent to that of the country's electric vehicle fleet.

The predominance of advanced economies and China in terms of installed capacity leaves little room for emerging countries in this AI landscape. As a result, the impact of AI development on the electricity markets of emerging countries remains marginal. While the sector accounts for around 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), this figure is less than 0.5% in the rest of the world. This very low figure is not surprising, as the increase in electricity demand in emerging and developing countries is mainly driven by industrial development and improving living standards. This is particularly evident in the huge rise in electricity demand for air conditioning, set against a backdrop of rising average temperatures.

CHINA DRIVING THE INCREASE IN ELECTRICITY PRODUCTION CAPACITY

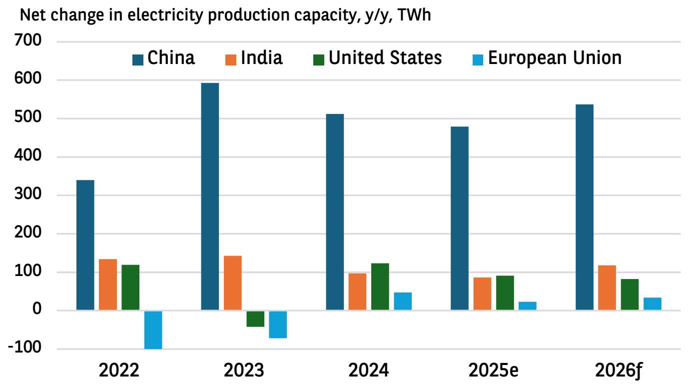

CHART 1 SOURCE: AIE

Nevertheless, even if it remains relatively concentrated in specific geographic regions, the impact of AI on national electricity systems is set to increase. According to the IEA, the development of AI accounted for 4.4% of the increase in electricity demand between 2020 and 2025. This figure is projected to increase to 8.6% during the period 2025-2030. However, this will still be lower than the expected contribution from the growth in demand associated with air conditioning on a global scale (around 10% by 2030).

IN EMERGING COUNTRIES, WHAT ENERGY COMPETITIVENESS CRITERIA SHOULD BE USED TO FOSTER THE DEVELOPMENT OF AI?

• **The expected increase in electrical capacity and/or the availability of abundant energy**

The demand for electricity driven by AI is likely to compete with other sources of demand, even though it is currently growing at a slower pace. In this scenario, countries and regions that invest heavily in energy production capacity, as well as those with abundant energy resources, will be best placed to meet the energy needs of AI. China has a decisive advantage in this regard, owing to the significant increase in its energy production capacity in recent years (*Chart 1*). According to BloombergNEF, China has installed more new energy capacity in the past four years than the total capacity installed in the United States (1,515 GW versus 1,373 GW).

1 See Ecoweek, Electricity prices in the United States: an economic and electoral issue in the run-up to the midterms, 10 February 2026.

Similarly, the new capacity installed in 2025 exceeds that the total available in India. The increase in Chinese production capacity is expected to remain substantial, growing by around 4% per year between now and 2030.

For various reasons, the Middle East also has certain advantages, notably its abundant, flexible and rapidly mobilisable carbon-based energy. Indeed, given the importance of continuous energy availability for the operation of AI systems, the controllability (i.e. flexibility) of the energy supply is crucial. The gas resources of all the Gulf countries are a major asset. Apart from Qatar and, to a lesser extent, the United Arab Emirates, which export part of their gas output, a large proportion of gas resources remains unexploited. Saudi Arabia, for example, aims to develop the use of these resources for domestic consumption in order to reduce the share of oil in its electricity mix.

Another example is India, whose electricity mix is still predominantly carbon-based and largely reliant on coal (74%), yet it aims to significantly increase the share of renewable energy sources. By 2030, this share is projected to increase to around 27% of the mix (compared to 20% currently). At the same time, the total capacity of installed data centres is expected to double to nearly 5 GW. More generally, India's production capacity is expected to grow at a sustained average rate of 4.8% between now and 2030. However, these ambitions can only be realised if the electricity grid is developed alongside.

- **Necessary investment in the electricity grid**

The need to invest in improving electricity grids is a global issue due to the growing electrification of various applications and the structurally more decentralised nature of renewable energy production. The development of AI aligns perfectly with this issue. Indeed, it is responsible for a sharp increase in electricity consumption, which in many countries is expected to be bolstered by an increase in renewable energy production capacity.

There is currently no satisfactory measure to assess how effectively national electricity grids are adapting to new demands. The SAIDI (System Average Interruption Duration Index) metric, calculated by the World Bank, assesses the reliability of the grid for its users (*Chart 2*). This represents a national average that does not provide information on the capacity to deliver sufficient quantities of electricity. However, it is an important indicator for the operation of data centres, which must remain free of power cuts. Among emerging countries, China, the Middle East and Eastern Europe have the highest reliability, whereas sub-Saharan Africa has the longest power outages. Asia (excluding China) and Latin America occupy a middle ground.

Investment in network expansion and improvement is primarily led by advanced economies and China, which together accounted for 80% of total global investment in 2024, according to the IEA. Chinese investment accounted for around 20% of the total. In addition, major investment plans are under way in certain Latin American countries (Brazil, Chile) and India (USD 110 billion in investments planned between now and 2032).

MORE RELIABLE ELECTRICITY GRIDS IN CHINA, THE MIDDLE EAST AND EASTERN EUROPE

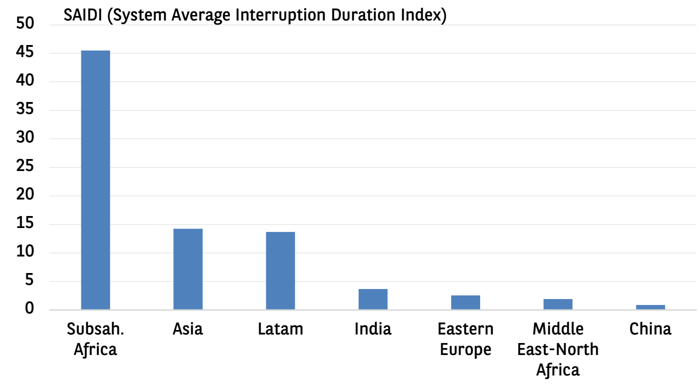

CHART 2

SOURCE: WORLD BANK

While electricity is essential for the deployment of AI, the necessary investments in energy infrastructure could also benefit the economic development of the countries concerned. Given the energy-intensive nature of AI and its rapid expansion, it is becoming increasingly urgent to step up the deployment of low-carbon energy sources to ensure that the rise of AI and decarbonisation can coexist harmoniously.

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Pascal Devaux
pascal.devaux@bnpparibas.com

REGIONAL OVERVIEWS

Article completed on 27 February 2026

CENTRAL EUROPE: GAINING MOMENTUM

In Central Europe, economic growth accelerated slightly to 2.3% for 2025 as a whole, after recording 1.9% in 2024 and 0.7% in 2023. This growth was driven by the dynamism of the Polish economy (+3.6% in 2025) and the Czech economy (+2.5%). The Czech economy demonstrated unexpected resilience, given its significant reliance on foreign trade and the automotive sector. Conversely, Hungarian growth was disappointing, with only marginal positive growth in 2025. Romania faced electoral uncertainties in the first half of 2025 and the introduction of fiscal austerity measures in the second half.

The growth outlook remains favourable for 2026 (2.7% according to our forecasts), with Poland continuing to drive growth. Furthermore, the electoral uncertainties in Hungary and Bulgaria are not expected to hurt their growth markedly. The expected uptick in the Hungarian economy will be partly based on pre-election measures taken by the authorities to support consumption. Bulgaria, which joined the Eurozone in January 2026, should also record robust growth. Meanwhile, growth in Romania is expected to be modest, held back by an ongoing restrictive fiscal policy.

Inflation returned to target levels in 2025 for Poland, Hungary and the Czech Republic. In 2026, it is expected to continue declining across the region. However, in Romania and Slovakia, inflation may remain above the central bank's target. The monetary easing cycle that began last year is set to continue in Poland and the Czech Republic, albeit at a more moderate pace. In Hungary and Romania, only very cautious easing measures are expected this year. In Hungary, the gap between households' inflation expectations and current inflation calls for a cautious approach, while in Romania, inflationary pressures continue to be a concern.

Central European exports held up well in 2025, driven by Poland, the Czech Republic, Slovakia and Romania. Hungary and the Czech Republic have current account surpluses. Conversely, Romania has been grappling with a significant current account deficit for years, a situation that is not expected to change. In Poland, the current account deficit is marginal (less than 1% of GDP in 2025) and is expected to remain so in the short term.

However, external liquidity in the region is strong, with foreign exchange reserves continuing to rise (EUR 563.9 bn, or EUR +37.9 bn in 2025). Central Europe is attracting foreign investment owing to nearshoring activities and rapidly developing sectors such as AI and defence. In addition, bond yields remain attractive. Despite the tariff shock and geopolitical uncertainties, capital flows to the region remained steady in 2025, with a relatively balanced distribution between FDI and portfolio investment flows (totalling EUR 36.4 bn in Q1-Q3 2025, or 1.7% of regional GDP). FDI flows mainly benefited Poland, Romania and the Czech Republic, while Hungary and Slovakia experienced negative flows. Portfolio investment flows were driven primarily by Poland and Romania, with Hungary contributing to a lesser extent. Romania stood out with a spectacular rebound in portfolio investment inflows over the past three years.

Cynthia KALASOPATAN ANTOINE
cynthia.kalasopatanantoine@bnpparibas.com

ASIA: STRONG PERFORMANCE

In 2025, economic growth in Asia weathered the rise in US tariffs much better than expected. It even accelerated to 7.6% in India and jumped to 8% in Vietnam and 8.7% in Taiwan. Growth averaged 5% for the ASEAN-6 (vs. 5.1% in 2024) and remained steady at 5% in China. South Korea and Thailand lagged behind, with economic growth rates of 0.9% and 2.4% respectively.

The region's export performance was very strong, boosted in particular by increased demand for electronic products linked to the AI boom. The ASEAN-6's share of the global market increased slightly, and this increase was most pronounced in the US market. Consequently, the trade surplus of ASEAN countries with the United States increased by USD 8.9 bn (to USD 25 bn), while their deficit with China widened by USD 10.4 bn (to USD 18.2 bn).

Domestic demand was also a key driver of activity in Southeast Asia and India, supported by expansionary fiscal and monetary policies. Conversely, in China, weak consumer demand and private investment worsened in the last few months of the year, and support measures from the authorities remained limited.

India and Indonesia recorded significant net outflows of portfolio investments at the end of the year, while FDI inflows slowed across the region as a whole. The Thai baht and the Malaysian ringgit appreciated by 10% against the USD in 2025, while the currencies of India and Indonesia depreciated by 5% and 3% respectively. In 2025, China consolidated its position as a net external creditor, bolstered by rising current account surpluses, although foreign capital inflows remained constrained. The yuan has appreciated slightly in recent months but remains at a very low level. At the end of 2025, the RMB/USD reference rate was 2% lower than it was at the end of 2024, and the CFETS index (effective exchange rate) was down 4%.

In 2026, growth is expected to slow moderately. The cycle of interest rate cuts has concluded in most countries. Inflation is expected to stay within the targets set by the monetary authorities, making it unlikely for them to raise their key rates. Fiscal policies are likely to become somewhat more restrictive. The main risks to short-term growth are external, linked to geopolitical risks, ongoing uncertainties over US trade policy and the risk of a downturn in the global electronics market. In India, rising oil prices could weigh on economic performance, particularly if the country halts its oil purchases from Russia. In Indonesia, the Prabowo administration is raising concerns about its governance, its less orthodox fiscal policy compared to its predecessor, and the lack of clarity surrounding its economic strategy.

Johanna MELKA
johanna.melka@bnpparibas.com

Christine PELTIER
christine.peltier@bnpparibas.com

REGIONAL OVERVIEWS

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NORTH AFRICA/MIDDLE EAST: VULNERABLE TO GEOPOLITICAL RISKS

The economies of North Africa/Middle East saw a rebound in growth in 2025. It reached 3.4% compared with 2.5% in 2024. Regional GDP is expected to grow by 4.1% in 2026.

The Gulf Cooperation Council (GCC) is expected to remain the main driver of regional growth, thanks to oil exports and strong domestic demand. These countries' ability to finance their diversification programmes remains strong, primarily due to sovereign wealth funds, whose assets exceed twice the GDP of the GCC. Furthermore, the region's enhanced appeal to foreign capital (debt and direct investment) largely mitigates the impact of reduced oil export revenues, thereby averting the need for governments to make drastic cuts to public spending. The ongoing recalibration of Saudi Arabia's Vision 2030 initiative is a good illustration of this. Inflation is also under control, and policy rate cuts in Q4 2025 are expected to bolster credit demand, which is already strong in several countries. The depreciation of the US dollar, to which the GCC currencies are pegged, should help these countries to develop their non-hydrocarbon exports and tourism sector.

For oil-importing countries, economic growth is also sustained, thanks to the strong performance of Egypt and Morocco. With minimal exposure to the tightening of US tariff policy, both countries are reaping the benefits of a rebound in tourism and investment. The scale of infrastructure projects currently underway in Morocco, along with the macroeconomic stabilisation efforts in Egypt, suggest that this momentum is likely to continue in 2026.

Rising regional tensions are a major cause for concern. So far, the impact on countries not directly involved in a conflict has been limited. However, the situation in Iran presents a potentially greater threat. It could lead to various outcomes in the event of US military attacks, including the closure of the Strait of Hormuz, through which almost all trade from the GCC countries passes. Given the region's importance in the global energy market, the repercussions would extend beyond the Middle East.

Stéphane ALBY
stephane.alby@bnpparibas.com

SUB-SAHARAN AFRICA: ENCOURAGING OUTLOOK

The economic outlook for the region has been positively adjusted in recent months. Real GDP growth is estimated at 4.4% in 2025 and is projected to stabilise at 4.6% in 2026. Overall, sub-Saharan Africa has been resilient in the face of the double shock of US tariffs and declining official development assistance. This decline is mainly due to a significant drop in USAID funding (data available as of 16 February indicate a 28% decrease in USAID disbursements in value terms in 2025). Inflation eased in 2025 after two years of intense pressure, and this decline is expected to continue in 2026, enabling some economies to continue their cycle of monetary easing (notably South Africa, Kenya and Nigeria).

The prices of non-oil commodities exported by the continent (including gold, copper, energy transition minerals and platinum) are expected to remain buoyant in 2026. The current account deficit for the region is expected to remain manageable, despite a rise in import growth, particularly from China. Meanwhile, the external accounts of the CEMAC zone countries, where oil accounts for the vast majority of exports, will need to be monitored: the widening of the zone's current account deficit in 2026 is likely to affect foreign exchange reserves, which have already contracted by 13% in 2025.

In addition, developments in external financing sources are causing some concern. According to UNCTAD, in 2025, foreign direct investment received by sub-Saharan Africa (USD 42 bn) contracted by more than 6%. With the rise of AI, which is capturing an increasing share of global capital flows, sub-Saharan Africa risks being further marginalised from FDI unless it increases its integration into value chains and promptly adopts a sectoral strategy for its regional deployment.

LUCAS PLÉ
lucas.ple@bnpparibas.com

LATIN AMERICA: SLOW GROWTH

In 2025, Latin American countries experienced slower growth, from nearly 3% y/y in H1 to less than 2% in H2. The rise in US customs tariffs does not seem to be the underlying factor; on the contrary, exports accelerated sharply in H2, and not only because of soaring metal prices (copper, aluminium) and rising prices for certain agricultural commodities (soya, maize). Brazil's exports of manufactured goods, despite being heavily taxed, also performed well. The notable increase in Mexico's exports is partially attributed to the AI boom.

Growth in the region is being held back by weak domestic demand due to diminished disinflation benefits, deteriorating labour markets (Argentina) and limited fiscal flexibility (Brazil, Mexico, Argentina). Central banks have kept key interest rates high in real terms: this is evident in Brazil, but also in Colombia and Mexico, where real rates exceed potential growth.

Growth in the region is expected to slow in 2026. For the main countries (Argentina, Brazil, Chile, Colombia, Mexico and Peru), it is expected to slow to an annual average of 1.8%, compared with an estimated 2.3% in 2025. Domestic demand is projected to remain constrained. The cycle of monetary easing is coming to an end in Mexico and Chile. Only Brazil retains some flexibility regarding monetary policy; the central bank is expected to begin a cycle of easing in March. Fiscal policy will remain restrictive in Argentina, and in several other countries, increasing debt ratios or debt servicing requirements will necessitate adjustment measures. A decline in copper prices poses a downside risk for Chile and Peru. Elections are a potential source of financial instability for Colombia (with parliamentary elections in March and presidential elections in May), and Brazil (with general elections in October).

With the exception of Peru, the main countries have a current account deficit (moderate as a % of GDP). The highest deficit – that of Brazil – is expected to represent only 3% of GDP in 2025. With the exception of Argentina, net FDI inflows in each of these countries cover at least 70% of the current account deficit. Apart from Colombia, portfolio investment balances are in deficit, which does not mean that these countries no longer attract non-resident investors. Rather, it indicates that residents are diversifying their portfolios. With the exception of Peru, currencies have appreciated against the US dollar since early 2026. Colombia presents higher market risks than the other countries due to the sharp deterioration in its public finances.

François FAURE
francois.faure@bnpparibas.com

KEY INDICATORS

REAL GDP

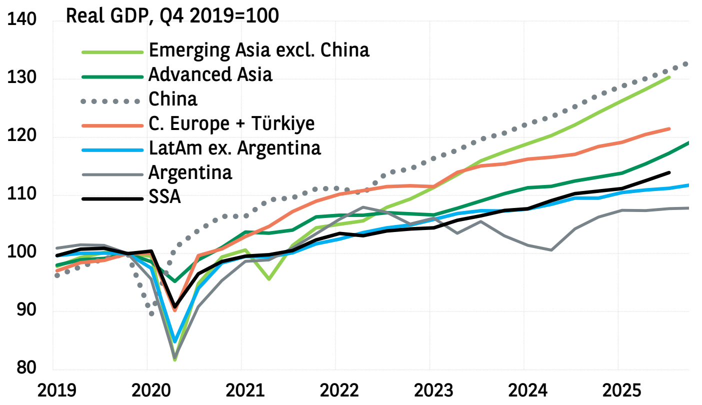

CHART 1 SOURCE: MACROBOND, BNP PARIBAS

INFLATION

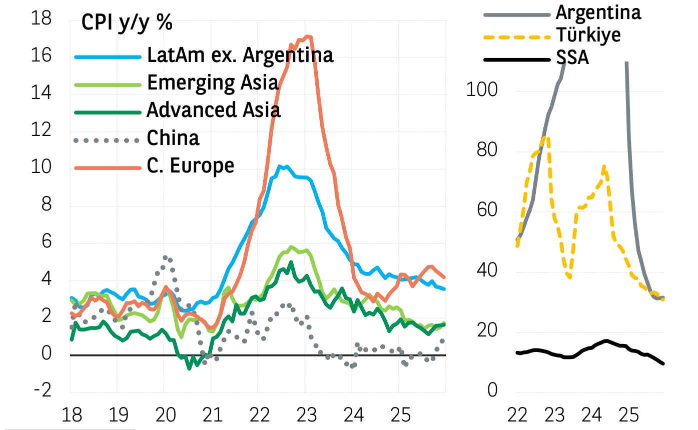

CHART 2 SOURCE: MACROBOND, BNP PARIBAS

DOMESTIC BANK CREDIT

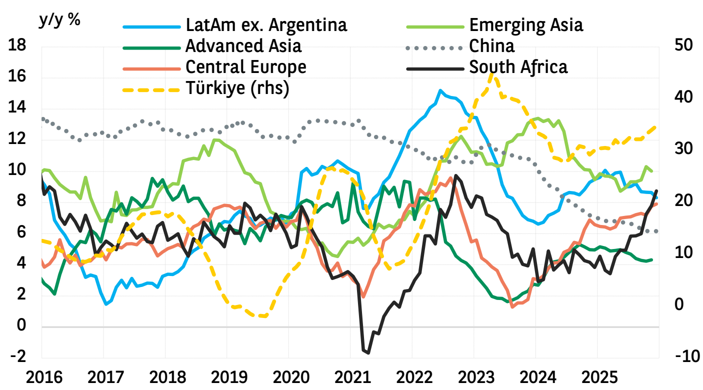

CHART 3 SOURCE: CENTRAL BANKS, BNP PARIBAS

CURRENT ACCOUNT BALANCE

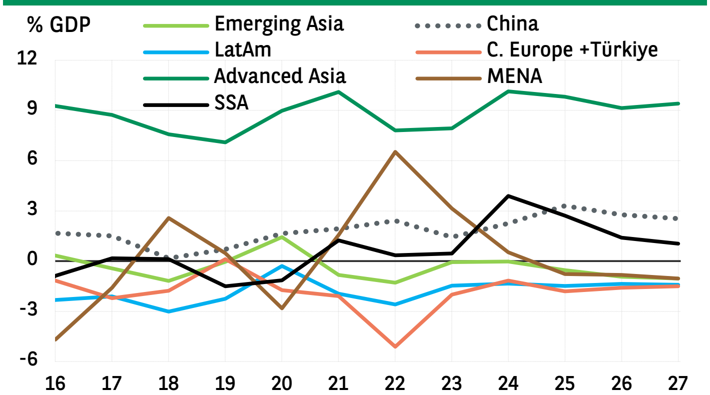

CHART 4 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT NET BALANCE

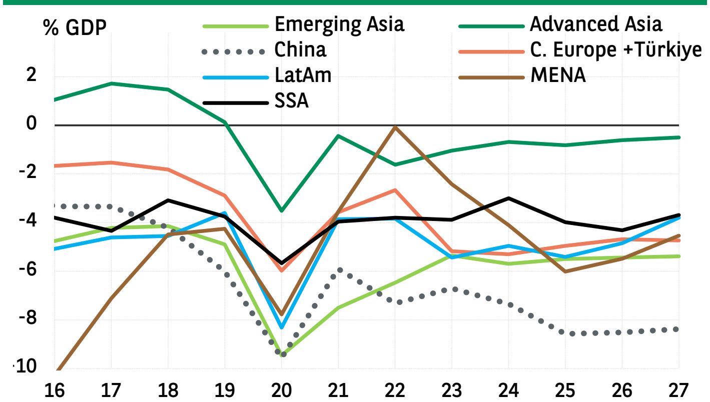

CHART 5 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT GROSS DEBT

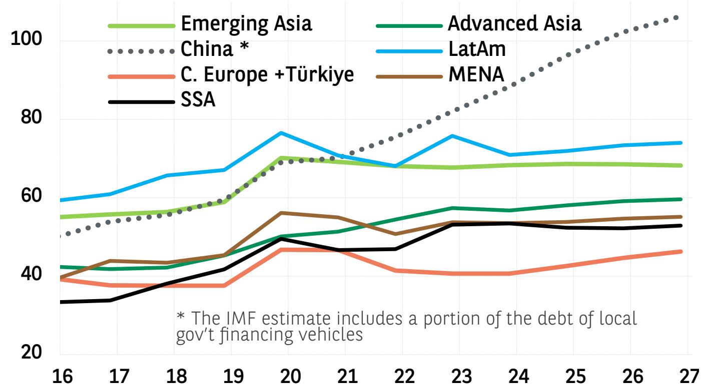

CHART 6 SOURCE: IMF (WEO), BNP PARIBAS

Emerging Asia: India, Indonesia, Malaysia, Philippines, Thailand, Vietnam **Advanced Asia:** Hong Kong, Singapore, South Korea, Taiwan **Central Europe:** Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia **Latin America:** Argentina, Brazil, Chile, Colombia, Mexico, Peru **MENA:** Middle East-North Africa **SSA :** Sub-Saharan Africa: Angola, Kenya, Nigeria, South Africa.

INNOVATION AND AI DRIVING ECONOMIC DEVELOPMENT

China's economic growth model is based on imbalances, characterised by sluggish domestic demand, excess production capacities, strong exports and the pursuit of self-sufficiency, which have implications for its trading partners. While the IMF has recently reiterated the urgent need to boost private consumption, Beijing continues to give the priority to industrial policy and maintains moderately accommodative fiscal and monetary policies. It places cutting-edge sectors, innovation, AI and technological autonomy at the heart of its development strategy. This strategy aims to foster productivity gains and economic growth, while also consolidating China's dominance in global industry and its commitment to "national security".

GROWTH (INCREASINGLY) DEPENDENT ON EXPORTS

Chinese economic growth held steady at 5% in 2025, the same as in 2024. Quarterly data indicates a slight upturn in Q4 (+1.2% q/q), driven by exports. The imbalances inherent in the growth model have, in fact, intensified since last summer and are expected to continue in 2026.

On the domestic demand front, signs of weakness have worsened, with total investment contracting and household consumption remaining sluggish.

Real estate investment has been declining steadily for four years, while investment by local governments has been constrained by shrinking land sales proceeds and tighter fiscal management rules imposed by Beijing. In the manufacturing sector, companies have been scaling back their investments in recent months as a result of a deteriorating demand outlook, low capacity utilisation rates (averaging 75.2% in Q4), falling prices and profits, and the government's anti-involution directives aimed specifically at reducing production overcapacity. Consequently, the contribution of total investment to real GDP growth reached a record low in 2025 (Chart 1). It could recover slightly in 2026: although the decline in real estate investment is expected to continue (with unsold inventories remaining high), manufacturing investment could see an uptick in "strategic" sectors, spurred on by government policies.

As far as consumers are concerned, the impact of government support diminished in H2 2025, and retail sales growth slowed (from 4.7% y/y in real terms in June to just 0.1% in December). However, this was offset in Q4 by a recovery in demand for services, which was also boosted by fiscal measures. Total consumption (both private and public) saw a slight increase in its contribution to growth in 2025, but it is less vigorous than before the Covid pandemic. Its average growth was estimated at between 4% and 4.5% per year in real terms in 2024-2025, compared with 7.7% during the period of 2015-2019. The short-term outlook is uncertain, still overshadowed by the property crisis, a lack of dynamism in the labour market and low household confidence. Public policies aimed at durably boosting private consumption are likely to remain insufficient.

RECORD HIGH SURPLUSES IN THE TRADE AND CURRENT ACCOUNT BALANCES

On the external demand front, growth in merchandise exports remained robust until the end of the year. The decline in sales to the United States since April (-23% y/y) was more than offset by an increase in exports to other regions of the world, bolstered by the strong price and non-price competitiveness of Chinese goods. The yuan's real effective exchange rate (REER), which was already weak in 2024, lowered further in 2025 (it depreciated by 5.8% in H1, and then appreciated by 3.6% in H2). The average REER index in 2024-2025 was about 10% below its average for the previous five years (based on BIS data). The average export price in USD fell by -2.9% in 2025, following a -6.8% decline in 2024. In volume terms, exports rose by +9% in 2025 (+12% in 2024), while imports remained virtually unchanged (after a +2% rise in 2024), reflecting sluggish domestic demand and Beijing's self-sufficiency targets.

Consequently, on the one hand, the contribution of net exports to growth, which had rebounded strongly in 2024, strengthened further. In 2025, it accounted for one-third of real GDP growth, the highest share since the early 2000s. On the other hand, China's trade surplus

FORECASTS

	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.4	5.0	5.0	4.7	4.5
Inflation, CPI, year average, %	0.2	0.2	0.0	0.9	1.0
Official budget balance / GDP, %	-3.8	-3.0	-4.0	-4.3	-4.0
Official general government debt / GDP, %	54.7	60.9	68.4	74.5	77.4
Current account balance / GDP, %	1.4	2.3	3.8	3.6	3.3
External debt / GDP, %	13.4	12.9	12.3	11.3	10.5
Forex reserves, USD bn	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	13.3	12.7	13.9	13.8	13.5

TABLE 1 e: ESTIMATES & FORECASTS
SOURCE: BNP PARIBAS ECONOMIC RESEARCH

CHINA: EXPORTS REMAIN A KEY DRIVER OF GROWTH

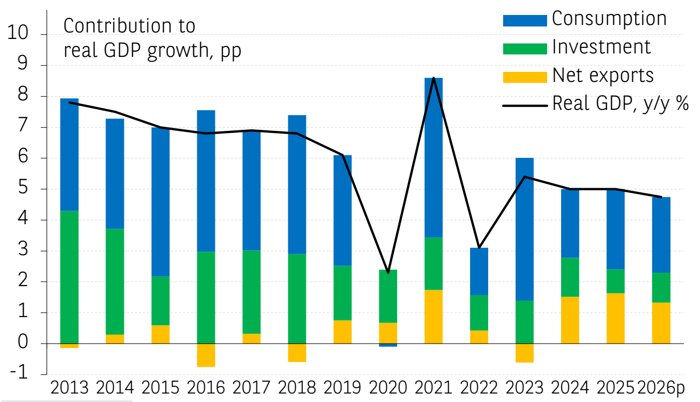

CHART 1 SOURCE: NBS, CEIC, BNP PARIBAS

increased by 20% in 2025 and reached a record high of USD1189 bn (based on General Administration of Customs data). The current account surplus also expanded significantly, rising from USD424 bn in 2024 to USD735 bn in 2025. It exceeded 3% of GDP for the first time in fifteen years (3.8%).

These recent dynamics have strengthened China's position as a global export power. They have also allowed China to increase its investment overseas (including direct investment, credit and portfolio investment flows) and strengthened its position as a net foreign creditor. Large trade imbalances, the risk of a persistent competitive pressure from Chinese goods, and the stagnation of Chinese imports are expected to continue to fuel severe tensions with most trade partners, including Europe.

DEFLATIONARY PRESSURES, A SYMPTOM OF IMBALANCES

Weak domestic demand and excess production capacities are fuelling deflationary pressures as well as competitive pressures of Chinese goods on export markets. CPI inflation did pick up slightly in Q4 (to +0.6% y/y vs. an average of -0.1% over the first nine months of 2025) and core inflation rose back above +1%. However, these developments are mainly due to temporary factors and the anti-inflation campaign. The latter is likely to remain modest, especially if the authorities revise their production reduction targets for fear of negative effects on growth. Without a resurgence in demand, the alleviation of deflationary pressures will remain limited in the short term.

MONETARY AND FISCAL SUPPORT REMAINS MODERATE IN 2026

Recent statements from Beijing indicate a degree of confidence in the economy's growth prospects – confidence reinforced by the recent reduction in US tariffs[1]. At the annual session of the National People's Congress (NPC) from 5 to 11 March, Beijing is expected to announce its growth target (expected to be 4.5%-5%) and inflation target (expected to be capped at 2%) for 2026, and is likely to affirm its commitment to a moderately accommodative economic policy.

On the monetary front, new measures are likely to be implemented in the very short term in response to the ongoing slowdown in domestic credit growth. This is being held back in particular by the near stagnation in outstanding household loans (+0.4% y/y at the end of 2025, with a 1% contraction in housing loans). In 2026, as in 2025, easing measures will remain cautious and targeted, with, in particular, a slight reduction in policy rates (-20bp expected over the year).

On the fiscal front, the "official" deficit target may be raised (4.3% of GDP projected for 2026, up from 4% in 2025), signalling increased support for growth. However, support from extra-budgetary entities (such as local government financing vehicles) is expected to continue to decline. With regard to the property sector, no new support measures (aside from the purchase of unsold homes by local governments and the relaxation of rules governing home loans and purchases) are expected this year.

Beijing is set to release the full text of the 15th Five-Year Plan for 2026-2030 at the end of the NPC meeting. The Plan's main economic objectives are well known; in particular, they aim to strengthen a "modern industrial system", global leadership and technological autonomy, as well as strengthening the domestic market. With regard to the latter, the authorities are keeping the development of private consumption high on their list of priorities. However, they are not contemplating the far-reaching reforms needed to significantly improve incomes and

CHINA LEADS THE RACE FOR LARGE AI MODELS ALONGSIDE THE US

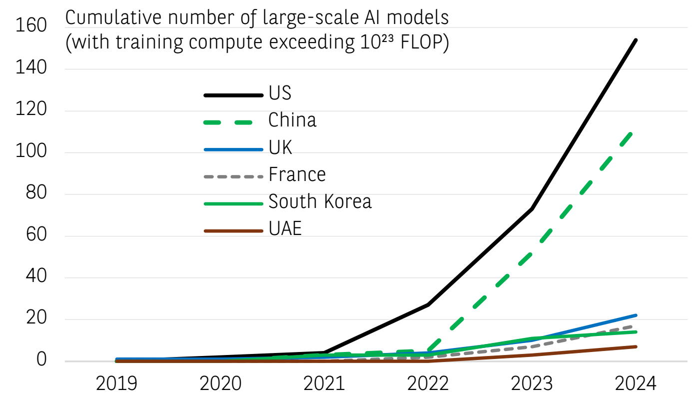

CHART 2 SOURCE: EPOCH AI (2025) – WITH MAJOR PROCESSING BY OUR WORLD IN DATA, BNP PARIBAS

the social protection system. The assistance programmes introduced in 2025, which include subsidies for the replacement of consumer goods, allowances for parents of young children, and pension increases, could simply be extended in 2026. These programmes account for less than 0.5% of GDP, and their impact has been small. In 2025, household consumption accounted for just 40% of GDP (compared to an average of 57% worldwide), and the household savings rate remained very high (estimated at 37% of disposable income, and 35% in 2019).

INNOVATION AND AI AT THE HEART OF THE NEW FIVE-YEAR PLAN

Instead of focusing on the domestic market and consumers, China's strategy will continue to prioritise the export manufacturing sector, green energy and advanced technologies. Industrial policy will remain a key tool, and exports will continue to serve as both a vital growth engine and a strategic asset for China in its rivalry with the United States and its quest for global dominance in strategic sectors. R&D, innovation and artificial intelligence (AI) play a central role in this strategy. The "AI+" initiative, unveiled last August, reaffirmed these objectives, and the 15th Five-Year Plan is expected to underscore the significance of AI in developing "new quality productive forces".

Internationally, China occupies a dominant position in the AI sector (see the Editorial in this issue of EcoPerspectives). China is involved in nearly the entire AI value chain and is developing some of the most powerful computing models (Chart 2). In the AI supply chain, China accounts for 21% of the total "AI-related goods" exported worldwide and controls the supply of critical materials. On the domestic front, AI development and widespread deployment across the country should boost productivity gains and foster growth. Thanks to its highly developed digital infrastructure, its own LLM models and its education system, the country is well-positioned to adopt AI. China therefore has the strategy, infrastructure, energy resources, critical materials and capital to pursue the development of AI in the next five years.

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Christine Peltier
christine.peltier@bnpparibas.com

1 Since 24 February, the US tariffs imposed on China, which previously included "reciprocal" tariffs of 10% (with exemptions) and "fentanyl" tariffs of 10% (without exemptions), have been replaced by the new 10% tax (with exemptions). The effective tariff on US imports of Chinese goods has thus been lowered (to 19% from 31%) and is now more aligned with those of neighbouring countries (e.g. 13% for Vietnam).

ECOINSIGHT

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“The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. In most scenarios, there would be at least a temporary adverse impact.”

ECONOMIC RESEARCH

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WAR IN THE MIDDLE EAST: FIRST ASSESSMENT OF THE MACROECONOMIC DAMAGE

The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. Three types of scenarios are plausible: 1) a return to the status quo ante on the hydrocarbon market after a few weeks; 2) a prolonged period of political uncertainty in Iran leading to a relatively modest, but sustained, rise in oil and gas prices; 3) acute and sustained tensions over oil and gas supplies. The latter two scenarios would constitute a stagflationary shock, i.e. one that slows growth and increases inflation. Fortunately, growth was generally robust on the eve of the shock. In addition, inflation was on track to be brought under control, or even better, allowing central banks not to rush to react. Consequently, even in adverse scenarios, growth would slow significantly but remain positive, and major central banks would be forced to tighten their current stance only in the hypothesis of the most severe scenario. Nevertheless, given the latent fragilities in financial markets, which were already apparent in the weeks leading up to this major geopolitical shock, the utmost caution is warranted. This EcoInsight analyses the impact of the various scenarios, first on energy prices and then on inflation, growth, central bank policies and exchange rates, for the main advanced and emerging economies.

AN ENERGY SHOCK LIKELY TO BE LESS SEVERE THAN IN 2022

The reaction of oil and gas prices following the outbreak of war in Iran has, so far, been significantly more moderate than in 2022: at their peak, Brent oil prices rose by USD 15/barrel (+20%) to USD 85/barrel, and European gas prices (TTF) rose by EUR 21 (+65%) from EUR 32 to EUR 53/MWh (compared to USD 123 and EUR 240 in 2022). This reflects, on the one hand, the fact that, unlike the global supply shortage that prevailed in 2022 (when the global economy was in full post-COVID recovery mode), on the eve of the conflict in Iran, the oil and gas markets were in a phase of supply growth exceeding demand, and therefore of structural downward pressure on prices. On the other hand, the market seems to view the current shock as less structural. In fact, as Iran was already subject to heavy sanctions on the eve of the conflict, there is no parallel with the European Union's decision in 2022 to wean itself off Russian supplies, on which it was heavily dependent at the time. Nevertheless, the outcome of the conflict in the Middle East is highly uncertain.

In most scenarios, there would be at least a temporary impact. There is still a possibility of a rapid de-escalation that would bring us back to the baseline scenario within a few weeks, but it is rapidly diminishing. On the other hand, the likelihood of a more adverse scenario is increasing[1].

Scenario 1: De-escalation

The conflict subsides and maritime traffic returns to normal, allowing oil and gas prices to quickly return to their initial levels. However, the TTF would peak at around EUR 50/MWh in Q2 2026 due to the halt in production in Qatar. Oil prices would then stabilise at around USD 60-65/barrel and gas at around EUR 25-30/MWh.

Scenario 2: Prolonged uncertainty

Oil prices would initially remain around current levels, then gradually fall by the summer. They would remain higher than in the de-escalation scenario (around USD 70/barrel) for a sustained period. The TTF would peak at around EUR 50/MWh in Q2, as in our de-escalation scenario. Stronger supply constraints would also materialise due to a decline in production in Iran linked to instability in the country.

Scenario 3: An escalation with a sustained de facto blockade of the Strait of Hormuz

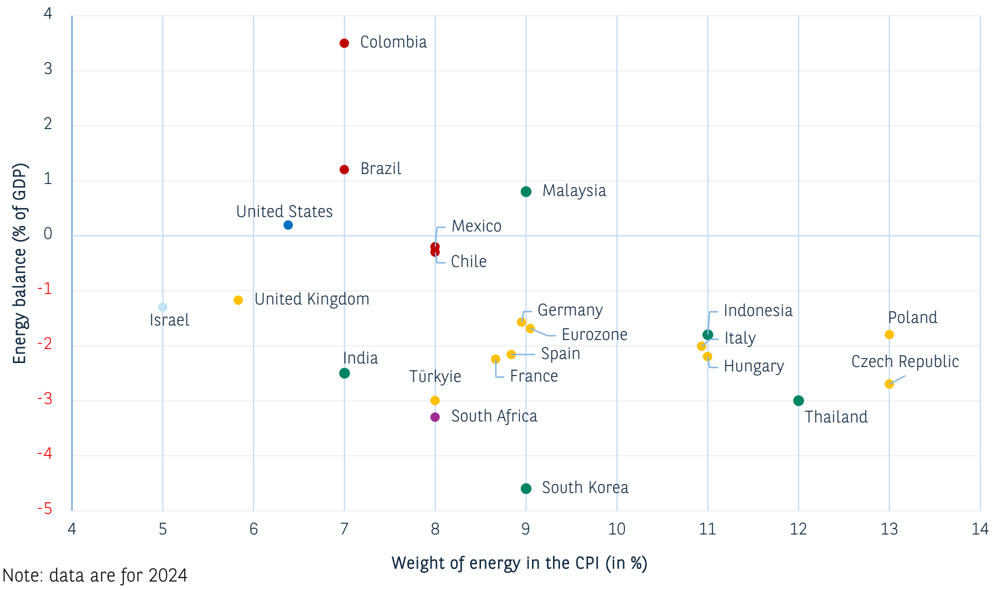
An escalation with a sustained de facto blockade of the Strait of Hormuz. In Q2, Brent would average USD 100/barrel (peaking at USD 130/b) and the European TTF would average EUR 100/MWh, then converge towards Scenario 2 after 3 to 6 months.

A NEGATIVE MACROECONOMIC IMPACT, BUT OF VARYING MAGNITUDE ACROSS COUNTRIES

Countries' exposure to energy shocks depends mainly on two factors: the weight of energy in price indices and the energy balance (Chart 1). The rise in energy prices impacts inflation and interest rates, and through this channel, consumption and investment. External accounts are also impacted. On this basis, Europe and Asia appear as the two most vulnerable regions. However, their macroeconomic fundamentals are sufficiently strong to absorb the anticipated rise in energy prices. Latin American countries appear, a priori, the least vulnerable to the energy price shock. However, their macroeconomic fundamentals and position in the cycle are weaker than in the other regions.

1 For the Eurozone, the risk associated with LNG is greater than that associated with oil. Even without significant destruction of LNG facilities, the market would be structurally tighter due to limited global stocks (particularly in Asia, where Qatar is a major supplier) and very low stocks in Europe. Furthermore, unlike oil, there is no alternative to Qatari LNG (around 20% of global production) in the short term, as other LNG exporters are already operating at almost full capacity. In the event of a prolonged closure of the Strait of Hormuz, the Asian market would compete with the European market for available LNG. Furthermore, even if the conflict were relatively short-lived, the spring-autumn period is when stocks are replenished in Europe, which would maintain some pressure on prices in Europe. Finally, Europe is the importing region that is most dependent on the spot market for its LNG supply, i.e. the gap between demand and supply negotiated through contracts with producers is greatest there.

COUNTRIES' EXPOSURE TO AN ENERGY SHOCK



Note: data are for 2024

CHART 1

SOURCE: UNCOMTRADE, NATIONAL STATS OFFICES

INFLATION TO ACCELERATE QUICKLY, BUT LESS THAN IN 2022

In the Eurozone, fuel prices are already on the rise. However, the impact of higher energy prices on headline inflation depends on whether the shock is permanent or transitory, and on how it transmits to core inflation (which itself depends on the economic context: whether the economy is overheating or has some slack, whether or not inflation expectations are well anchored to the target, whether there are other concurrent factors pushing inflation up or down, etc. Energy prices would rise in two stages: instantly for fuel, while gas and electricity prices would rise more gradually (and at different rates and to varying degrees across the various countries in the area, because of fixed-price contracts with variable revision dates and sometimes state regulations). Furthermore, the experience of 2022 shows that governments could intervene, either through taxation or subsidies, to counteract the rise in energy prices. Overall, in scenarios 1 and 2, the impact on prices would be significant but limited (around 0.5 percentage points at most). In addition, given an initial inflation level below the target and reasonably anchored expectations, it would not be necessary for the ECB to raise its interest rates. In contrast, in scenario 3, our estimates indicate that a barrel price peaking at $130 would generate an additional inflationary burden of 0.9pp on average in 2026 and 0.4pp in 2027 (the same estimate as the [ECB's (December 2023)](). Under those circumstances, the ECB would probably deem it necessary to tighten policy in order to avoid second round effects act.

In the United States, the impact on inflation is expected to come mainly through higher fuel prices. Scenario 2 is associated with an increase in inflation of +0.3pp in 2026 and +0.15pp in 2027 (versus +0.6pp in 2026 and +0.5pp in 2027 in scenario 3). These estimates line up with those of Presno and Prestipino (FEDS Notes, 2024), who calculate that a 10% increase in the real price of oil leads to a +0.15pp rise in the headline CPI and a +0.06pp rise in core inflation in the first year. Consequently, the impact would be more modest than in the euro area, regardless of the scenario. The US economy benefits structurally from its position as a net exporter of hydrocarbons and from its independence in gas supplies, whose prices are not set at the global level like that of oil. In addition, the interaction with the tariff shock is a key point of attention, especially regarding firms' ability to avoid passing the entire price increases. Nevertheless, the level and trend of inflation on the eve of the shock were significantly less favourable than in the Eurozone (above target and deviating from it).

For emerging economies as a whole, if the oil shock does not spread to agricultural and food prices, its impact on inflation could also be limited. Most economies are in an intermediate phase of their business cycle – neither at the bottom nor at the top (output gaps are either moderately positive or moderately negative). The inflationary impacts should therefore not be amplified. In addition, exchange rate depreciations remain modest (around 1% on average and median against the USD since Friday 27 February 2026). The countries that would be most affected are, those already experiencing high inflation and/or those where the weight of energy in the CPI is highest (see Chart 1).

In the Europe-Africa region, this is the case, for example, for Türkiye, which also has one of the largest energy deficits. Its central bank estimates that a permanent 10% increase in oil prices would lead to an inflation surplus of around 1pp after a year, with half of that effect already materialising in the first quarter. For Poland, a more representative country among emerging net oil importers, an equivalent (+10%) increase would add 0.3pp to inflation. The same price rise would generate an additional 0.5 pp inflation increase in South Africa, whose currency has weakened by 3.7% against the US dollar since the conflict has begun.

In emerging Asia, part of the inflationary shock stemming from higher energy prices should be absorbed by government fuel subsidies, without however fragilizing public finances[1]. Thailand and Indonesia appear to be the two most vulnerable countries, given the weight of energy in their respective consumption baskets. However, in Thailand the ongoing disinflation process should dampen the expected inflationary impact. This will not be the case for Indonesia, where price rises have accelerated significantly since the beginning of the year (+4.8% y/y in February, above the Central Bank's target of 2.5% +/-1%). The Indonesian Central Bank could therefore raise its key rate if oil prices remain sustainably close to USD 80/barrel. By contrast, inflationary pressures resulting from a depreciation of local currencies should be very limited, as Asian currencies have held up fairly well since the start of the conflict.

A SIGNIFICANT IMPACT ON GROWTH, BUT MANAGEABLE WITHOUT A RECESSION

The Eurozone, a net energy importer, would be more affected than the United States and, within it, the most industrialised economies (Germany, Italy) and those where household confidence appears particularly sensitive to a resurgence of inflation (France). In our scenario 2 (prolonged uncertainty), we anticipate a negative impact on growth of around 0.2pp in 2026 and 2027 (each) compared to our baseline scenario. In scenario 3 (escalation of tensions), we anticipate a larger effect, with a decline of 0.5pp in 2026 and 0.7pp in 2027. Nevertheless, the growth levers expected in the Eurozone (such as the European rearmament plans and investment programmes in Germany) should soften part of the shock, albeit with a lower multiplier than initially factored in. The literature (ECB, December 2023) highlights that a Brent price of USD 130/bbl would reduce growth by 0.7pp in the first year and 0.3pp in the following year. The main transmission channel would be uncertainty and a decline in purchasing power. It would directly affect investment (a 1% increase in energy prices due to oil shocks leads to a 4.1% decline in investment spending, according to the ECB, 2024) and household consumption (especially of durable goods, as during the 2022 energy crisis, according to the ECB, 2022). At the sectoral level, manufacturing would be hardest hit because of its cyclical sensitivity and heavy dependence on energy inputs. As in 2022, the impact on household confidence should be immediate. Their saving rate would fall in the short term (inflation cutting real household income), then rise as a precautionary response. Consequently, the expected rebound in consumption could be delayed, and the saving rate remain persistently high.

INFLATION SCENARIO IN THE EUROZONE

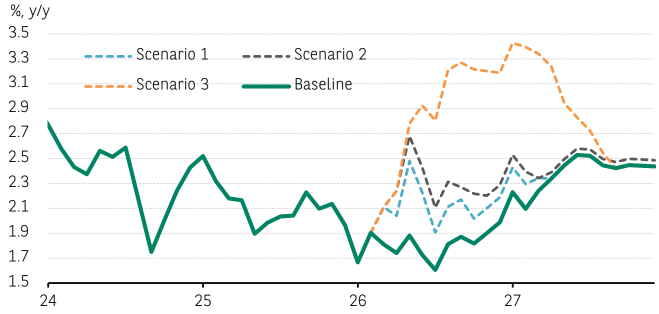


CHART 2 SOURCE: BNP PARIBAS

In the United States, the impact on growth would be slightly lower than in the Eurozone. The importance of domestic energy production acts as a dual buffer. It tempers the transmission of higher market prices and allows a pickup in investment in energy production to offset in part a decline in demand from consumers and non-energy sector corporates. Blanchard and Gali (2008) point out that oil prices now affect growth less than in the past because of a more credible monetary policy and the declining weight of oil in aggregate consumption. Furthermore, the energy shock occurs in a context where the productivity boost associated to artificial intelligence (AI) could be an offsetting factor. Nevertheless, household consumption is likely to slow sharply and immediately under the price increases, while the additional investment would take longer to support the economy.

The impact of the conflict in the Middle East on oil and gas will affect India more than China. In terms of oil, the energy shock is not expected to impact China in the short term given the level of its strategic reserves (1.2 billion barrels). China can absorb the loss of 1.5 million barrels of Iranian crude oil per day without weakening its reserves (Iran accounts for 11% of China's crude oil imports). India has sufficient oil reserves to cover 45 days (only 6 days of crude oil), which is still modest in terms of ensuring its energy security. Following the agreement with the US administration, the Indian government began to turn to Russia with two tankers carrying a total of 1.4 million barrels of Ural crude. In terms of gas, Qatar is one of the world's largest producers of LNG (around 20% of global production) and a key supplier to Asian countries. Qatari LNG accounts for half of India's LNG imports and around 30% of China's. However, Qatar has no alternative but to use the Strait of Hormuz for its exports. A prolonged closure of this strait therefore directly threatens India's energy security. For China, the short-term consequences are less significant as it has other sources of gas supply (via pipelines and domestic production).

In the rest of emerging Asia, growth should remain robust thanks to government support policies. Three countries stand out for providing direct subsidies: Indonesia and Malaysia for petrol (and gas for Indonesia), and India (for gas). In recent years, their governments have significantly reduced their subsidies (which were raised at the start of the conflict in Ukraine in 2022). An increase in subsidies could be decided if oil prices stay persistently high.

1 In Malaysia, the rise in petrol prices could raise public spending by 0.6%-0.8% of GDP (depending on the scenario chosen). However, the cost would be entirely offset by the increase in dividends received from the state-owned oil company PETRONAS. In Indonesia, the government had used a conservative assumption of USD 70/barrel in its 2026 budget. The oil price increase could lead to an additional expenditure of about 0.1% of GDP. In India, gas subsidies for the 2026/2027 fiscal year are estimated at 0.04% of GDP. Therefore, the price increase does not pose a fiscal risk for the country.

CENTRAL BANKS CAN STAY THE COURSE UNLESS A SEVERE SCENARIO UNFOLDS

The ECB is likely to adopt a wait and see stance. Before the outbreak of the war in Iran, the inflationary backdrop in the Eurozone was favourable, and our initial baseline scenario predicted inflation remaining below the 2% target in 2026. Inflation will now probably exceed that level, but the acceleration in core inflation should stay modest, prompting the ECB to observe the developments before taking action. In any case, this shock tests the new **monetary policy strategy** that the **ECB** unveiled in June 2025, which is expressly designed to tolerate modest, temporary deviations - both upward and downward - from the 2% target. The ECB will have to strike the right balance between (i) not overreacting (the energy shock will initially affect imported inflation, over which the ECB has little control) – which would amplify the negative effects on economic activity and household purchasing power; (ii) ensuring that key interest rates are high enough to limit second-round effects (wages pressures, inflation expectations) if the shock persists. At this stage, our scenario still envisages a status quo in 2026, followed by two rate hikes in the second half of 2027.

The Fed is expected to raise rates if market inflation expectations become unanchored. A rise in fuel prices constitutes a negative supply shock that monetary policy cannot directly address (**J. Powell, 2022**). Furthermore, aggregate demand is not as strong as it was in 2022 and the supporting factors that were present then (post-pandemic reopening, excess savings, labour market tensions) are now absent. In addition, the Fed Funds starting point is relatively high, around+3.5% - +3.75%, about 60bp above the FOMC's long-term estimate, whereas it was the zero lower bound four years ago. The reaction function would therefore shift further toward price stability.

The Bank of Japan's goal appears to be the same: not to deviate from its path of reducing the degree of accommodation. A stagflationary shock would not materially change the terms of the equation for the BoJ, which must, on the one hand, arbitrate between inflation, the risk of being "behind the curve" and the level of the JPY (rate hike) and, on the other hand, the adverse consequences for economic activity – even ameliorated by fiscal policy – the competitiveness of the export sector and financial conditions (stability).

FX: A MODEST COMEBACK FOR THE DOLLAR

While the dollar had been on a downward trend for a year, the situation is creating a renewed appetite for it. In the case of EUR/GBP and from a strictly macro/FX interaction perspective, a growth differential that favours the United States and the disappearance of the probability of Fed rate cuts are factors that would support the US dollar. In addition, a positive correlation between the USD (in terms of real effective exchange rate) and the price of Brent crude as existed since the United States became a net exporter of hydrocarbons (2020). In fact, the currencies of other oil-producing countries (such as the Canadian dollar) have also been supported since the surge in oil prices. The magnitude of the USD, however, is for now limited and is likely to remain so in the absence of more durable disruptions (as envisaged in scenario 3).

Article completed on 6 March 2026 by the Advanced Economies team and the Emerging Economies team of the Economic Research.
With the help of Clara Ngo Ba Do (intern)

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

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US-CHINA TARIFFS AND THE GLOBAL REALLOCATION OF CHINESE EXPORTS: IMPLICATIONS FOR ITALY

In 2025, US–China trade tensions led to a sharp drop in US imports from China, while Chinese exports to other regions increased, indicating early signs of trade diversion. For Italy, estimates point to limited but notable export displacement, concentrated in specific sectors, alongside potential gains from lower-cost Chinese intermediate and capital goods. Italian firms report stronger competitive pressures and heightened uncertainty, particularly among exporters. Despite the challenges posed by tariffs and the redirection of Chinese exports in 2025, Italian exports have proved resilient, with growth recorded especially towards the United States.

US import growth weakened markedly in 2025, driven by a sharp decline in imports from China amid escalating trade tensions. At the same time, Chinese exports proved resilient overall[1], growing by 5.5% despite a 20% fall in shipments to the United States. Export growth to other regions remained robust, notably to the Eurozone (+8%), ASEAN (13%), Latin America (7%) and Africa (26%). A key question arises as to whether and to what extent this trend indicates trade diversion in response to higher US tariffs or other adjustment mechanisms: indeed, delays in implementation and policy uncertainty complicate a timely assessment of tariff-induced trade reallocation.

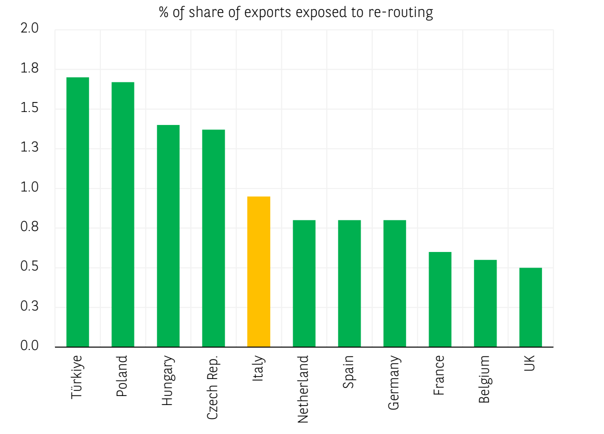
Although the empirical evidence is still limited, early indications of trade diversion are apparent, especially in consumer goods, where higher US tariffs on Chinese products are accompanied by a notable rise in Chinese export growth to other destinations. Based on alternative trade elasticity assumptions[2], Chinese exports to the US could decline by between USD 90 bn and USD 310 bn per year[3].

The Bank of Italy has estimated, for a selection of countries, the share of exports that could be displaced by surplus Chinese supply resulting from trade deflection[4]. For Italy, displaced exports would represent approximately 1% of total exports under the upper-bound elasticity scenario (around EUR6.4 bn). While lower than in most emerging market economies, this share is among the highest in advanced economies, especially when compared to Germany and France (*see chart, left panel*). Under the lower-bound elasticity scenario, the share falls to approximately 0.3% (around EUR 1.9 bn).

Italy's Sectoral Exposure to Chinese Trade Deflection

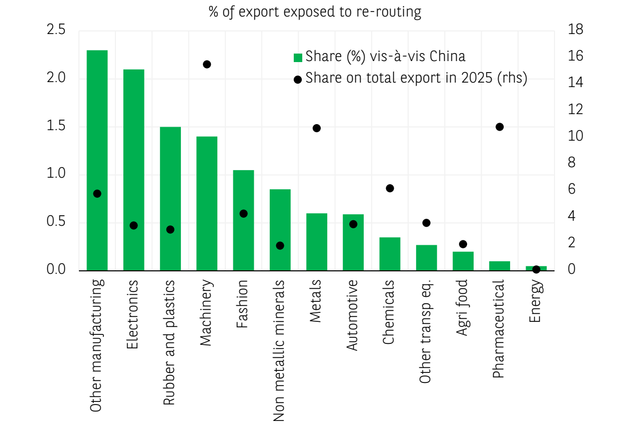
The impact varies significantly across sectors (*see chart, right panel*). The most affected industries include other manufacturing (such as toys), electronics, rubber and plastics, and machinery. By contrast, pharmaceuticals and other transport equipment, although highly exposed to US tariffs, show below-average exposure to trade deflection.

Trade deflection of Chinese goods might impact Italy's exports marginally, although more than Germany's and France's



SOURCE: BANK OF ITALY, ISTAT, BNL CALCULATIONS

Italy's sectoral exposure to Chinese trade deflection varies significantly across sectors



SOURCE: BANK OF ITALY, ISTAT, BNL CALCULATIONS

1 ECB, "Global trade redirection: tracking the role of trade diversion from US tariffs in Chinese export developments", in Economic Bulletin, Issue 1/2026.
2 A lower bound of -0,75 and an upper bound of -2,5, consistent with estimates from the 2018-2019 US-China trade war.
3 Bank of Italy, "The effects of US tariffs on Italian firms: an ex ante micro-level perspective", Questioni di economia e finanza, no 994, December 2025.
4 For each product, the Chinese exports diverted from the United States are redistributed across alternative destinations in proportion to China's existing export share in each country. It is assumed that, within each market, the surplus of Chinese goods displaces foreign producers according to their respective market shares.

At the same time, additional Chinese supply on the domestic market could reduce input costs for Italian firms. Approximately 60% of Italy's imports from China consist of intermediate and capital goods. Trade deflection could therefore act as a positive supply shock for firms using these inputs, potentially leading to a reduction in production costs in certain sectors.

Between May and June 2025, the Survey on Inflation and Growth Expectations conducted by the Bank of Italy gathered Italian firms' assessments of the potential effects of increased Chinese supply in their reference markets in the short run: 34% of manufacturing firms and 24% of service firms anticipated a rise in Chinese competitive pressure, with expectations more prevalent among exporters. Most firms indicated intensified competition and downward pressure on selling prices as the main transmission channel. A smaller, but still significant, share highlighted lower intermediate input prices. Firms more exposed to trade deflection also reported heightened medium-term uncertainty and greater caution in their investment plans.

However, against a challenging international backdrop, characterised by trade tensions and changing global dynamics, the overall impact of tariffs turned out to be less severe than expected so far. Italian exports proved more resilient than anticipated, recording year-on-year growth of 3.3%, with particularly strong performance in the United States (+7.2%), which remains the second-largest export market after Germany. The trade surplus reached EUR 50,746 million, significantly bolstered by the substantial surplus in non-energy products (EUR 97,685 million).

Simona Costagli
simona.costagli@bnpparibas.com

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CHART OF THE MONTH - Eurozone inflation outlook through 2027: Below or above target?

While 2027 is still some way off, the gap between our inflation projections (solid lines on the chart) and the ECB's (dotted lines) is striking and worth examining. Keep in mind that the ECB's forecasts date back to December 2025, with updates expected on 19 March, when the Governing Council meets and publishes its latest economic projections.

While both scenarios converge by the end of 2026, their paths diverge along the way. In our scenario, headline inflation (black line) would fall further below the 2% target, driven by a sharper decline in core inflation (green line). This latter would stem from the strong disinflationary effect that we are anticipating from the fall in Chinese export prices, as well as by the completion of the disinflationary process in services.

After 2026 which would continue to see disinflation[1], our scenario points to a 2027 "reflation" phase, driven by a continued cyclical strengthening of activity (resulting in particular from increased defense and infrastructure spending [2]) and, consequently, rising inflation[3]. In this context, the expected Eurozone's inflation uptick should be viewed as a positive signal, indicating a renewed economic strength.

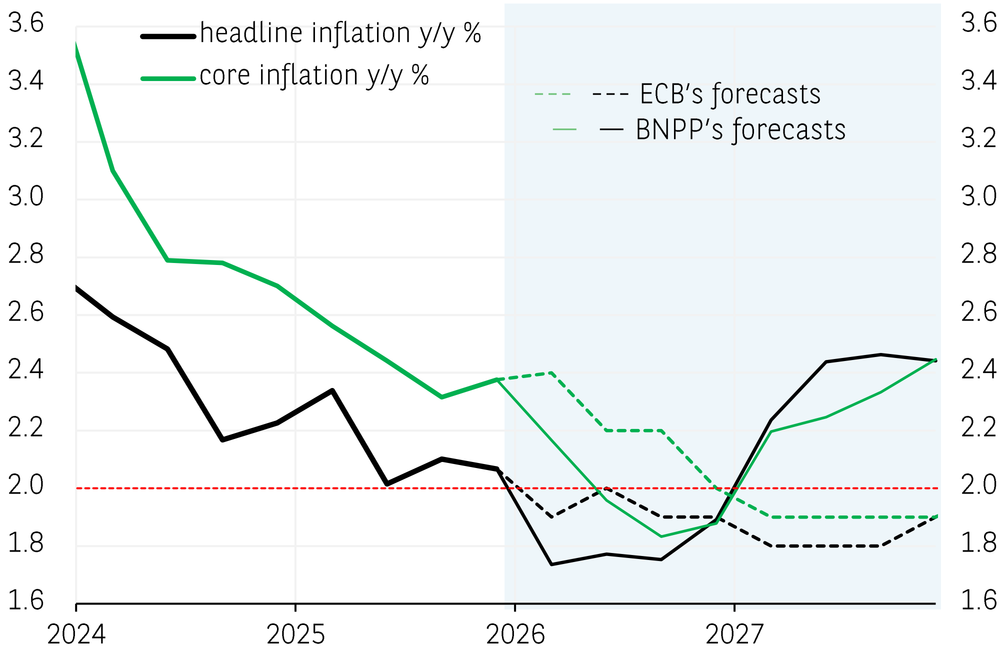
More broadly, 2027 could mark a structural break, not just for the Eurozone. The pre-pandemic era of persistently low inflation, hovering just below 2%, is unlikely to return. Instead, we may enter a new regime characterised by more frequent negative supply shocks (shortages, supply bottlenecks, climate disruptions). While AI-driven productivity gains may provide some offset, the net effect is likely to be greater inflation volatility as well as higher inflation on average, settling above the 2% target.

[1] According to our forecasts and those of the ECB, annual average inflation is expected to be 1.9% in 2026, after 2.1% in 2025.

[2] 2027 GDP growth is expected to average 1.6% annually, after a similar performance in 2026. The ECB is less optimistic, with expected growth of 1.2% and 1.4% this year and in 2027, respectively.

[3] Headline inflation is expected to rise to an annual average of 2.3% in 2027 according to our baseline forecasts and 1.8% according to the ECB.

Eurozone: Headline and core inflation forecasts



Source: ECB, Macrobond, BNP Paribas

Hélène Baudchon Helene.baudchon@bnpparibas.com (completed on 27/02/2026)

KEY POINTS - Confirmed disinflation in the major advanced economies

In January, inflation fell in the United States, the Eurozone, the United Kingdom and Japan. The United Kingdom still has the highest inflation rate, ahead of the United States. The Eurozone followed, with Japan recording the lowest inflation rate. Core and wage trends are moderating overall, with this trend reinforced by the anchoring of inflation expectations.

- In the **United States**, inflation (CPI) fell in January (-0.3 pp to 2.4% y/y). Core inflation also moderated (-0.1pp m/m to 2.5%). Wages are gradually continuing to decelerate (page 22) and one-year household inflation expectations (page 16) are continuing to fall sharply (3.3% in February 2026, compared with 6.6% in May 2025). However, five-year inflation expectations remain historically high. At the same time, the price pressure index is rising slightly (page 14) and producer prices remain dynamic (+3% y/y in December). All of this supports the scenario of persistently higher inflation in the United States than in the Eurozone.

- This scenario is even more likely given that inflation in the **Eurozone** slowed again in January, reaching its lowest level since April 2021 (+1.66% y/y; -0.3 pp m/m). Core inflation is also down (-0.1 pp to 2.2%). Differences between countries persist, with France (+0.4%), Italy (+1.0%) and Finland (+1.0%) recording the most moderate rates, while Slovakia (+4.3%), Estonia (+3.8%) and Croatia (+3.6%) are continuing to see the strongest increases (page 9). The outlook remains favourable for disinflation, despite a sharp rise in the price pressure indicator since May (+5 pts) (page 14). Inflation expectations among forecasters and households remain stable (page 17) and growth in negotiated wages is slowing sharply (+1.9%, compared with 4% in October; page 22), as are producer prices (page 8).

- In the **United Kingdom**, inflation remains high, but disinflation is continuing (3.0% y/y; -0.4 pp m/m), driven by the slowdown in the core component (3.1%; -0.2 pp; the lowest since September 2021). Forward-looking signals are pointing downwards, as producer prices have been slowing since October (-1 pp to 2.6% between October and January), wage growth has moderated markedly over a year (from 5.3% in January 2025 to 2.5% in January 2026) and household inflation expectations are now stable in the short and medium term (around 3.5%).

- Inflation was weakest in **Japan** in January (1.5% y/y; -0.5 pp m/m). The all-items index returned to its lowest level since March 2022, due to the now negative contributions of the energy and food components (page 6). Core inflation is also slowing sharply (-0.4 pp to 2.0%, according to the measurement by the BoJ) (page 12). While wage pressures remain high by historical standards (+2.1% in December), other indicators suggest that inflation is stabilising, as producer prices have moderated significantly (+2.3% in January 2026, compared with +4.2% a year earlier), one year forecasters' expectations have declined (1.85% in January, compared with 2.75% in December) and price pressures have eased.

Lucie Barette lucie.barette@bnpparibas.com (completed on 26/02/2026)

General dynamics of inflation

Inflation and survey data

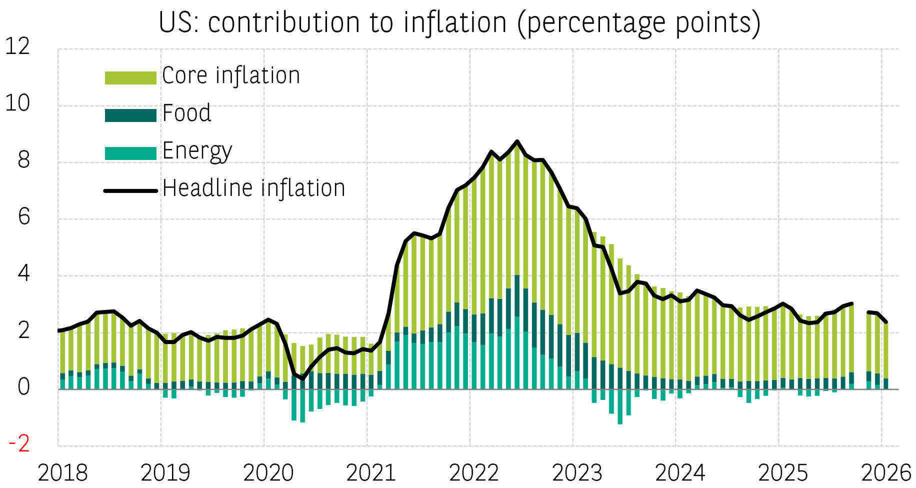
Inflation expectations (households, forecasters, markets)

Inflation-wage dynamics

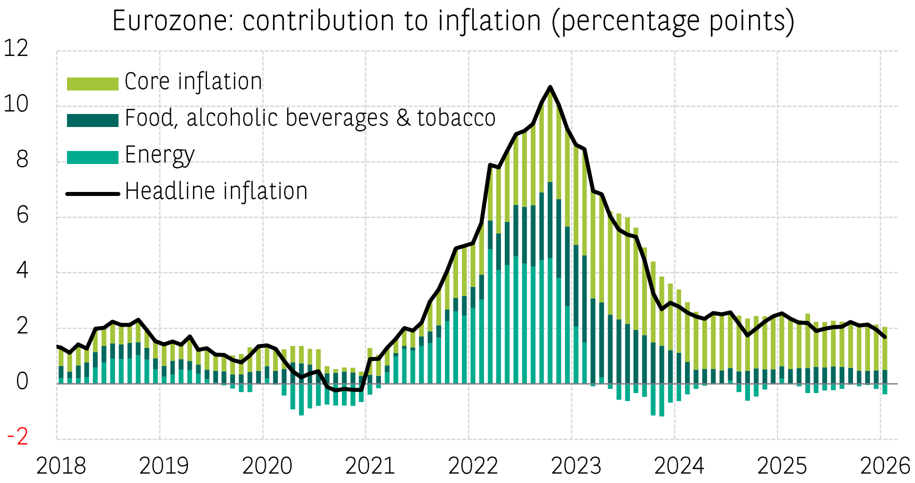
Commodities

General dynamics of inflation

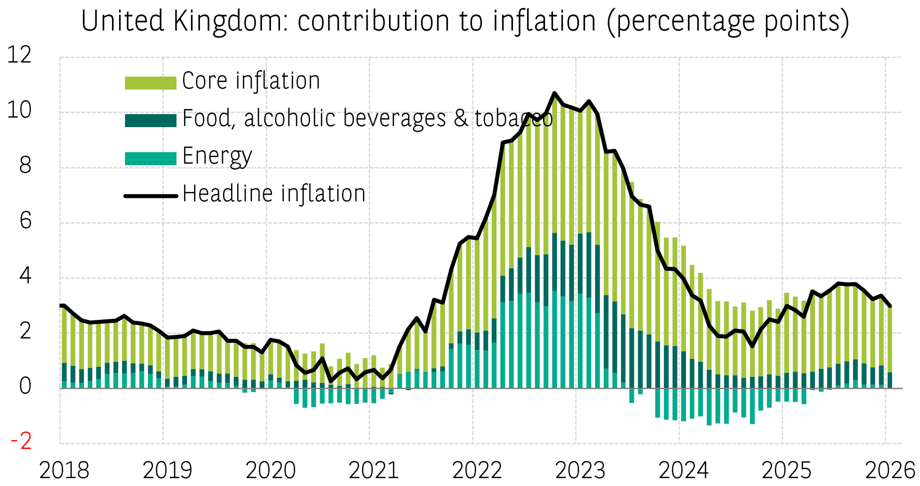
General dynamics of inflation: decomposition of inflation



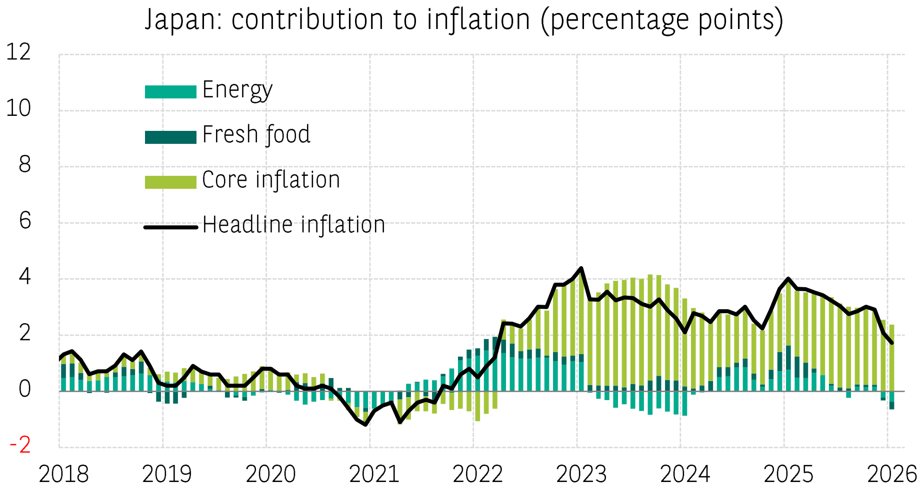
Source: BLS, BNP Paribas calculations



Source: Eurostat, BNP Paribas calculations



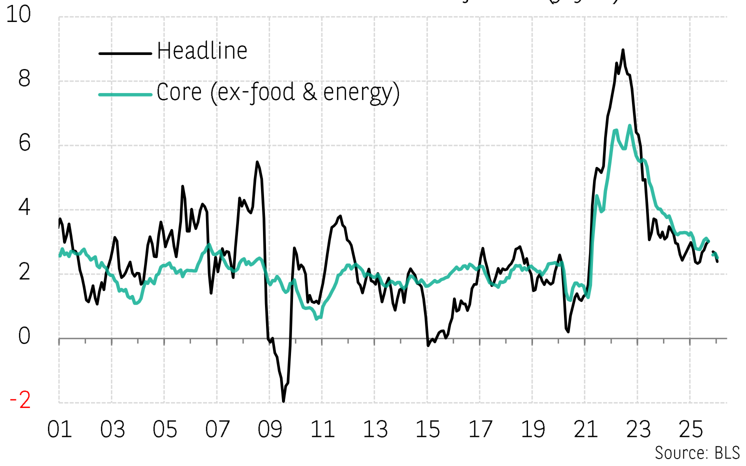
Source: ONS, BNP Paribas calculations



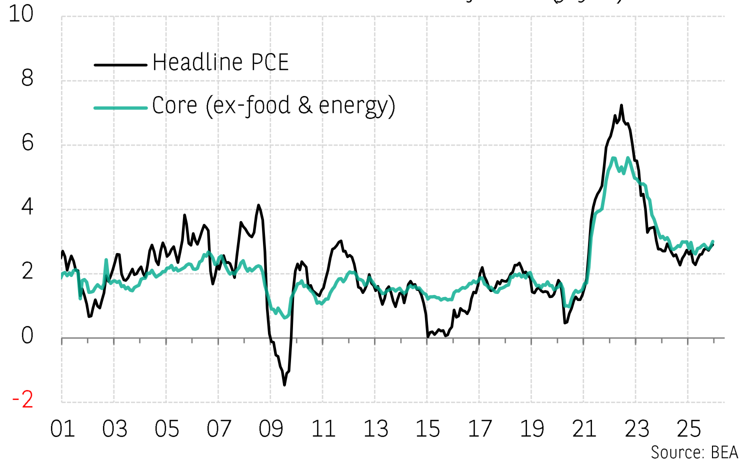
Source: Japan Statistics Bureau, BNP Paribas calculations

Inflation dynamics in the United States: different metrics and degree of generalisation

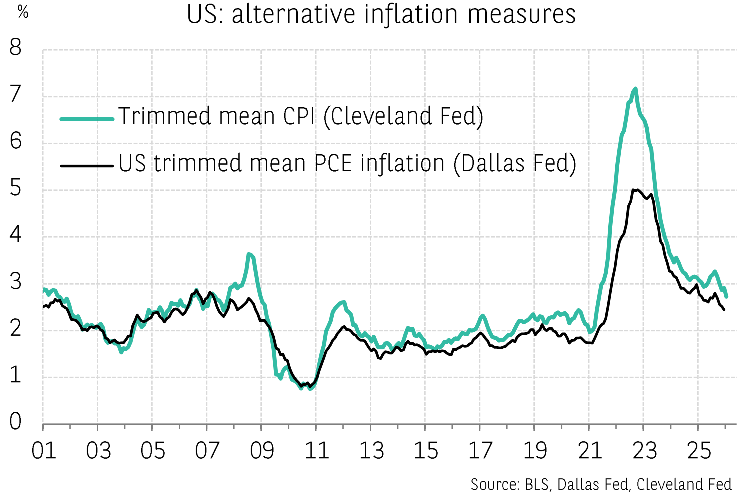
US: headline and core CPI inflation (y/y %)



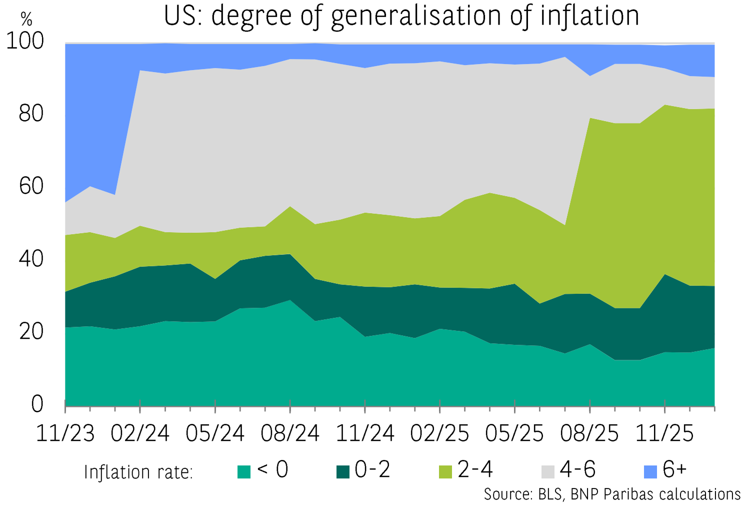
US: headline and core PCE inflation (y/y %)



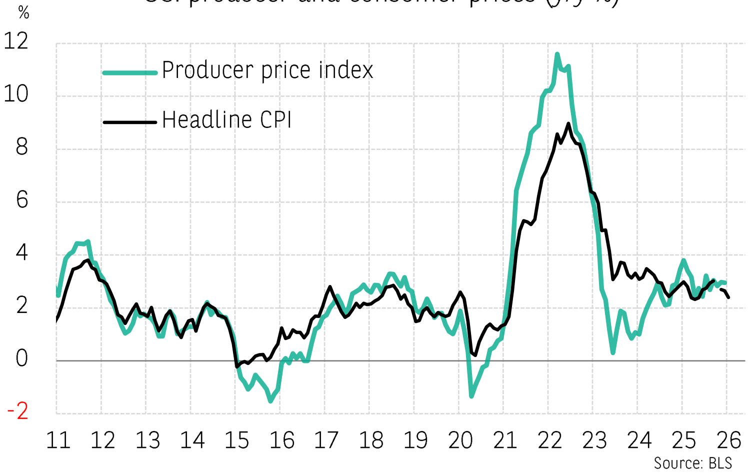
US: alternative inflation measures



US: degree of generalisation of inflation

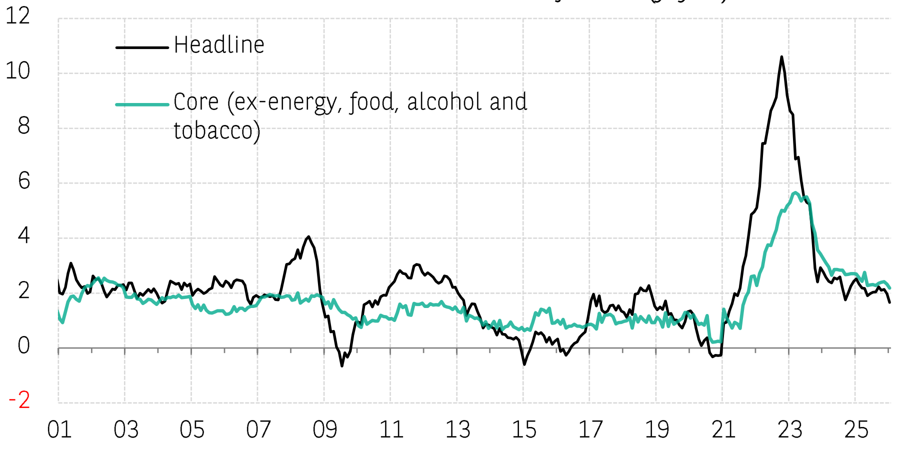


US: producer and consumer prices (y/y %)



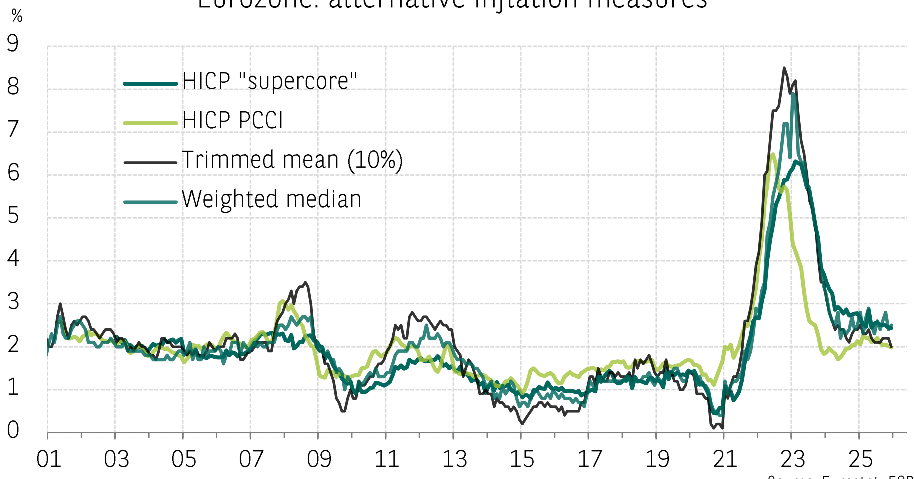
Inflation dynamics in the Eurozone: different metrics and degree of generalisation

Eurozone: headline and core inflation (y/y %)



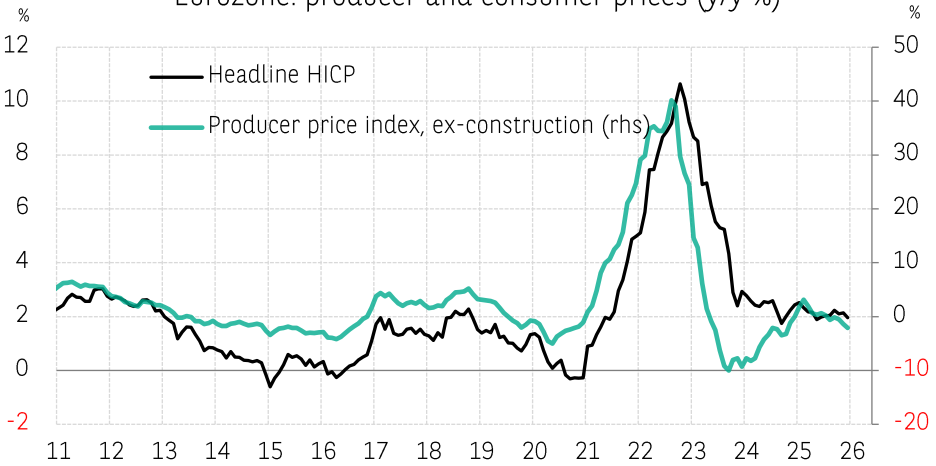
Source: Eurostat

Eurozone: alternative inflation measures



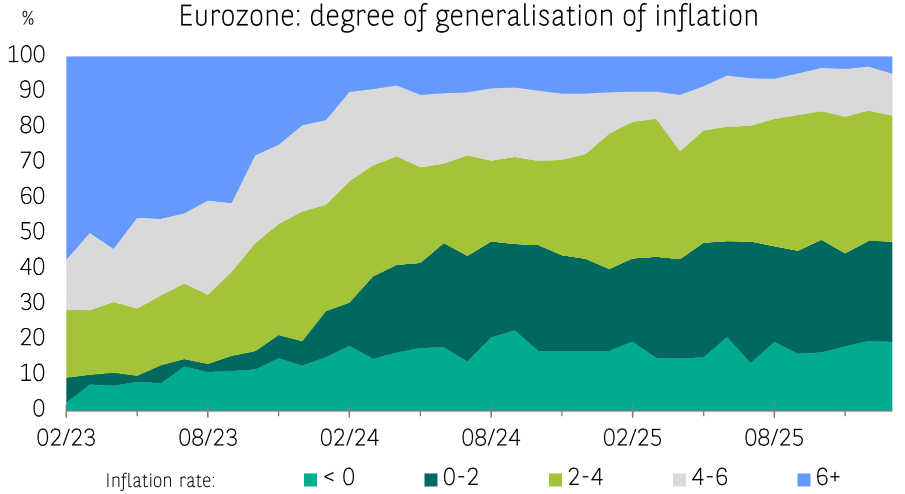
Source: Eurostat, ECB

Eurozone: producer and consumer prices (y/y %)



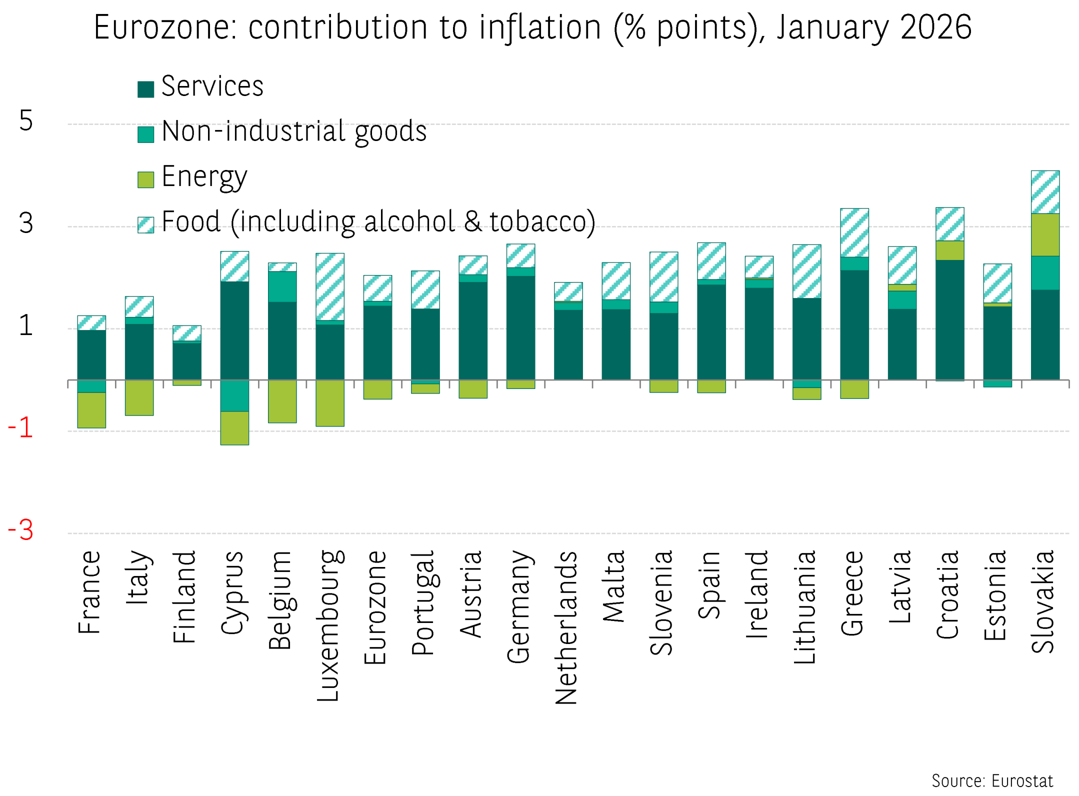
Source: Eurostat

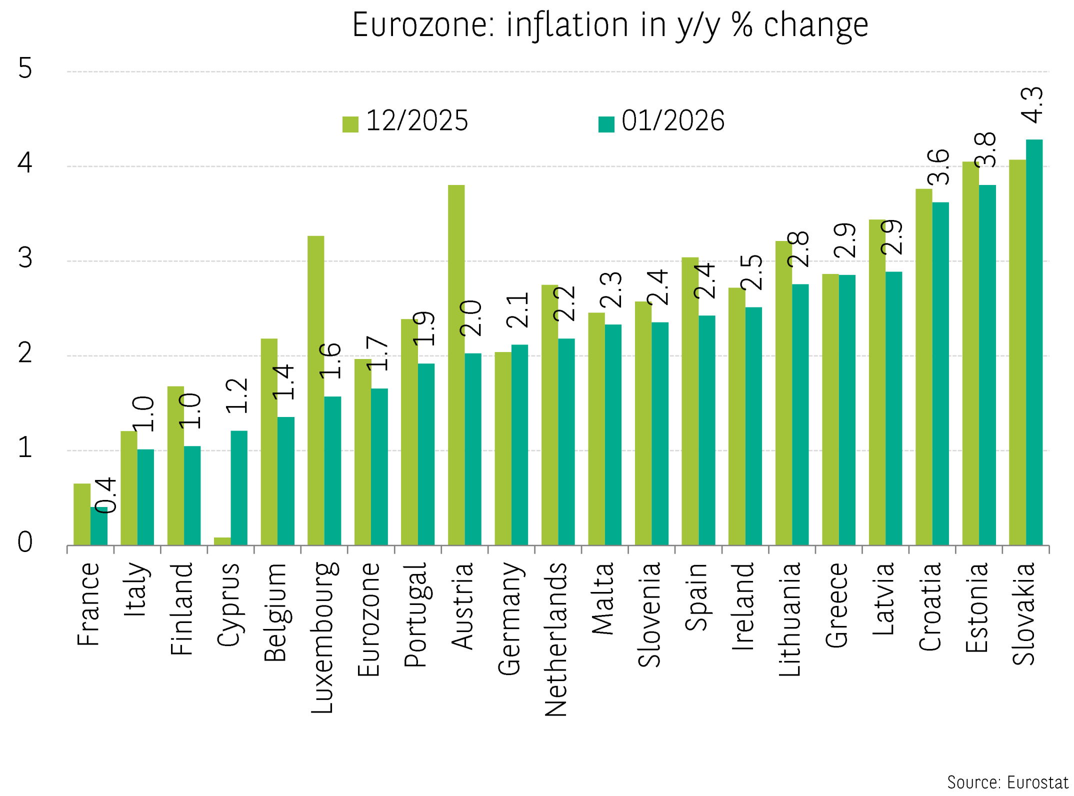
Eurozone: degree of generalisation of inflation



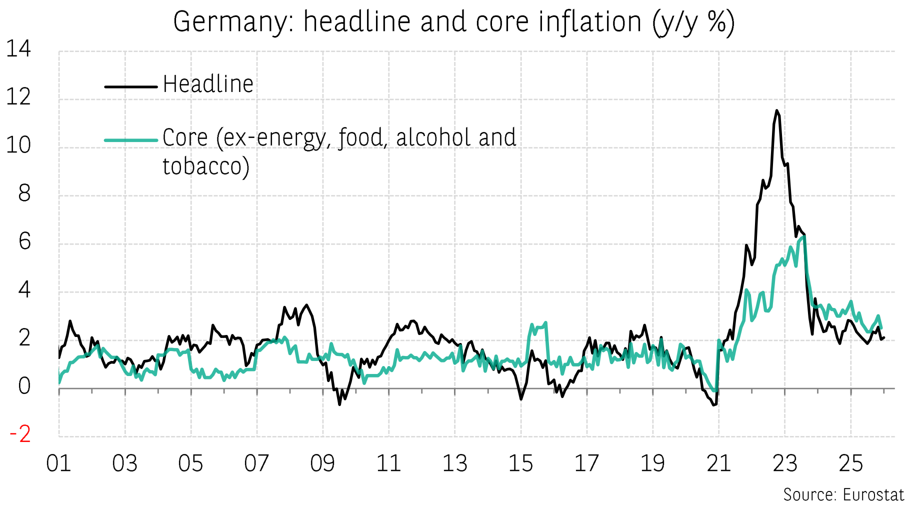
Source: Eurostat, BNP Paribas calculations

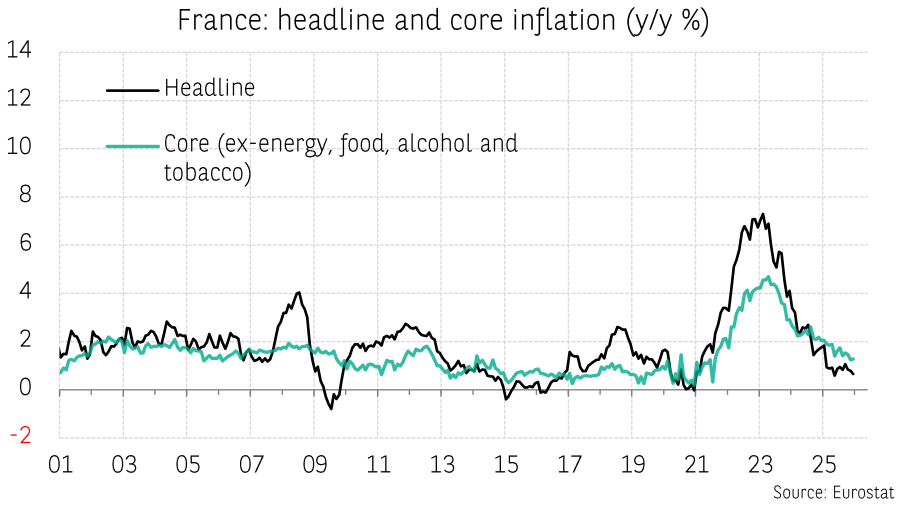
Inflation dynamics in the Eurozone by country (1)

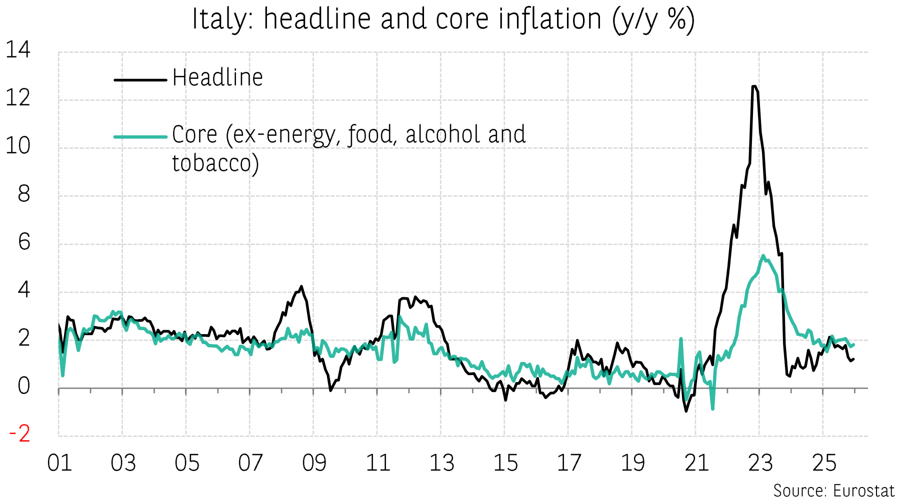


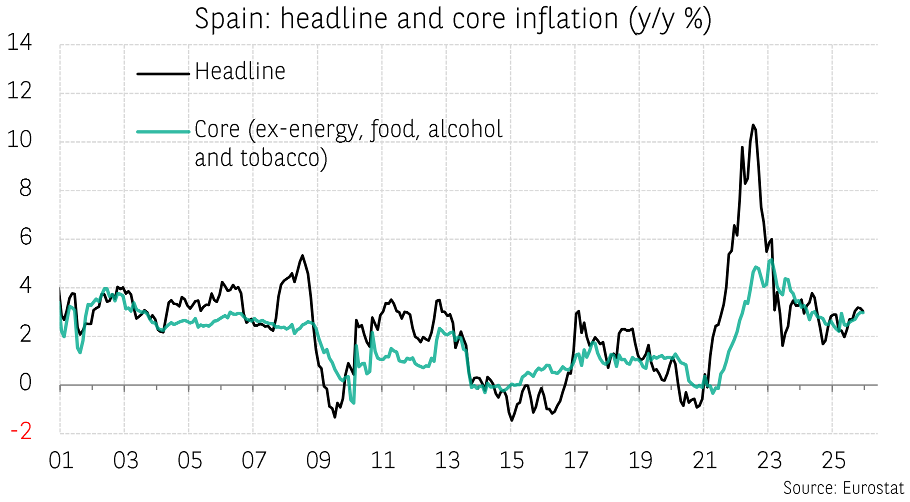


Inflation dynamics in the Eurozone by country (2)

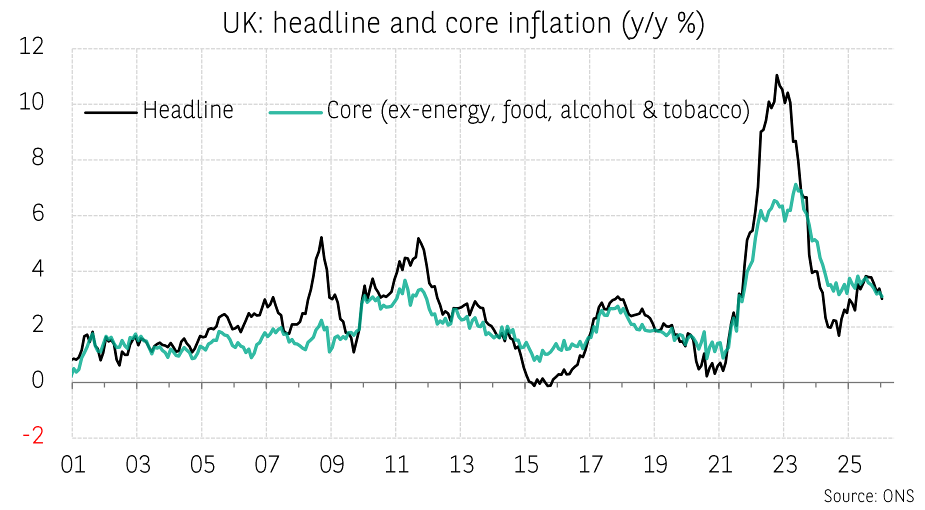


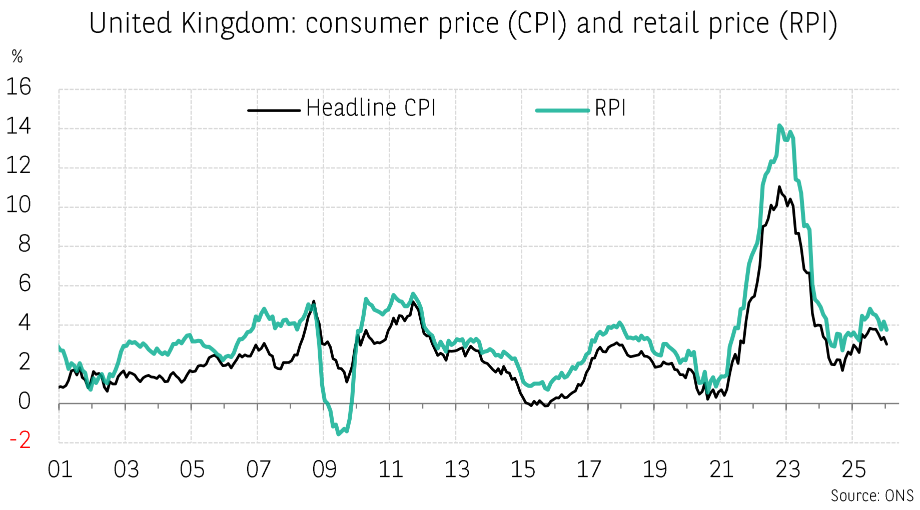


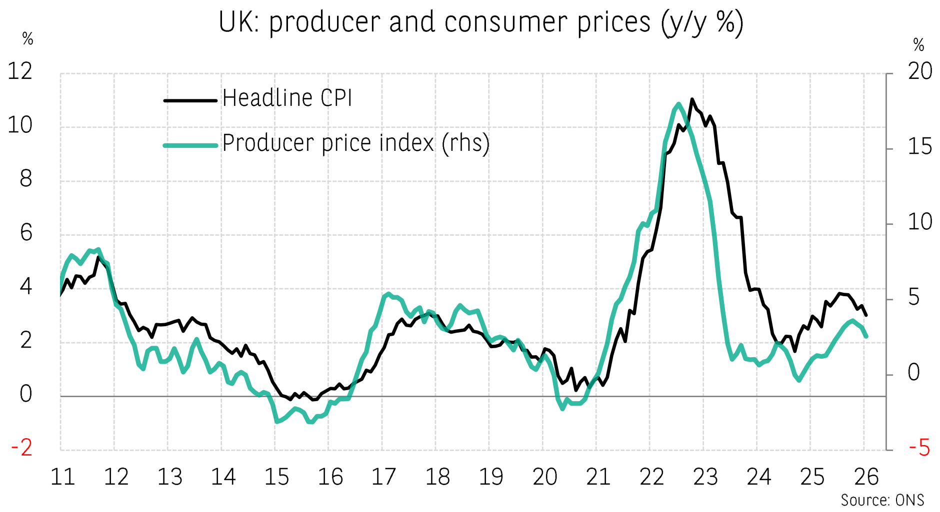


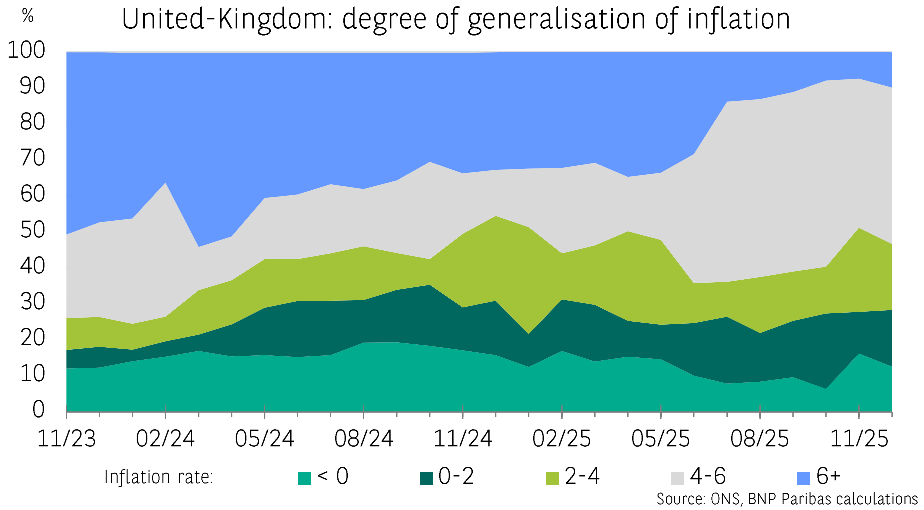


Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

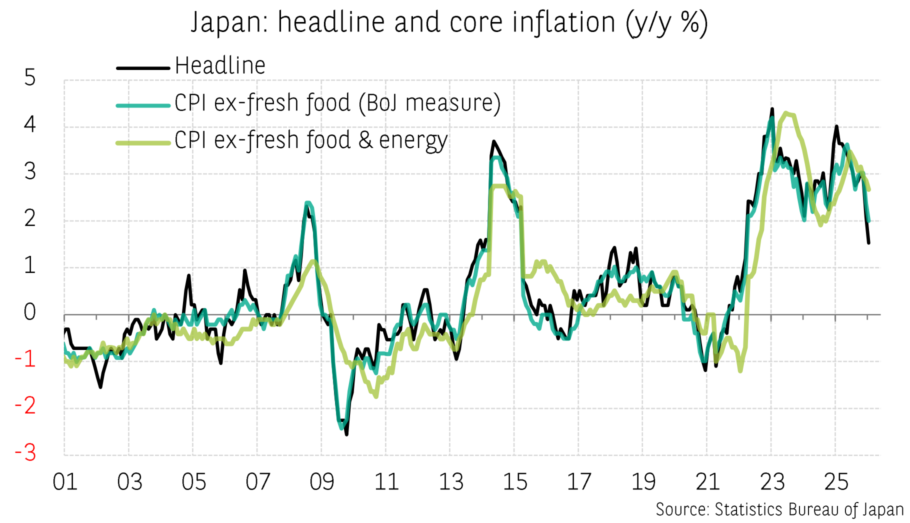


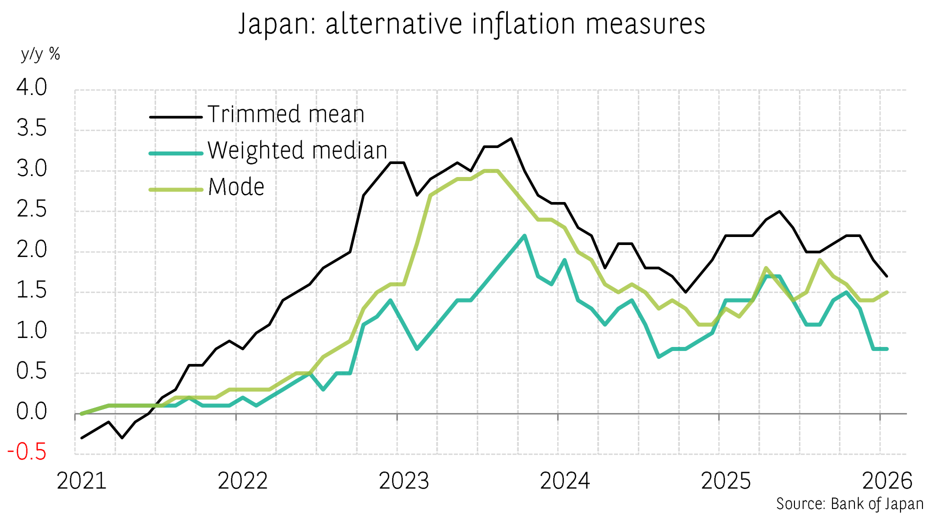


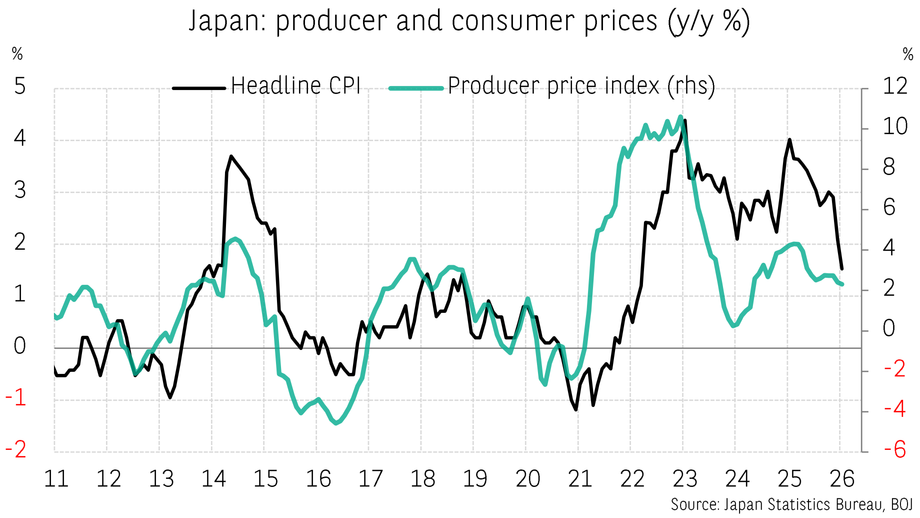


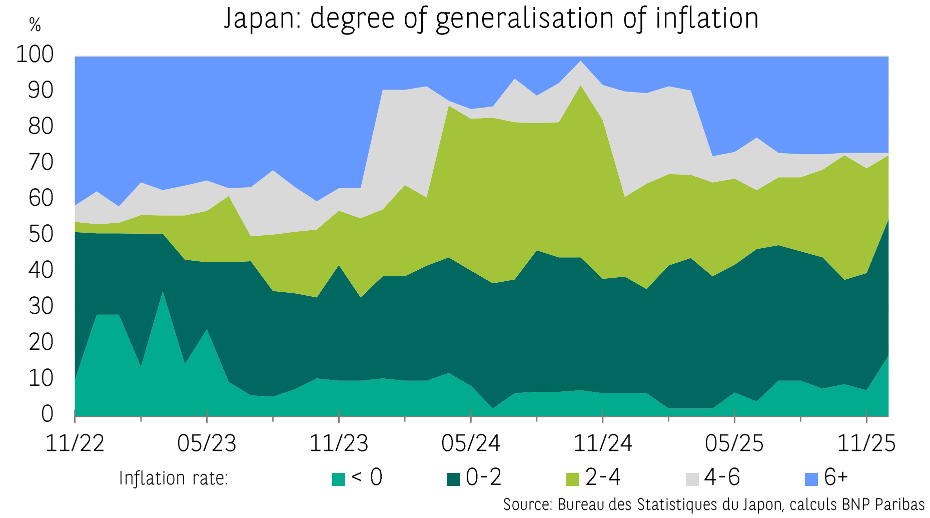


Inflation dynamics in Japan: different metrics and degree of generalisation



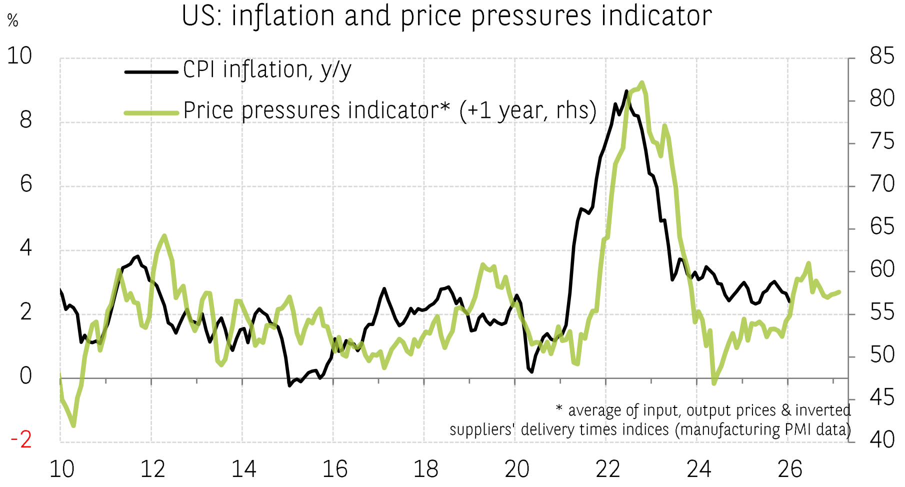




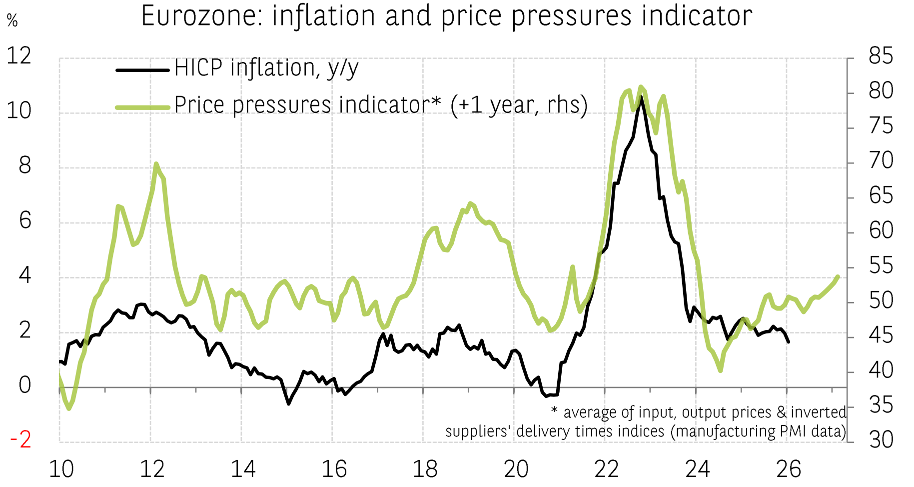


Inflation and survey data

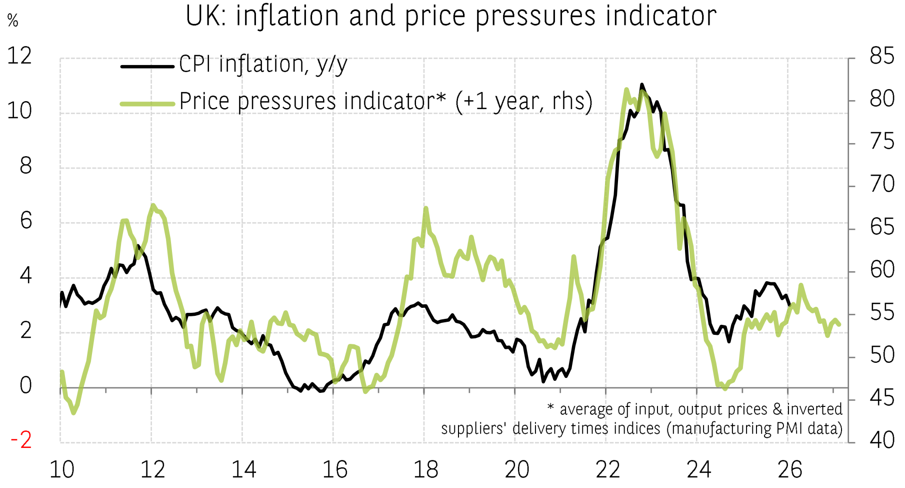
PMI surveys: an indication of inflationary pressures



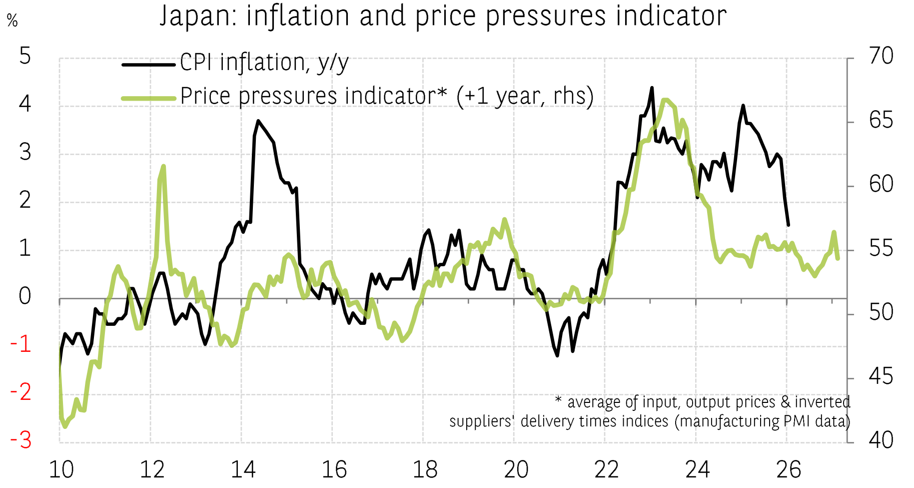
Source: BLS, S&P Global



Source: Eurostat, S&P Global



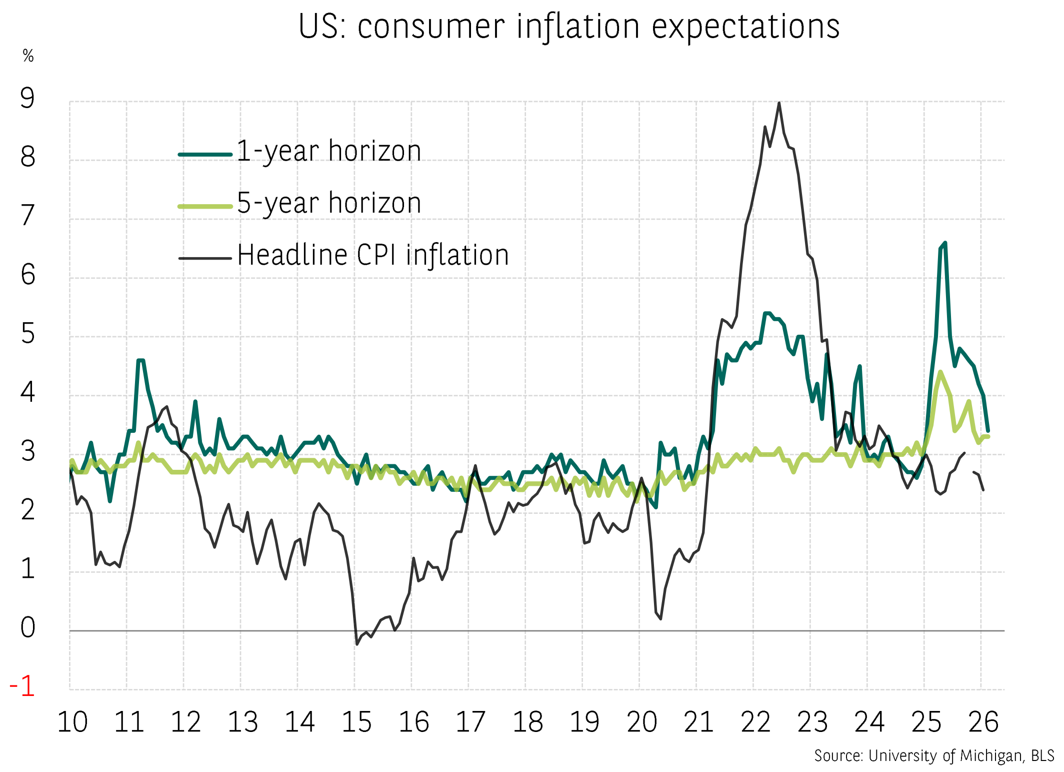
Source: ONS, S&P Global

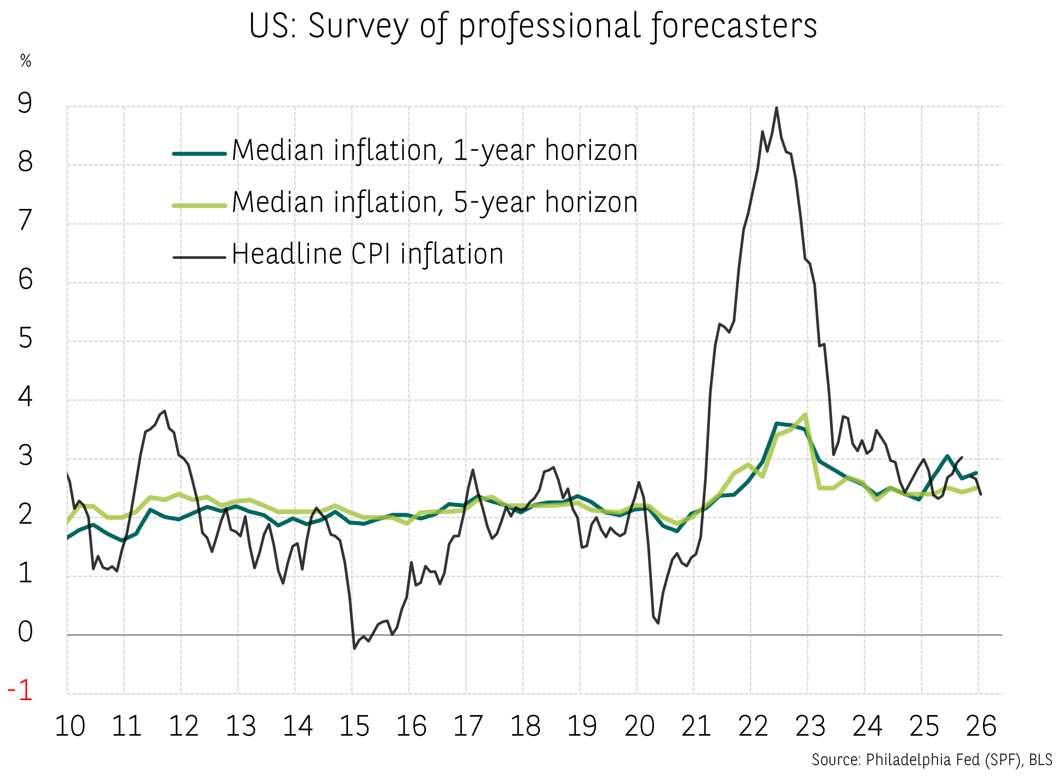


Source: Statistics Bureau of Japan, S&P Global

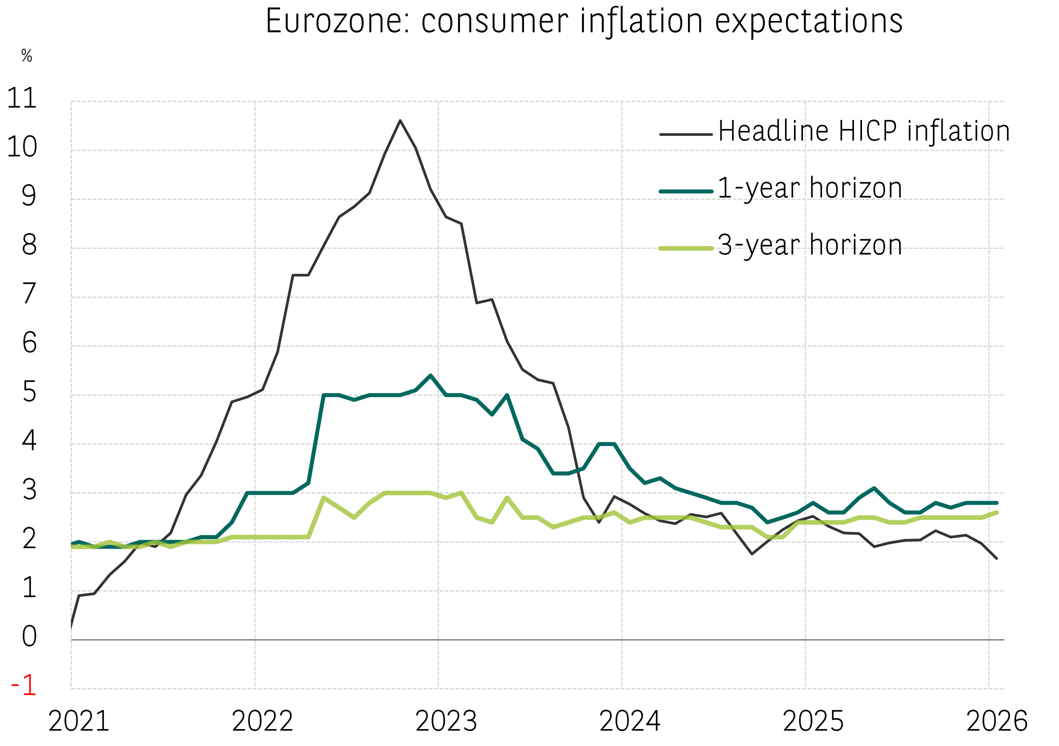
Inflation expectations (households, forecasters, markets)

Inflation expectations in the United States

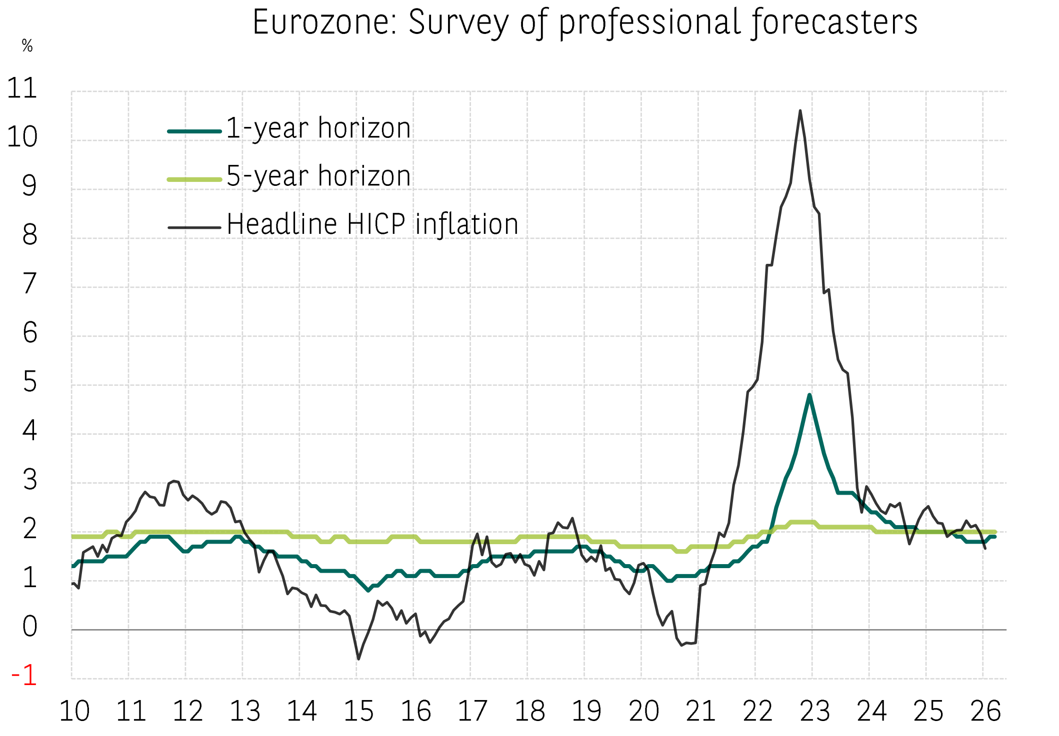




Inflation expectations in the Eurozone



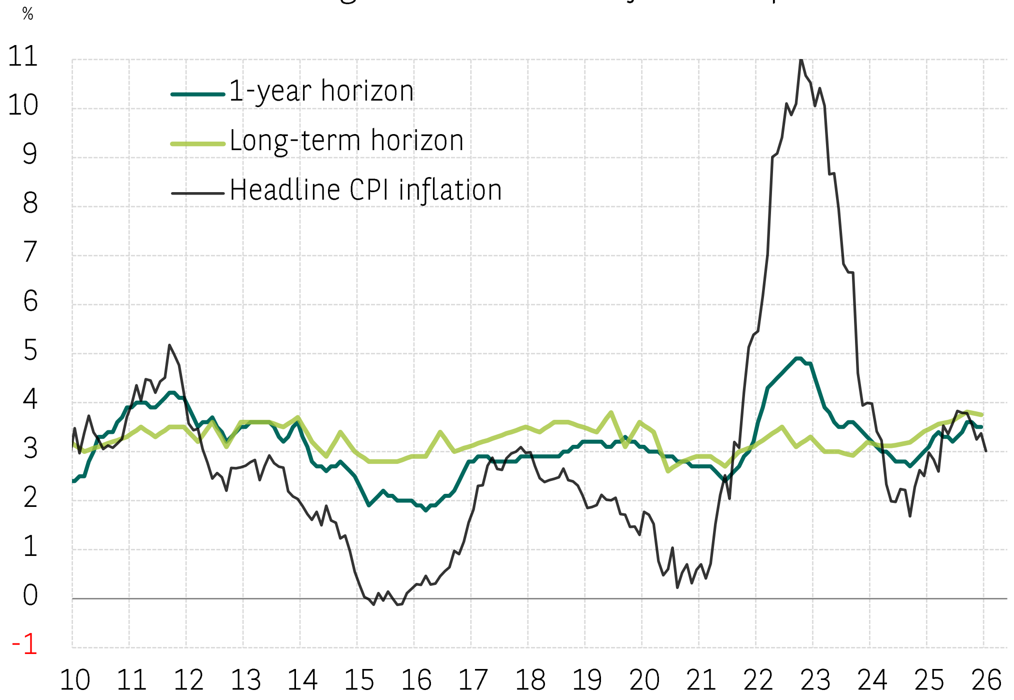
Source: Eurostat, ECB (CES survey)



Source: ECB (SPF), Eurostat

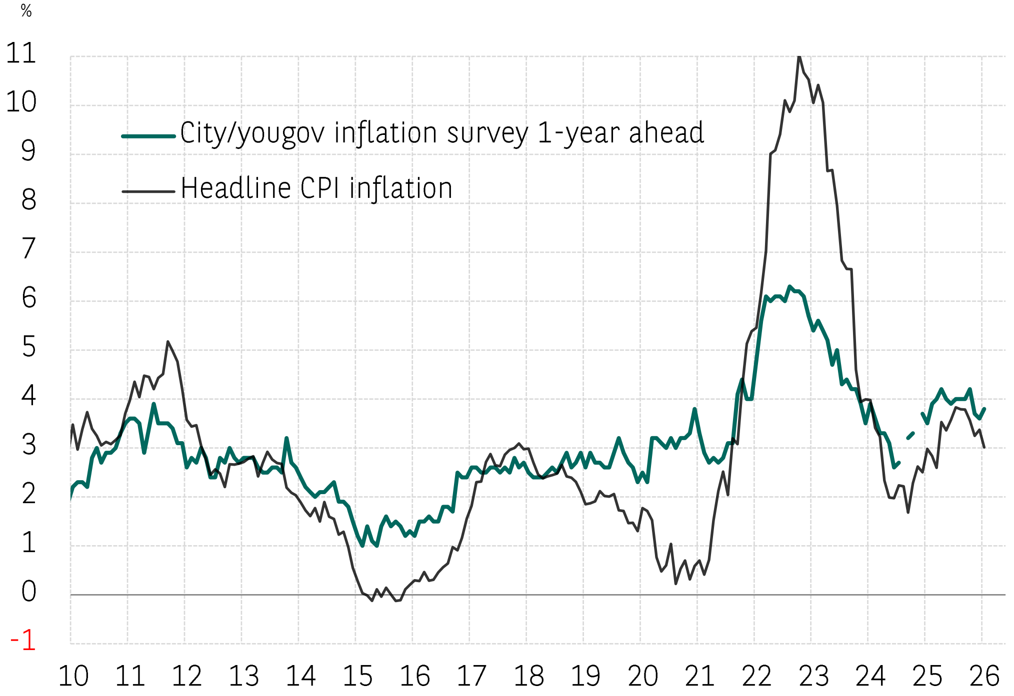
Inflation expectations in the United Kingdom

United Kingdom: consumer inflation expectations



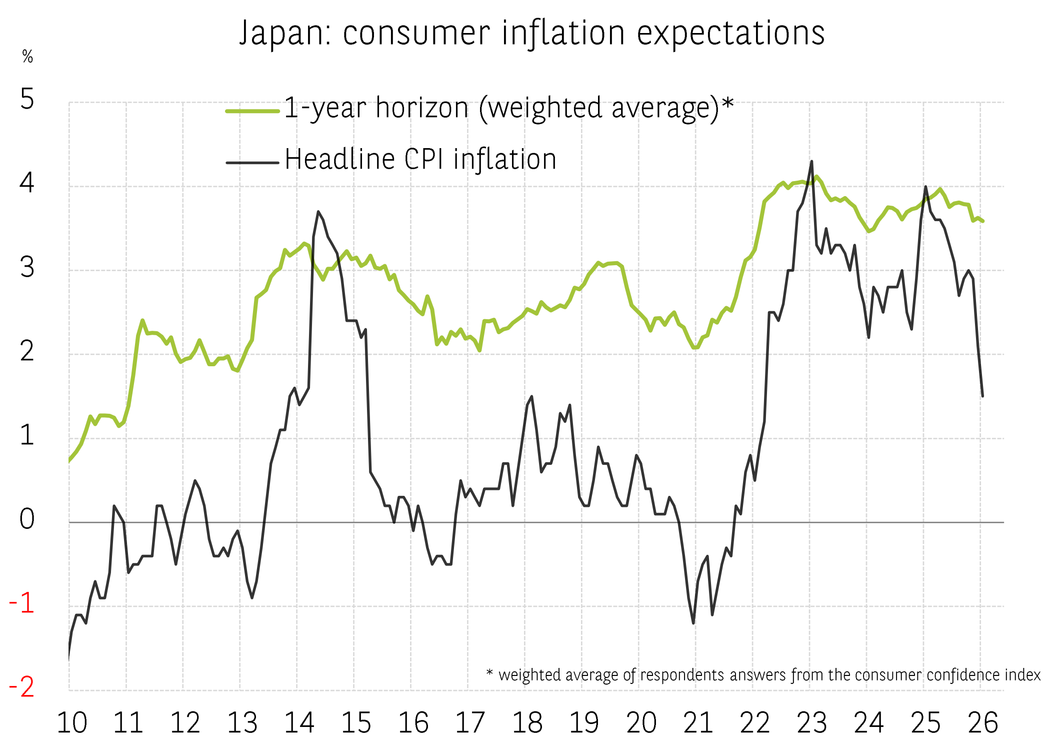
Source: BOE/NOP, ONS

United Kingdom: inflation expectations

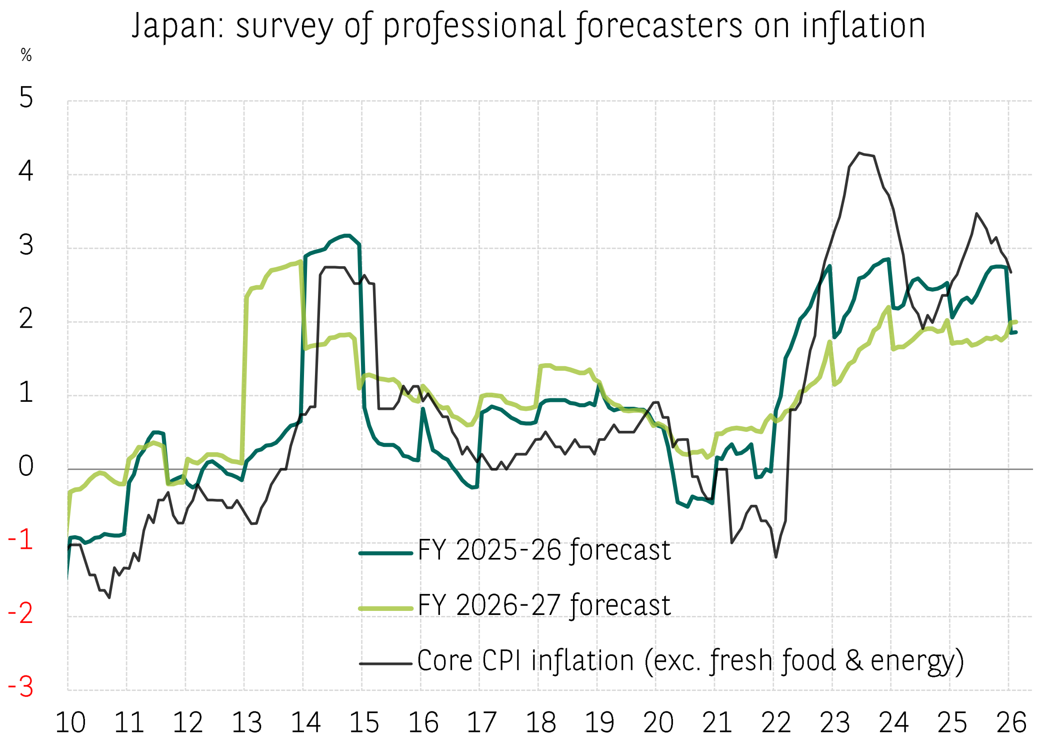


Source: YouGov/Citigroup, ONS

Inflation expectations in Japan

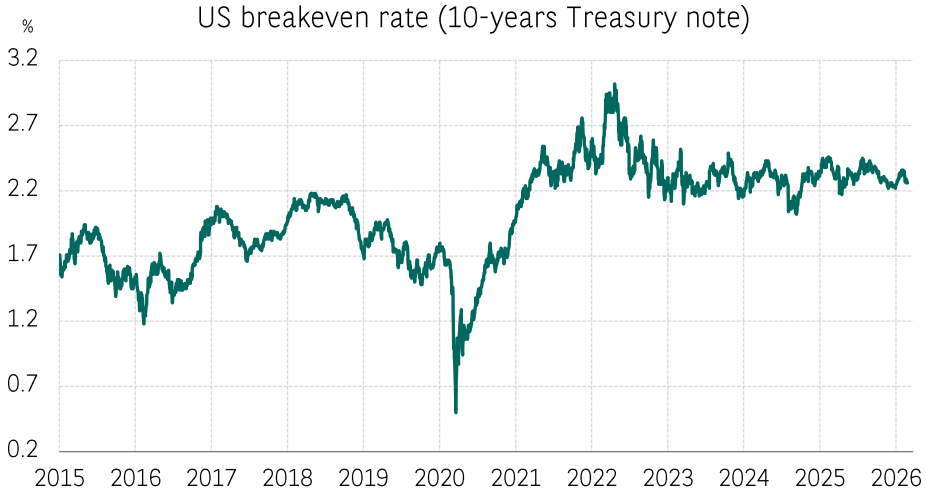


Source: Statistics Bureau of Japan, Cabinet Office

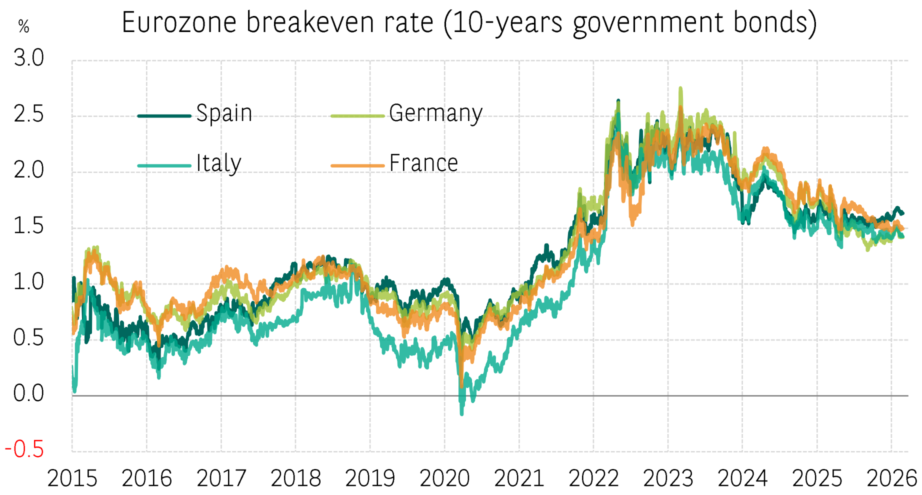


Source: Japan Center of Economic Research, Jaan Bureau of Statistics

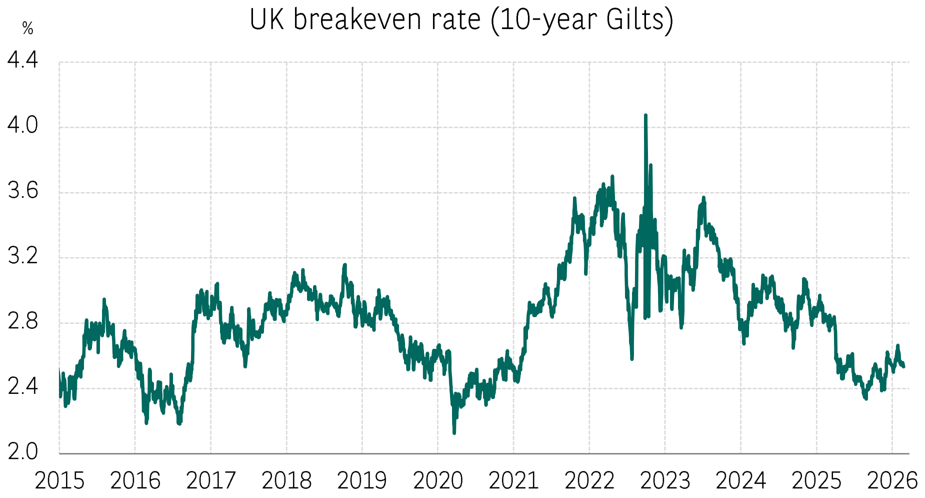
Market expectations: breakeven inflation rate



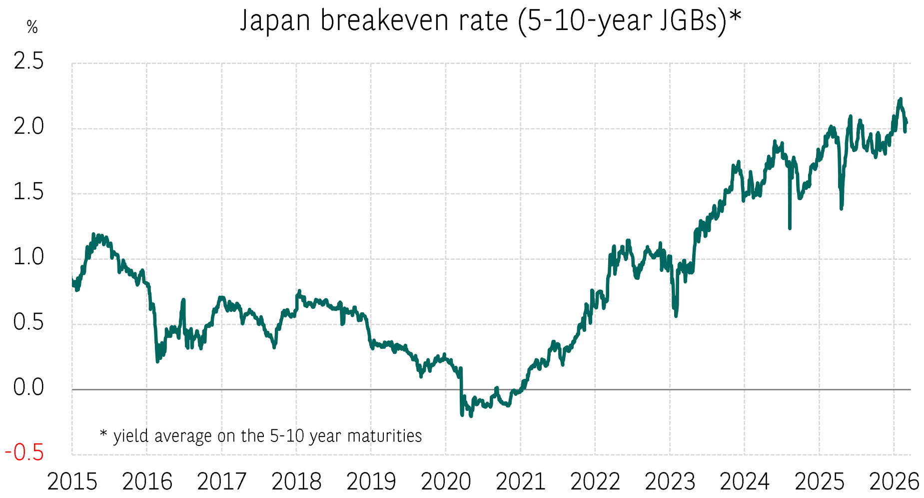
Source: Federal Reserve



Source: Refinitiv, iBoxx



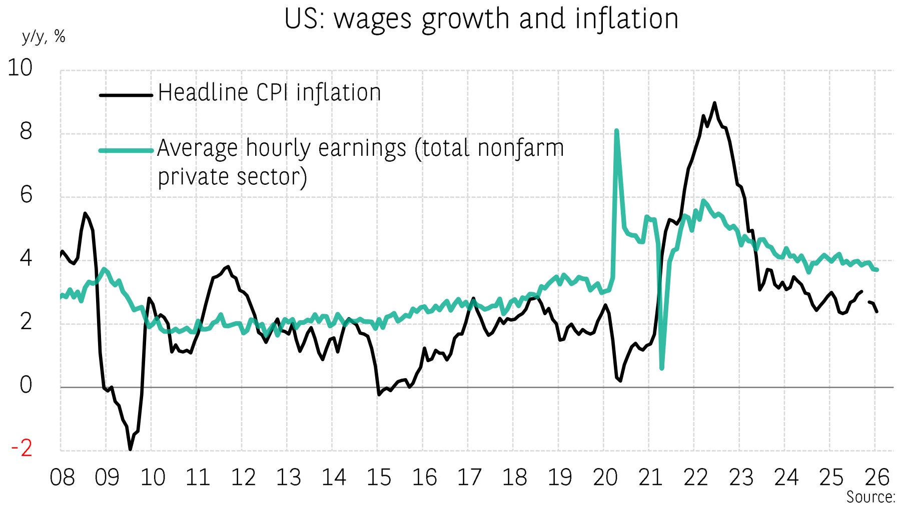
Source: Refinitiv, iBoxx



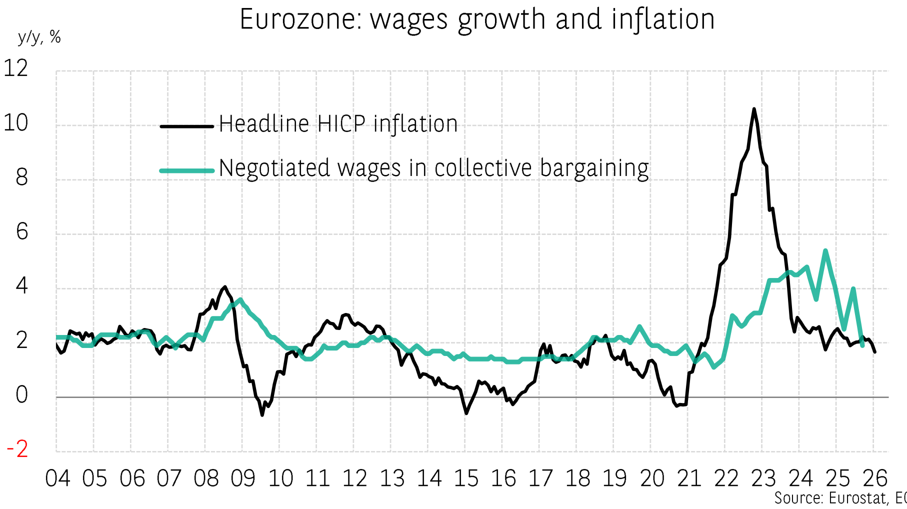
Source: Refinitiv, iBoxx

Inflation-wage dynamics

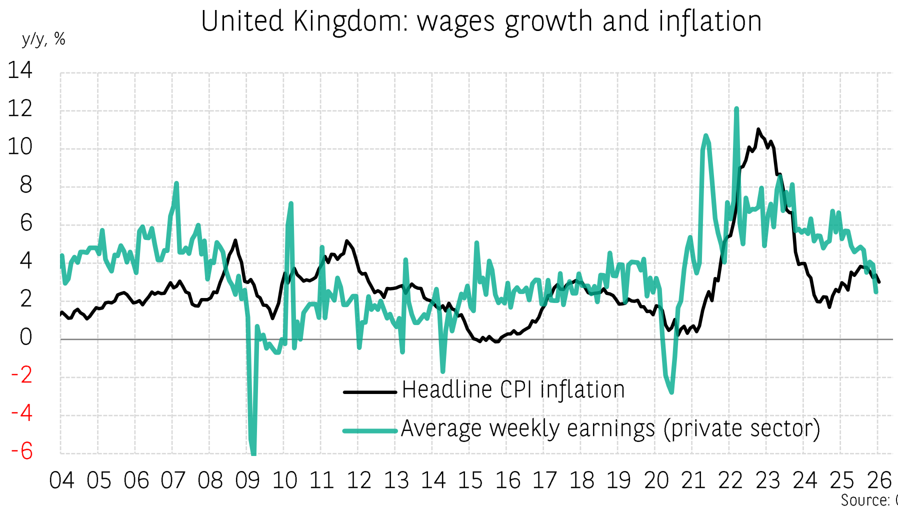
Inflation-wage dynamics



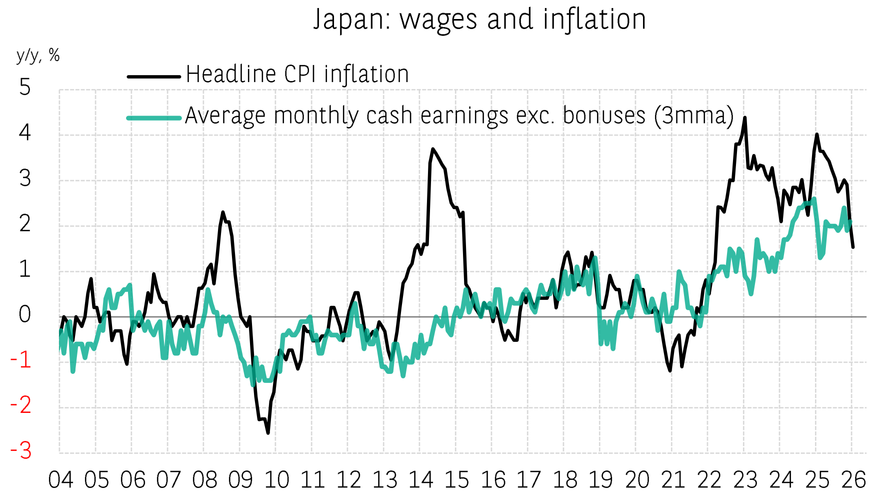
Source: BLS



Source: Eurostat, ECB



Source: ONS



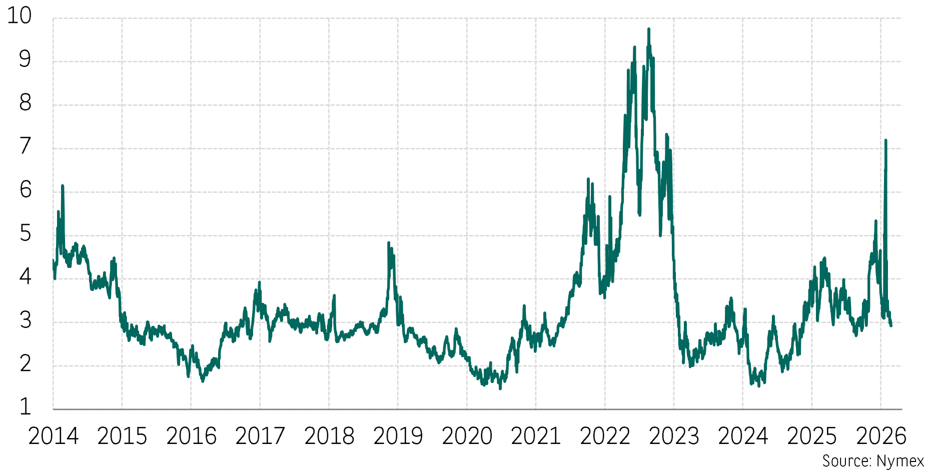
Source: Statistics Bureau of Japan, Ministry of Health, Labour & Welfare

Commodities

Commodities

WTI crude oil price, USD/barrel

Natural gas price, USD/million BTU



S&P GSCI industrial metal spot price index

S&P GSCI agriculture spot price index

BNP PARIBAS ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

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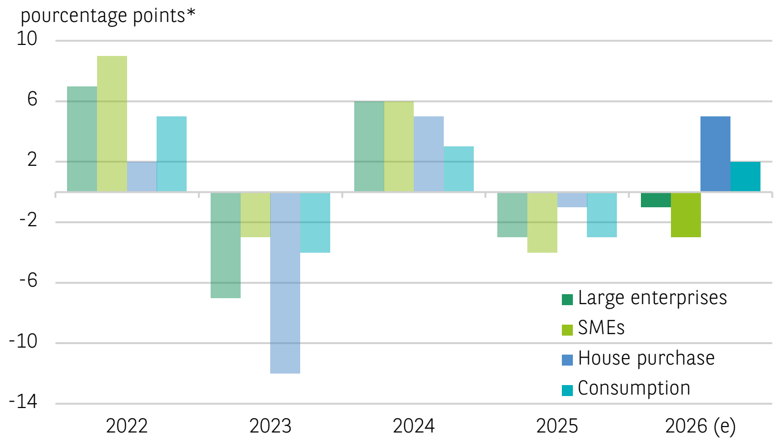
CREDIT IN THE EUROZONE: TOWARDS A TIGHTENING OF CREDIT STANDARDS, TARGETING HOUSEHOLDS BUT LIMITED IN SCOPE

Thomas Humblot

According to the ECB's Bank Lending Survey (BLS), some banks in the Eurozone may tighten their credit standards for households more significantly in 2026 than in 2025. The reason for this is the more constraining calculation of regulatory capital requirements. In contrast, the tightening would be less severe for corporations. This desynchronisation is unusual. It tends to illustrate the effect of the ramp-up of the output floor, which would particularly affect housing loans. However, the effect would remain very limited: only one in ten banks is considering to change its standards. New loans to households and corporations would keep their momentum largely unchanged.

Between 15 December 2025 and 13 January 2026, the ECB surveyed the 140 largest banks in the Eurozone on the effect of recently approved, implemented or forthcoming regulatory or supervisory actions on their credit standards[1]. Among those planning to tighten their standards over the next 12 months, households would be hit harder than corporations. For example, 10% of banks expect a slight tightening for housing loans, 3% a strong tightening and 1% a slight easing. The net percentage of banks expecting further tightening in 2026 is much higher than the net percentage observed in 2025 (12% and 7%, respectively). The same applies to consumer loans. On the contrary, the tightening of credit standards for corporations in 2026 is expected to be less than that observed in 2025.

IN 2026, CREDIT STANDARDS FOR LOANS TO HOUSEHOLDS WILL BE (SLIGHTLY) MORE IMPACTED BY THE TIGHTENING OF PRUDENTIAL REQUIREMENTS



*Annual change in the percentage of banks responding that regulatory or supervisory actions have tightened or will tighten credit standards, minus the percentage of banks responding that they have eased or will ease credit standards.

SOURCES : ECB, BNP PARIBAS

Historically, changes in credit standards for households and corporations have moved in the same direction. Therefore, the desynchronisation expected for 2026 is unusual. It tends to demonstrate the initial noticeable effects of the ramp-up of the output floor. The latter leads to an increase in regulatory capital requirements, particularly in relation to housing loans. More generally, the entry into force of CRR3 – the European translation of the finalised Basel III Accord – on 1 January 2025 will lead to higher regulatory capital requirements, which is likely to tighten credit standards[2]. The banks surveyed by the ECB also mention the impact of higher liquidity requirements in order to comply with regulatory liquidity ratios, particularly due to geopolitical uncertainties.

However, only one in ten banks is considering to change its credit standards due to the new prudential requirements. The impact would therefore be very limited. It could be confined to banks whose housing loans represent a significant portion of their portfolio, or to those that would accept a slowdown in the growth of their housing loan portfolio because it is less strategic. Ultimately, new loans would remain largely buoyant: since June 2025, the cumulated monthly flows of new loans over 12 months has increased, on average and a year-on-year basis, by 30% for housing and 10% for corporation loans.

Thomas Humblot
thomas.humblot@bnpparibas.com

1 Credit standards are internal standards at banks which must be met for a credit to be granted before the credit terms and conditions (such as rate and maturity) are even negotiated. The ECB does not publish information on the effect of the prudential requirements on credit terms and conditions.

2 Banks' risk weighted assets (RWA) can no longer be less than a proportion (50% in 2025 and up to 72.5% by 2030) of RWAs resulting from solely applying the standard approach. The advanced approach replaces the standard weightings with weightings from internal models approved by the regulator. Please see, in particular: Home loans in France: will the new prudential requirements result in interest rate hikes and higher down payments?

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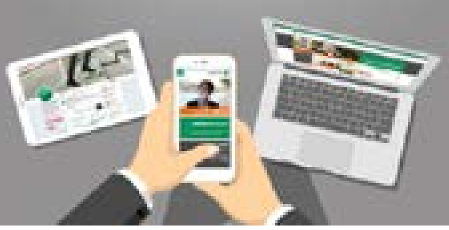

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Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
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Head of publication : Jean Lemierre

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“ THE TIME NEEDED FOR EUROPEAN DECISION-MAKING AND THE EVEN LONGER TIME NEEDED FOR THE LOW CARBON TRANSITION POSE CHALLENGES TO THE CONVERGENCE BETWEEN TRANSITION AND SOVEREIGNTY. NEVERTHELESS, THERE ARE REASONS FOR OPTIMISM. THE EU HAS ADOPTED A MORE PROACTIVE STANCE THAT COULD ENABLE TO LEVERAGE ITS STRENGTHS FOR THE LOW CARBON TRANSITION. ”

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EUROPEAN UNION: LOW CARBON TRANSITION & ENERGY SOVEREIGNTY, A PATH FRAUGHT WITH OBSTACLES

Pascal Devaux

Key elements of European policy, the low carbon transition and energy sovereignty programmes converge on many points. Rising geopolitical tensions, the European energy crisis of 2022 and the exacerbation of international trade tensions have contributed to this convergence. At first glance, it seems obvious: Europe, which is structurally dependent on fossil fuel imports, has an interest in accelerating the decarbonisation of its energy mix in order to ultimately reduce its hydrocarbon imports. Nevertheless, the progress of the transition-sovereignty tandem remains fraught with obstacles.

Firstly, technical obstacles posed by integrating renewable energies into existing networks could accentuate the role of gas as a transition energy, both delaying the transition and reducing Europe's energy sovereignty as a result.

Secondly, international tensions are posing challenges to its autonomy across the entire clean-technology value chain, from critical materials to equipment. Despite these constraints, the implementation of ambitious sovereignty programmes and Europe's real cleantech productive capacities (includes wind and solar equipment, heat pumps, batteries and electrolysers) could enable progress on both fronts.

In the first part, we will take stock of and assess European energy sovereignty and transition programmes. In the second part, we will examine some of the technical constraints that are slowing down the low carbon transition and how these could also prevent energy sovereignty objectives from being achieved. Finally, in the third part, we will look at the influence of geopolitical and geo-economic factors on the clean-technology value chain.

EUROPEAN UNION: LOW CARBON TRANSITION & ENERGY SOVEREIGNTY, A PATH FRAUGHT WITH OBSTACLES

Key aspects of European policy, the low carbon transition and energy sovereignty programmes converge on many issues. Rising geopolitical tensions, the European energy crisis of 2022 and heightened international trade tensions have contributed to this convergence. At first glance, it seems obvious: Europe, which is structurally dependent on fossil fuel imports, has an interest in accelerating the decarbonisation of its energy mix in order to reduce its hydrocarbon imports. Nevertheless, the progress of the transition-sovereignty pairing remains a path fraught with obstacles.

MULTIPLE EUROPEAN RESPONSES TO A MAJOR CHALLENGE

The low carbon transition and energy sovereignty are included in numerous European programmes. At a global level, rising geopolitical risk and trade tensions have reinforced the convergence of these two issues. The European picture is mixed at present. While undeniable progress has been made around the transition, placing the EU ahead of other major developed regions in terms of greenhouse gas (GHG) reduction, spending remains insufficient and energy sovereignty is progressing slowly.

A comprehensive European approach

Energy policy: the growing role of sovereignty objectives in transition programmes

The European low carbon transition policy is part of the Green Deal (2019), which brings together a number of regulations aimed at achieving carbon neutrality by 2050. In 2021, an interim programme called "Fit for 55" reinforced the regulations in order to reduce greenhouse gas emissions by 55% by 2030 (compared to 1990 levels). In addition to these climate objectives, programmes aimed at strengthening European energy sovereignty were added in 2022, most notably "RePower", which was launched in 2022. This programme aims to reduce Europe's dependence on hydrocarbons imported from Russia in three ways: by lowering energy consumption and increasing energy savings, accelerating the development of renewable energies, and diversifying sources of hydrocarbon supplies, particularly gas. While sovereignty remains RePower's priority, the text emphasises reducing gas dependence and energy consumption, which goes beyond the Fit for 55 transition targets. Finally, the EU launched its Green Deal Industrial Plan in 2023 against a backdrop of massive demand for clean technologies and trade imbalances in this sector. This set of programmes, designed to strengthen European competitiveness and sovereignty in transition industries, is structured around three components:

The Net Zero Industry Act (NZIA) aims to achieve 40% of European production capacity, mainly in the cleantech sector. When the programme was launched (2023), this proportion ranged from 3% for solar panels to 85% for wind power equipment.

The Critical Raw Materials Act (CRM Act[1]) aims to reduce European vulnerability, as the supply of critical materials is strategic for the transition, digital and defence industries.

The reform of the electricity market should reduce consumers' vulnerability to short-term price volatility and promote the decarbonisation of the energy mix.

More recently, rising international trade tensions over critical materials have prompted the European Commission to propose a new programme, "RESourceEU", which – like RePowerEU – aims to strengthen European market power in this sector, through the purchase and storage of materials in particular.

Estimated cost of the programmes

According to estimates by the European Commission (EC)[2], in order to achieve climate targets, (public and private) investments related to the transition (Green Deal, Fit for 55 and RePower) should amount to EUR 1,241 billion per year up to 2030, which is equivalent to 7.7% of European GDP in 2022. This estimate, which has been taken up by the European Central Bank[3], may be revised over time in order to reflect changes in the prices of materials and equipment, and changes in European targets.

So far, estimates have been revised upwards, almost doubling since 2019. However, downward revisions are also possible should there be a reduction in targets or a sharp fall in the costs of specific transition equipment, as the EC's estimates are based on prices prior to 2021. This estimate is up for debate, as it includes the transport sector (61% of total demand). However, this includes purchases of electric vehicles, which are not investments but instead purchases of durable goods by households. Nevertheless, the EC's estimate provides an understanding of the effort required from all EU economic agents.

The cost of increasing production capacity to meet the NZIA programme's targets (at least 40% of European production capacity in all segments) totals EUR 89 billion by 2030, or 0.5% of GDP in 2023.

Assuming that production capacity remains unchanged at 2023 levels, the necessary investment would amount to EUR 48 billion (0.3% of 2023 GDP)[4].

The convergence between transition and sovereignty poses a significant economic challenge

While the investments required to continue the low carbon transition are relatively high, especially when competing with other expenditure, such as defence, the expected gains around purchasing power, trade balance and economic activity are significant.

The war in Ukraine reveals a costly dependence on Russian gas

The war in Ukraine has revealed the extent of Europe's vulnerability around energy supplies. Europe's structural dependence on hydrocarbon imports (oil and gas) and the conflict in Ukraine have highlighted the importance of Russian gas imports.

1 The CRM Act sets criteria for increasing European extraction (10%), processing (40%) and recycling (25%) capacities for critical materials, as well as guidelines for a supply diversification policy.
2 European Commission, (2023), Investment needs assessment and funding availabilities to strengthen EU's Net-Zero technology manufacturing capacity, Commission staff working document.
3 European Central Bank, 2025, Investing in Europe's green future, Green investment needs, outlook and obstacles to funding the gap, Occasional Paper Series.
4 European Commission, 2023, Investment needs assessment and funding availabilities to strengthen EU's Net-Zero technology manufacturing capacity, Commission staff working document.

In 2021, the EU imported around 60% of its natural gas consumption, with 45% coming from Russia. The economic consequences of the gradual halt to these imports have been significant. They are visible in the European trade balance and the energy prices paid by households and businesses. *See Chart 1*.

The price of liquefied natural gas (LNG) in Europe[5] increased 2.4-fold in 2022 compared to 2021 and sevenfold compared to the 2016–21 average, leading to higher electricity prices across the region (*Chart 2*). This is because the wholesale price of electricity in Europe is set based on the "merit order" rule, *i.e.* at the marginal cost of the last energy source called upon. Therefore, the price of natural gas has a significant influence on the price of electricity, given its high share in the electricity mix of many EU countries.

According to Eurelectric[6], gas has determined the price of electricity approximately 40% of the time since 2022[7]. With the outbreak of war in Ukraine, LNG prices rose globally due to the interconnection of gas markets. However, the increase has been much more pronounced in Europe due to the abrupt cut-off of part of Russia's pipeline supply and the use of less readily available LNG imports, which has raised prices dramatically. As a general guide, the additional cost to European consumers (households and businesses) can be estimated by comparing the trends of energy prices for European end consumers and American end consumers from 2022 onwards. Although gas and electricity price trends on the European and American markets during this period are also affected by local factors (the balance of the gas market in the United States, for example), the difference in price variations on the two markets is largely due to the 2022 energy crisis in Europe[8]. Therefore, we estimate that the additional cost of electricity and gas bills for European consumers (households and businesses) was equivalent to 4% of the EU's GDP in 2022, 3.3% in 2023 and 2.8% in 2024 (*Chart 3*).

In the EU's trade balance, the increase in energy imports for 2022 alone amounted to EUR 400 billion[9] (mainly due to higher gas prices). This amount accounted for 18% of the EU's extra-Community imports in 2021.

Significant gains generated by decarbonising the electricity mix

Since the implementation of the European Green Deal in 2019, the share of renewable energies (solar and wind) in the electricity mix has risen from 17% to 29%. Solar energy production capacity has tripled during this period, while wind energy capacity has increased by 37%. At the same time, hydroelectric capacity has remained stable, while nuclear power capacity has fallen by 13% (*Chart 4*).

The impact of geopolitical tensions on energy bills could have been even greater without the progress made in the low carbon transition. The decarbonisation of the electricity mix helped to limit the impact of the 2022 energy crisis on consumers' electricity bills. The European Commission estimates that European consumers will have saved EUR 100 billion (0.6% of GDP in 2023) between 2021 and 2023, thanks to the decarbonisation of the electricity mix.

5 Dutch TTF price.
6 Eurelectric, 2025, *Power barometer.*
7 Percentage measured by the proportion of hours during which the wholesale electricity price is higher than the marginal cost of electricity generated by gas-fired power plants.
8 We can see that while the difference in gas price volatility between the United States and Europe narrowed between 2015 and 2020 (standard deviation of 0.5 and 1.8 respectively over the period), it widened significantly between 2022 and 2025 (1.8 and 13.4 respectively). The same trend can be observed, albeit to a lesser extent, between the European and Asian markets.
9 Eurostat, 07/2025, *EU imports of energy products - latest developments.*

PRICE OF LIQUEFIED NATURAL GAS: PERSISTING GAP BETWEEN THE US AND THE EU

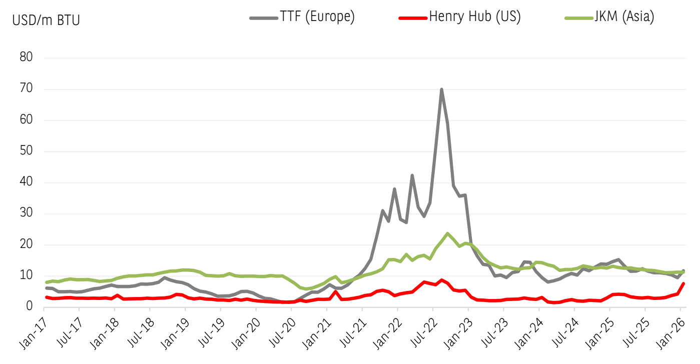


CHART 1 SOURCE: CEIC, BNP PARIBAS

EUROPEAN WHOLESALE ELECTRICITY PRICES LINKED TO GAS PRICES

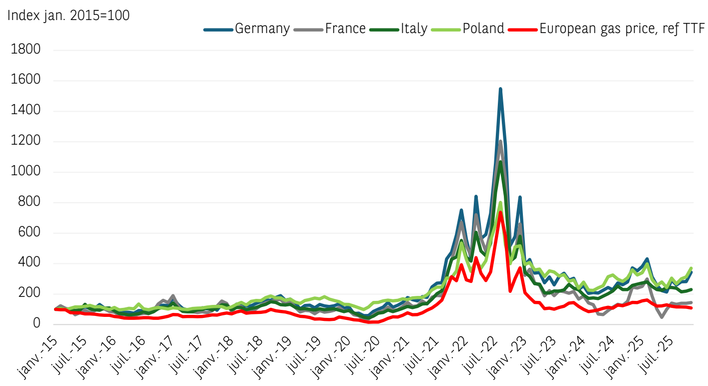
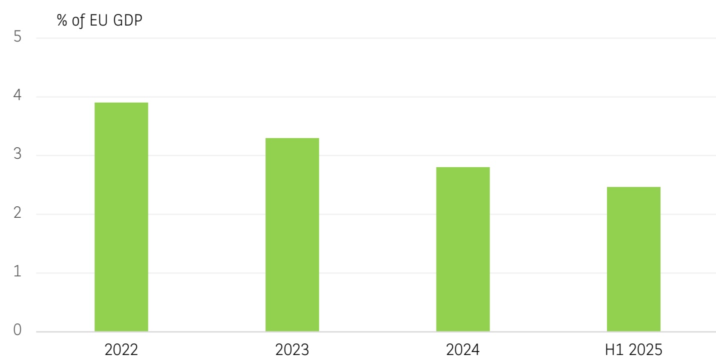


CHART 2 SOURCE: EMBER, CEIC, BNP PARIBAS

EUROPEAN ENERGY BILL: LASTING IMPACT OF RELIANCE ON THE RUSSIAN GAS



US vs. EU: Gap between energy bills with the same variation of electricity and gas prices

CHART 3 SOURCE: US EIA, EUROSTAT, IMF, BNP PARIBAS

PROGRESS IN THE DECARBONATION OF THE EUROPEAN ELECTRICITY MIX

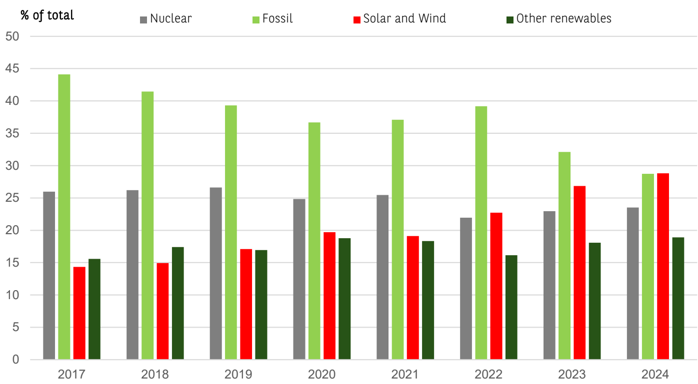


CHART 4 SOURCE: EMBER, BNP PARIBAS

In terms of the trade balance, according to EMBER estimates[10], the growth of renewable energies has reduced fossil fuel imports by EUR 59 billion since 2019 (EUR 53 billion for gas and EUR 6 billion for coal, the two fossil fuels used to generate electricity in Europe). According to our estimates, this equates to 12% of gas and coal imports for electricity generation and 2.2% of total gas and coal imports.

The macroeconomic dimension of the transition

According to the joint report by the European Commission and the International Renewable Energy Agency (IRENA)[11], the macroeconomic consequences of the transition will be very positive during the first phase of the transition (assumed to be between 2023 and 2030) due to an acceleration in investment (particularly in equipment); however, they will be less positive in subsequent years. Compared to a scenario of steady climate policy, the scenario aiming for decarbonisation to limit global warming to 1.5°C is estimated to result in an additional annual growth of around 2.5% in total for the European Union during the 2023–30 period. The main contribution would come from public spending (around +0.9%), principally in the form of direct government investment and, to a lesser extent, current expenditure stimulated by revenue from the carbon tax. The contribution from private investment (businesses and households) is slightly lower (+0.6%) due, in particular, to the decline in investment in the fossil fuel sector. The direct effects (mainly the widespread application of the carbon tax) and indirect effects (most notably, increased social spending on the poorest households) add around 0.6% to annual growth over the 2023–2030 period. Finally, the reduction in imports due to lower dependence on fossil fuels would add an additional 0.4% to annual growth.

These projections can be considered an upper limit in estimating the additional growth generated by the low carbon transition.

Three factors put the positive effects of the transition on growth into perspective. The widespread adoption of carbon taxes is still a sensitive political issue, despite gaining ground both within the EU (extension of ETS) and outside (gradual implementation of CBAM). Furthermore, offsetting price increases through additional social spending, financed by carbon tax revenues, is still hypothetical.

The effects of lower energy bills, linked to lower hydrocarbon consumption, should not be overestimated. This is because recent developments show that gas will continue to play a significant role during the transition period.

Energy sovereignty and transition: where do we stand?

The progress of transition and energy sovereignty programmes can be assessed by estimating the expenditure incurred, but this only provides a very partial view of the process. Examining the material developments is a more appropriate approach. Progress in the low carbon transition can be measured by changes in the energy mix and the electrification of energy uses. Import dependence and supplier diversity are indicators of energy sovereignty.

A delay in investment, particularly in the electrification of energy uses

Estimates of the gap between the investment needed and what has actually been achieved vary depending on the sources and scope considered. The European Commission's assessment, taken up by the ECB, is based on investments made during the 2011–20 period. It estimates the annual investment shortfall to stand at EUR 477 billion compared to the target of EUR 1,241 billion. Estimates based on more recent data from the Institute for Climate Economics (I4CE)[12] and on a different scope (excluding specific aspects of maritime, air and rail transport) put this gap at EUR 353 billion per year. Nevertheless, the diagnosis is the same: the residential and transport sectors have seen the most significant investment deficit. In total, around EUR 400 billion in annual investment is missing each year, accounting for 2.3% of the EU's GDP in 2023. For 2024, partial data from I4CE indicate a slowdown in investment efforts at a European level. While spending in the energy production segment remains stable compared to 2023 (+0.9%), spending in the construction sector (new builds and renovation) has fallen by 10.5%.

The NZIA programme's targets are too recent for it to be possible to estimate the initial results. The International Energy Agency's (IEA) projections for the 2022–2030 period (based on data from H1 2023) show a rather favourable trend in the share of European production capacity in total global capacity. In 2030, it could reach 11% for batteries (8% in 2022) and 36% for heat pumps (18% in 2022).

Considering only a limited number of key technologies[13], I4CE has established that, in 2023, investments in production capacity exceeded the NZIA programme's targets (EUR 14 billion, compared to a target of EUR 5 billion). Nevertheless, this positive development must be put into perspective. Approximately 90% of the investments recorded in 2023 relates to batteries.

However, fierce international and Chinese competition in this sector is weighing heavily on the short-term outlook. As a matter of fact, investment in battery manufacturing plants is expected to have fallen by 20% in 2024, mainly due to the postponement of decisions, while the production-capacity utilisation rate is declining sharply.

10 EMBER, 2025, *European Electricity Review*.
11 European Commission, 2025, International Renewable Energy Agency (IRENA); *European Union, Regional energy transition outlook*
12 Institute for Climate Economics (I4CE), 2025, *The state of Europe's climate investment.*
13 Wind turbines, solar panels, batteries, electrolysers and heat pumps.

Decarbonisation of the energy mix is well under way, but electrification of energy use is lagging behind

The European Commission identifies three main components of the low carbon transition: energy production (generation and grid), *i.e.* the energy mix; energy demand (residential, industry and agriculture); and transport, *i.e.* the electrification of uses. At a European level, energy generation and transport are key sectors in climate policy, as they each account for around 30% of total European greenhouse gas (GHG) emissions.

Decarbonisation: significant but uneven progress

The decarbonisation of the primary energy mix[14] has accelerated since 2019 with the development of renewable energies. These accounted for 22.3% of the EU's energy mix in 2024 (15.8% in 2019). The share of nuclear energy has remained virtually stable at 10%, while the reduction in the share of fossil fuels (68% of the mix) is due to the decline in coal and, to a lesser extent, natural gas. Nevertheless, from 2022 onwards, it is difficult to distinguish between the consequences of low carbon transition policies and economic or geopolitical cyclical circumstances, or the structural reduction in the energy intensity of European economies. This latter development mainly relates to gas consumption.

The amount of energy (measured in TWh) consumed by the EU has been falling since 2008 (-16% in total) and, according to the European Commission, the amount of oil (or oil equivalent) needed to produce EUR 1,000 of GDP (measured in 2015 reference volume) fell from 112 kgoe[15] to 96 kgoe between 2019 and 2023 (*Chart 5*).

Gas consumption has been affected by the European energy crisis caused by the interruption of most imports from Russia and the subsequent sharp rise in prices. Total gas consumption in the EU fell by an average of 6.4% per year between 2022 and 2024. In industry, consumption in the most gas-intensive sectors has not returned to its pre-crisis level; this may be due to cyclical factors (the decline in industrial production in the EU until the end of 2024) or more persistent factors, such as the replacement of European production by imports[16].

The decarbonisation of the electricity mix[17] is more pronounced than that of the primary energy mix thanks to strong growth in solar and, above all, wind generation capacity. The significant drop in the cost of solar equipment and, to a lesser extent, wind-power installations has encouraged major investment. As a result, around 80% of new energy-production capacity in Europe over the last decade has been renewable[18]. Renewable energies accounted for 42% of the electricity mix in 2024, and non-GHG-emitting energies (renewables and nuclear) accounted for 66%.

Electrification of energy uses is advancing too slowly

Progress in the electrification of energy uses is less notable than in decarbonisation. The electrification rate[19] stagnated until 2015, reaching 23% in 202320. It is slightly higher than the rate in the United States (22%), but well below the Chinese rate (around 30%).

EU27 RECORDS A STRUCTURAL DECLINE IN ENERGY INTENSITY

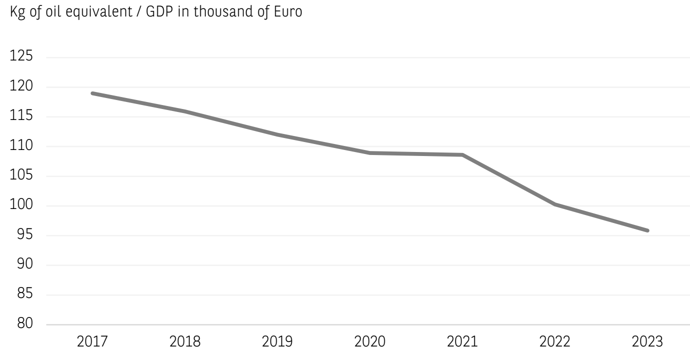


CHART 5 SOURCE: EUROSTAT, BNP PARIBAS

NEW REGISTRATION OF ELECTRIC VEHICULES (EU27): A REBOUND IS EXPECTED

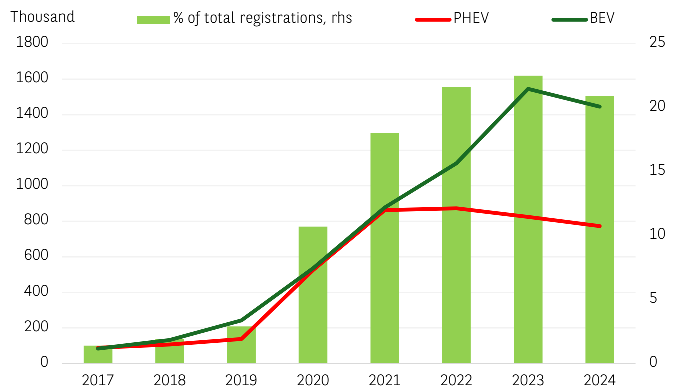


CHART 6 SOURCE: EUROPEAN ENVIRONMENT AGENCY, BNP PARIBAS

In order to meet European decarbonisation targets[21], the electrification rate will need to reach at least 30% by 2030 and then 50% by 2040[22], a twofold objective that seems difficult to achieve at present.

Electricity demand rose by only 1% in 2024 and remains 7% below its 2021 level. Part of this underperformance is linked to the high cost of purchasing electric vehicles and heat pumps for households. Heat-pump sales declined in 2023 and 2024, by 7% and 21%, respectively. The number of heat pumps installed in Europe reached 25.5 million units at the end of 2024, far from the target of 60 million by 2030 (RePower).

14 Energy Institute.
15 Kilogram of oil equivalent.
16 Losz A., Corbeau A.S., 2024, Centre on Global Energy Policy, *Anatomy of EU industrial gas demand drop*
17 EMBER, 2025, *European Electricity Review.*
18 IEA, 2024, European Union – World Energy Investment 2024 – Analysis - IEA.
19 % of electricity in final energy consumption.
20 Eurelectric, 2025, *Power barometer.*
21 International Renewable Energy Agency (IRENA), European Commission, 2025, *Regional energy transition outlook, European Union.*
22 European Commission, 2024, *Europe's 2040 climate target and path to climate neutrality by 2050 building a sustainable, just and prosperous society.*

New registrations of electric cars (battery and plug-in hybrids) fell by 6.4% in 2024[23] (*Chart 6*) due, in particular, to a reduction in budget support in France and its abolition in Germany[24], but sales appear to be picking up again in 2025. Indeed, the market share of these vehicles reached 24% in H1 2025, compared with 21% in 2024. In addition to the high purchase price, the limited number of charging points in Europe (Germany, France and the Netherlands account for 61% of charging points, but only 20% of the territory) and the lack and/or variability of public incentives are holding back the development of electric vehicles in the EU.

As with decarbonisation, the sharp rise in energy costs from 2022 onwards, due to the link between gas and electricity prices on the European wholesale market, has also slowed down the electrification of energy uses. More recently, the decline in gas prices has also slowed down the installation of heat pumps.

European energy sovereignty in the face of rising geopolitical risk

Persistent high dependence on fossil-fuel imports

For mainly geological reasons, Europe's dependence on fossil fuel imports is very high and relatively stable over time (*Chart 7*). Since 2000, oil consumption (measured in terms of final energy consumption) has been declining moderately (-2% per year on average), while the reduction in coal consumption has been accelerating since 2018 (-8% per year on average). Natural gas is the only carbon-based energy source which continued to see relatively constant useuntil 2022 (-0.2% per year between 2000 and 2021).

At the same time, dependence on energy imports has not fallen as rapidly as fossil fuel consumption (*Chart 8*); this is linked to the decline in European fossil fuel production. One of the most significant developments relating to carbon-based resources in the European energy mix is the acceleration in the decline in natural gas production since 2010[25]. Total gas production in Europe has fallen by 36% since 2010 (including -89% in the Netherlands, which accounted for around three-quarters of total EU production in 2010 and -47% in the United Kingdom, but +8.2% in Norway, which accounted for 57% of European production in 2024). Overall, despite the decline in consumption observed since 2022 (-19% between 2022 and 2024), these unfavourable structural developments are preventing a significant reduction in the EU's dependence on gas imports.

The total energy dependence[26] rate (which includes all components of the energy mix) has remained virtually stable since 2010, at around 57%. Gas dependence has risen significantly over this period, from 68% in 2010 to 90% in 2024. Europe wants to reach an average of 50% in 2030, which, in the absence of an increase in European fossil fuel production, will require a change in the energy mix. According to European projections, renewable energies as a whole should account for 28% of the primary energy mix in 2030 (22% in 2024, measured as a percentage of GAE[27]), with the adjustment being made through a reduction in the share of fossil fuels, based on the EU's assumption that the share of nuclear energy will remain stable over this period.

EU HYDROCARBON IMPORT DEPENDENCY RATE IS STABLE

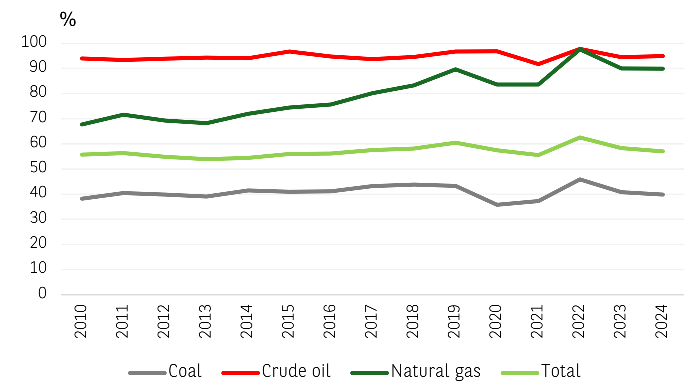


CHART 7 SOURCE: EUROSTAT, BNP PARIBAS

STEADY FOSSIL FUEL IMPORTS

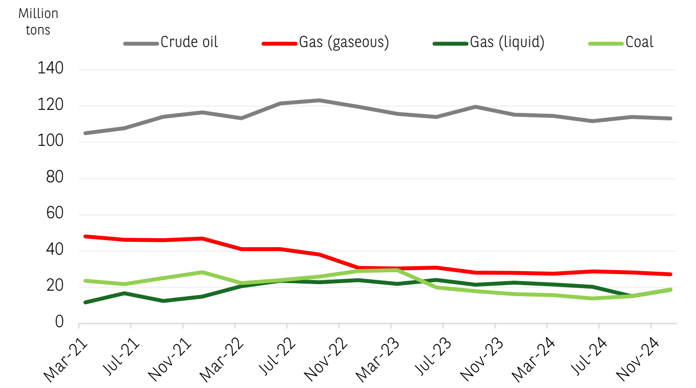


CHART 8 SOURCE: EUROSTAT, BNP PARIBAS

LNG imports: growing American dependence, but less sustained

Energy sovereignty, or even vulnerability, also depends on the diversification of supply sources and the exposure of these supplies to geopolitical risks. This dimension is reflected in the objectives of the European RePower programme, which aims to reduce dependence on Russian gas and, more recently, to halt imports completely by 2027.

European dependence on Russian gas has fallen sharply since 2022, dropping from around 50% of total gas imports until 2021 to 13% in the first half of 2025. The only remaining flows are from the Turkstream gas pipeline, which supplies some Eastern European countries, and LNG shipments. European demand, which was no longer being met by Russian gas, was mainly being satisfied by imports of American LNG (*Chart 9*). These have quadrupled since the end of 2021 and account for more than a quarter of European gas imports in 2025.

23 European Environment Agency, EEA.
24 Proutat J.L, 2025, BNP Paribas [2025: a pivotal year for electric vehicles in Europe](#).
25 Energy Institute, 2025, *Statistical Review of World Energy*.
26 Energy dependence ratio = (imports-exports) / gross available energy. Gross available energy is the total amount of energy available for all activities in a given territory; it is equal to: primary energy production + recycled and recovered production + imports – exports + stock variations.
27 Gross available energy.

EUROPE: AMERICAN LNG IS REPLACING RUSSIAN GAS

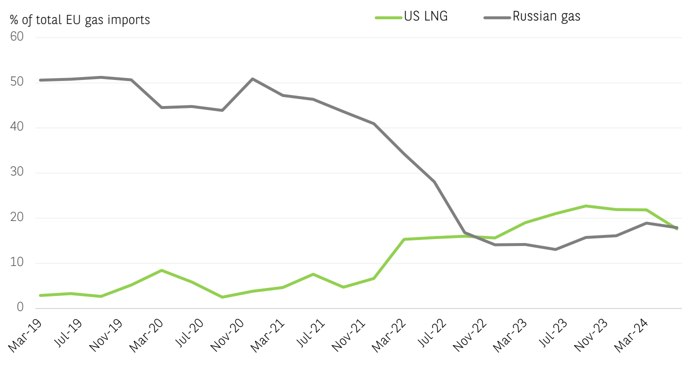


CHART 9 SOURCE: BRUEGEL, BNP PARIBAS

According to our projections for 2030, the risk of increased dependence on the American supplier is contained. So far, the reduction in gas consumption is in line with the objectives of the RePower programme. Even taking a more conservative scenario (the European Fit for 55 programme, which assumes a reduction in European demand of around 3% per year), we estimate that European dependence on US gas could remain high but is unlikely to increase between now and 2030, despite the halt to Russian imports from 2027 onwards. This is because the natural decline in the yield of European fields (EU, United Kingdom and, to a lesser extent, Norway) should be offset by increased imports from Azerbaijan from 2027 onwards. Furthermore, we assume that the volume of current LNG imports from outside Russia and the United States will remain stable. According to our estimates, US imports will peak in 2027. They will then account for around 74% of European LNG imports and 35% of total gas imports (compared with 63% and 28%, respectively, in Q3 2025). These proportions would fall to 70% and 31%, respectively, in 2030, thanks to a reduction in imported volumes. Therefore, if decarbonisation and electrification continue in the EU as envisaged in the Fit for 55 scenario, dependence on US LNG imports should decline, unless gas consumption falls less rapidly than expected.

That being said, the geopolitical risk associated with Europe's dependence on LNG imports is more moderate than the geopolitical risk associated with gas imports via pipelines. This is because LNG suppliers are relatively easy to replace, albeit with additional time and cost. Massive quantities of LNG are expected to come onto the market by 2030, mainly from Qatar and, to a lesser extent, Canada and sub-Saharan Africa, helping to diversify suppliers.

Europe has made real progress around the energy transition and sovereignty, but it is still uneven. While the decarbonisation of energy mixes is progressing, the electrification of energy use is advancing sluggishly. Less significant progress has been made on energy sovereignty, which is partly linked tounfavourable economic developments. Therefore, the overall picture is mixed, and recent developments have revealed new constraints, particularly technical ones. These could delay progress in both the transition and sovereignty.

TECHNICAL CONSTRAINTS SPECIFIC TO THE TRANSITION COULD DELAY PROGRESS TOWARDS SOVEREIGNTY

Differences in the pace and timing of the development of the various components of the transition are creating lags and bottlenecks. These are limiting the convergence between transition and sovereignty. For example, the delay in the electrification of energy uses compared to decarbonisation and the lag between the development of renewable energies and their integration into electricity systems can both slow down the transition and constrain sovereignty.

The integration of renewable energies into electricity grids is a source of new constraints

More frequent periods of negative prices

Beyond a specific proportion, the progress of renewable energies in the electricity mix is facing technical constraints that are slowing down their growth. These constraints are mainly due to the intermittent nature (throughout the year and during the day) of renewable electricity production, which reduces its flexibility, but also due to the insufficient electrification of energy uses. On the wholesale electricity market, higher production than demand is leading to increased price volatility and more frequent periods of negative prices, when producers must sell their surplus electricity at a loss.

In Europe, the number of hours when the price of electricity is negative has been increasing since 2022 and reached a record high in 2025 (*Chart 10*). Compared to 2024, this number doubled in Spain and was up 25%in Germany. Furthermore, higher electricity-production levels than the grid capacity may also be resulting in a deliberate reduction in production.

NEGATIVE ELECTRICITY PRICES ARE MORE FREQUENT

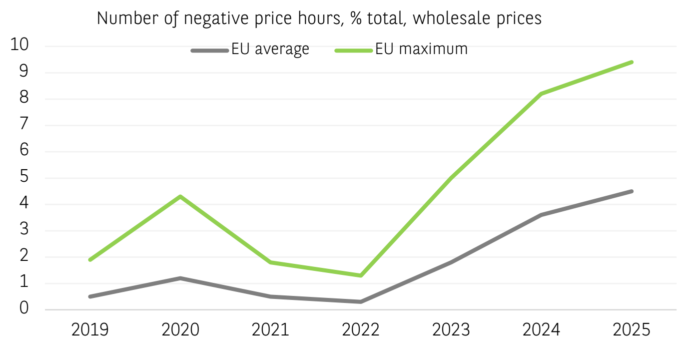


CHART 10 SOURCE: EURELECTRIC, BNP PARIBAS

These two factors – negative prices and reduced production – are undermining the economic model of renewable energy producers. Solutions do exist, but implementing them can be a long and complex process. Beyond technical solutions (such as introducing inertia into the system to limit variations in electrical frequency), the development of storage systems (BESS[28]) and the reinforcement of the capacity and interconnection of electricity grids can help to introduce renewable energies into electricity grids. The combination of solar-power generation facilities and a battery system provides clear economic gains for producers, as shown by the 50% increase in the price captured[29] for solar energy in Germany in 2024 (thanks to the combination of photovoltaic installations and batteries).

New electricity infrastructure is needed

A European effort is needed to develop stationary batteries

The roll-out of stationary battery systems is accelerating in Europe, but it remains insufficient. According to Eurelectric estimates[30], installed and announced stationary-battery capacity by 2030 would total 30.5 gigawatts (GW), half of what would be needed to ensure sufficient system flexibility. The European energy crisis has led to strong growth in the installation of stationary batteries (starting from a very low level, new installed capacity doubled every year between 2020 and 2023), but there has already been a slowdown since 2024 (+15% y/y). In 2024, Germany and Italy installed more than 60% of new storage capacity in Europe and now account for three-quarters of installed capacity. Globally, 3.8% of these battery capacities were installed in the EU, compared with 60% in China. According to Solar Power Europe's median scenario, the European grid-battery market is expected to grow sixfold by 2029.

At present, 90% of the European battery sector is focused on electric vehicles, a sector that is experiencing difficulties around underutilising production capacity. Globally, by 2024, lithium-ion battery cell production capacity increased by a third, but Europe (including the United Kingdom) only contributed 6.4% of this increase.

The long timeframe for adapting electricity grid

Electricity networks have become critical components in the transition process and, more generally, in adapting to new needs, particularly the development of data centres. While some equipment does not require significant investment or implementation timeframes (the European smart-meter penetration rate is currently around 65%, but the roll-out remains very unevenly distributed), the implementation of electricity networks that can meet new needs[31] is much longer and more costly, especially if it connects different national grids. As a result, taking into account all of the stages (design, rights acquisition and construction), the average development time for a network is more than ten years.

Furthermore, the production chain for the various components of the network faces specific pressures Firstly, the International Energy Agency points out that this sector is experiencing rising raw material costs (copper and aluminium). Secondly, European cable manufacturers are already operating at full capacity and their order books are full for the next few years.

Finally, labour market pressures in this sector and legal obstacles are increasing delays and costs. Around 40% of the EU's electricity network is over 40 years old, and the European Commission estimates that investment needs in this sector will amount to EUR 584 billion by 2030 (3.2% of EU GDP in 2024) and EUR 1,200 billion by 2040.

Expansion of data centres: a new challenge?

The development of data centres in Europe is another key factor to be taken into account in the essential development of the European electricity grid. Although the capacities deployed by these centres are much lower than those seen in the United States, a common problem of geographical concentration of investment – and therefore of pressures on the electricity grid – is emerging. Data centres currently account for 3% of European electricity demand (including the United Kingdom), and this demand is geographically concentrated in a few European hubs, known as FLAPD (Frankfurt, London, Amsterdam, Paris, Dublin). This concentration is disrupting the grid, particularly in Ireland, where data centres accounted for around 18% of the country's total electricity demand in 2025[32]. At a European level, a 2.5-fold increase in installed capacity by 2030 could increase the electricity demand of these centres by 170% compared to 2022.

Evolution of the European energy mix: gas has not had its final say

The growing constraints of integrating renewables into existing electricity systems are likely to help to sustain the share of gas in the European electricity mix, or even increasing it in some countries.

Changes in the relative costs of different energy sources

In the absence of sufficiently developed nuclear capacity, the role of gas is favoured on the basis of the need to maintain a specific proportion of dispatchable (flexible) energy in the electricity mix, and the high cost of integrated renewable energy/battery systems.

The IEA[33] has included the additional cost of integration in its calculation of the levelised cost of electricity[34] (LCOE): solar production unit-storage unit (VALCOE for "Value-Adjusted Levelised Cost of Electricity"). If we view a combined solar panel and battery installation as optimised to function as dispatchable energy[35], the levelised cost of electricity from solar power is, in this case, higher than that of gas-powered or nuclear power stations.

In principle, this type of oversized (and, therefore, more expensive) system is limited to certain industrial uses or data centres where the permanent availability of electricity is a key factor in the choice of energy supply. For less flexible systems, the levelised cost of solar power remains well below that of electricity generated by a gas-fired power station. This consideration of storage in the new levelised cost estimates excludes investments related to the necessary adaptation of the electricity grid. Lazard's estimates[36] are along the same lines.

28 Battery energy storage system.
29 The captured price takes into account the temporal correlation between the actual production of a given technology and hourly or daily fluctuations in electricity-market prices. It is calculated as the average of hourly spot prices weighted by the actual hourly production of the technology.
30 Eurelectric, 2025, Power barometer.
31 High electricity-transmission capacity and numerous interconnections due to the decentralised nature of renewable energies.
32 Eurelectric, 2025, Power barometer.
33 International Energy Agency, 2025, World Energy Outlook.
34 The levelised cost of energy corresponds, for a given energy production facility, to the total levelised costs of energy production divided by the amount of energy produced. It includes investment, financing and operating costs, including the purchase of fuel, if necessary. This levelised cost is a key determining factor of a facility's break-even point and therefore of the selling price of the electricity produced.
35 That is, with a load factor greater than 90% compared to an average of 15% in a European context. The load factor is measured, for a given system, by the ratio between the electrical energy actually produced and what it should have produced when operating at its rated power.
36 Lazard, 2025, Levelized cost of energy.

For systems combining solar generation and storage, the levelised cost ranges from USD 50 to USD 131/MWh, while for onshore wind, it ranges from USD 44 to USD 123/MWh. For a gas-fired combined-cycle power station, the levelised cost ranges from USD 48 to USD 109/MWh.

It is too early to draw definitive conclusions about the consequences of including storage capacity in the cost of renewable energy production[37]. Nevertheless, storage costs must be taken into account if we are to make progress in decarbonisation. The cost of renewable energy production could increase, thereby reducing the competitiveness of these energies compared to certain carbon-based energies.

The return of gas to the energy mix as a transitional energy source

This reassessment of the cost of solar energy production combined with a storage unit should be viewed in conjunction with medium-term gas price forecasts. The significant increase in global LNG production expected between now and 2030 could greatly increase the production surplus and constrain prices, particularly on the European market; the competitiveness of gas compared to other energy sources would then improve.

In a prospective study, the OIES[38] analysed the consequences of a sustained drop in the European gas price to USD 6 per million British Thermal Units (USD/m BTU), compared with the current price of USD 10.5/m BTU, on gas demand in Europe. In the short term, the prospects for increased use of gas to generate electricity remain limited. This is due to the roll-out of renewable energies and the share of nuclear power in the electricity mix. Only the decommissioning[39] of the last coal-fired power stations in Germany and Poland could lead to a (residual) increase in gas demand.

In terms of end uses, a sharp drop in gas prices would, in principle, have a limited effect on industrial production in sectors that are already heavy gas consumers. On the other hand, it could contribute to the continued use of gas in housing. In the longer term, gas could compete with the roll-out of offshore wind power, which is suffering from delays due to rising costs and regulatory and grid access constraints in particular.

The continuing role of gas as a transition energy (a role which it seemingly lost during the 2022 energy crisis due to excessive exposure to geopolitical risks) is clearly illustrated in Germany. Chancellor Merz's government very recently reached an agreement with the EU allowing it to allocate public support to building new gas-fired power stations (with a total capacity of 12 GW, or one-third of current capacity). The main justification for this increase in gas-fired electricity generation capacity is to provide a growing volume of dispatchable energy, Against a backdrop of rapid growth in renewable energies in the electricity mix. Of the 12 GW of planned capacity, 2 GW will be used for storage.

Two factors could therefore constrain both the progress of the low carbon transition and the progress of energy sovereignty: on the one hand, the additional delays and costs associated with the necessary increased flexibility in renewable electricity production and, on the other hand, the possibility of a gas supply surplus in the medium term.

Therefore, the continued use of gas in the electricity mix would be favoured on the basis of the need to maintain a proportion of dispatchable energy in the mix and its greater price competitiveness compared to other energy sources.

CLEAN TECHNOLOGIES: A VALUE CHAIN SUBJECT TO GEOPOLITICAL CHALLENGES

In recent years, rising geopolitical and geo-economic tensions (protectionist measures and technological warfare) have posed significant challenges to sovereignty objectives surrounding the clean-technology value chain. Critical materials are the subject of international agreements and are subject to trade restrictions. In addition, the Sino-American trade war, by limiting Chinese exports to the United States, is increasing the EU's exposure to Chinese export power in this area.

Access to critical materials: the need for a common European response

Critical materials, particularly rare earths, have taken on an obvious geopolitical dimension due to their growing use in the military, digital industry and cleantech sectors.

Reduced European sovereignty across the entire value chain

Materials with low substitutability

In the green-equipment value chain, critical materials have a particular strategic dimension due to their low substitutability – at least in the short term – and the geographical concentration of producing countries (raw or refined products). According to the IEA classification, the main critical materials as part of the low carbon transition are copper (electrification), lithium, nickel, cobalt and graphite (batteries). In addition, all rare earths are used mainly in the manufacture of perma-

CRITICAL MATERIALS: EUROPEAN IMPORT DEPENDENCY IS VERY HIGH

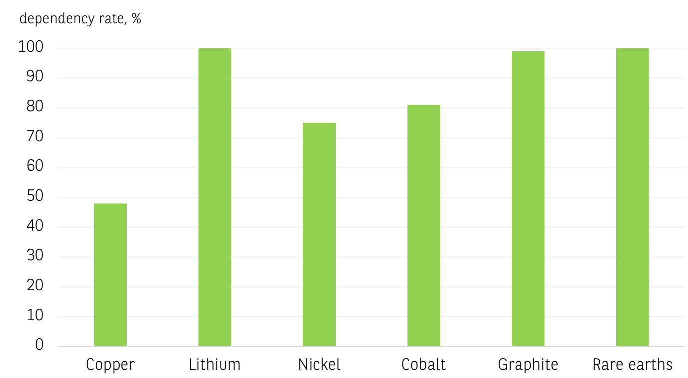


CHART 11 SOURCE: AIE, BNP PARIBAS

37 Levelised cost estimates that include storage capacity are highly sensitive to certain assumptions, such as the load factor of electricity generation units. This is the ratio between the energy produced over a given period and the energy produced during that period when operating continuously at rated power.
38 Oxford Institute for Energy Studies, 2025, *The Global Outlook for Gas Demand in a £6 World*.
39 Or exit from the energy production network.

nent magnets. Europe is very highly dependent on imports (*Chart 11*). Nevertheless, it should be noted that the strategic importance of critical materials is not directly linked to their weight in European external accounts. Therefore, European imports of lithium were slightly above EUR 1 bn in 2022 and those of rare earths below EUR 300 million, which are negligible amounts in total European imports of goods (EUR 2,230 bn in 2024). The European Commission establishes the substitutability of a material based on two criteria: supply risk (high risk of mismatch between supply and the needs of European industry) and economic importance (the material is crucial for the European industries that create the most value and jobs). Apart from copper, the substitutability of these materials is very low at a European level (*Chart 12*).

High concentration of refined-material producers

According to the latest IEA report, the geographical concentration of production of all materials (at the refined stage) has increased in recent years. In 2024, the market share of the top three refining countries was 86%, compared to 82% in 2020. Apart from nickel, with Indonesia accounting for 40% of global productionat the refined stage, China dominates all other material categories (extraction and/or refining), with a share of refined production exceeding 90% for rare earths, graphite and cobalt (*Chart 13*).

This dominance is particularly significant in two sectors where demand is currently growing very strongly: permanent magnets (essential for equipment in the low carbon transition, defence and data-centre sectors) and batteries (*Chart 14*). According to the IEA[40], in 2024, China produced 59% of the ore, 91% of the refined products and 94% of the magnets in the rare-earths value chain. In lithium iron phosphate (LFP) batteries for electric vehicles, which are currently fitted in half of all vehicles, China's dominance in extraction is limited, but it is very high in refining and subsequent stages. China's dominance in critical materials is the result of a policy of developing production capacity initiated about 40 years ago (particularly for rare earths), which is continuing to grow very rapidly. Indeed, over the 2021–24 period, China contributed to most of the increase in the production of refined materials for all critical materials.

Growing trade constraints

In this context, European production is relatively marginal (according to a geographical criterion): around 15% of global production at the refining stage for cobalt and copper, and less than 5% for nickel. External dependence is therefore very high. While it is relatively moderate for copper (around 50%), there is a complete external dependence for lithium, graphite and rare earths. This dependence is due to geology or a lack of processing capacity.

Europe's vulnerability is being exacerbated by the multiple trade barriers that typify the global market for critical materials. According to the OECD[41], global export restrictions[42] on industrial raw materials increased fivefold between 2009 and 2023. At a European level, during the 2021–23 period, 13% of imports (excluding the EU) of industrial raw materials faced at least one restriction. Over the 2021–23 period, trade restrictions affected more than 65% of global exports of cobalt, 45% of rare earths, 35% of nickel and around a quarter of copper exports.

CRITICAL MATERIALS: VERY HIGH EUROPEAN VULNERABILITY

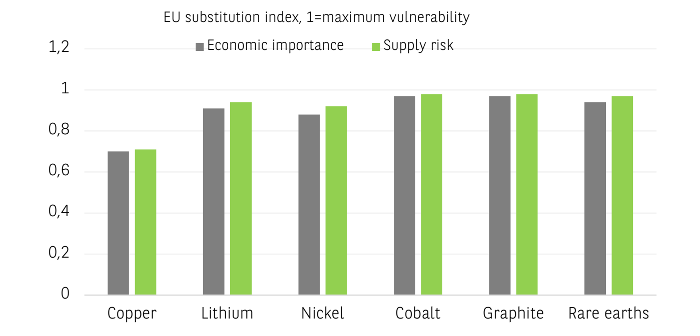


CHART 12 SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

CHINESE DOMINATION ON CRITICAL MATERIAL VALUE CHAIN

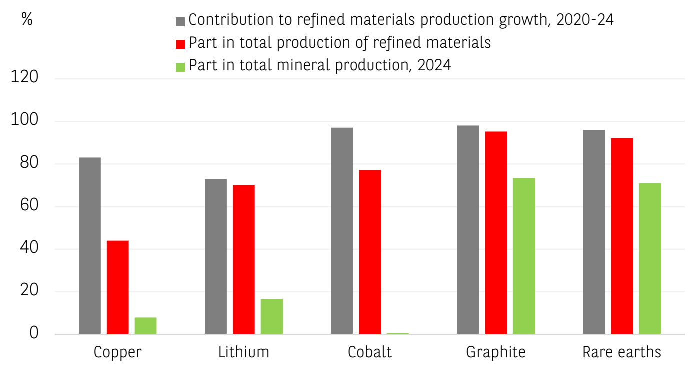


CHART 13 SOURCE: AIE, BNP PARIBAS

CHINA DOMINATION IN THE LFP BATTERIES VALUE CHAIN

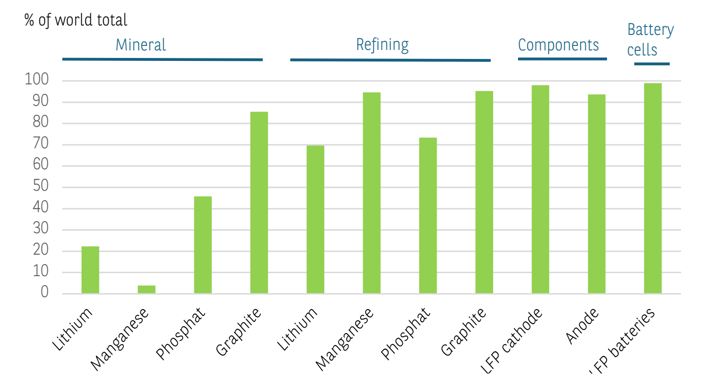


CHART 14 SOURCE: AIE, BNP PARIBAS

40 International Energy Agency, 2025, With new export controls on critical minerals, supply concentration risks become reality.
41 OECD, 2025, Inventory of Export Restrictions on Industrial Raw Materials.
42 These restrictions include bans, quotas and taxes affecting exports, as well as the imposition of export licences.

More recently, rare earths used in manufacturing magnets have been at the centre of significant geopolitical issues. The highly restrictive licensing system put in place by China has led to rationing. This is hampering the smooth running of production chains, in the European automotive sector, for example. Against this backdrop, the United States has implemented a series of measures aimed at strengthening the value chain for these materials. Several federal agencies have been mobilised to develop local production and storage capacities and to forge international partnerships. Taking a less sovereigntist and more economic approach, Canada and Australia are aiming to maximise the value of their mineral resources.

European access to critical materials: positive prospects in the medium and long term

There is as yet no sign of a reduction in European dependence on imports of critical materials, as China's dominance is overwhelming and the development of new capacities (mining production and materials processing) is taking time. The difficulties encountered in developing extraction of specific minerals, such as lithium and certain rare earths, are not so much due to the scarcity of the resource as to (regulatory or environmental) constraints or access to refining techniques (dominated by China).

However, there are a number of factors that suggest that Europe's dependence will at least partially decrease in the medium to long term.

We believe that the most important of the European actions implemented under ReSourceEU are the 47 strategic projects identified in the areas of extraction, processing and recycling of critical materials. Investment needs are estimated to stand at EUR 22.5 billion, and all projects are scheduled to be implemented by 2030. These projects cover 14 categories of materials and involve 13 EU countries. For example, for the NMC battery value chain, 17 projects have been selected in material extraction, 19 in material processing and 18 in material recycling. This should enable Europe to be involved across the entire value chain by 2030.

International partnerships have been established to diversify sources of supply for critical materials. Around 60 projects have been identified in 15 partner countries. In recent years, imports of these materials from Canada, Kazakhstan, Greenland, Chile and Namibia have increased in volume and value.

From 2026 onwards, based on the Japanese model of the Japan Organization for Metals and Energy Security (JOGMEC), a European centre for critical materials will be set up. It will be responsible for securing the supply of critical materials to European industry (in particular by building up stocks) and supporting strategic projects in critical materials.

Overall, the outcome of these programmes should help to develop European production capacities. However, it will only partially reduce Europe's dependence on imports.

Clean technologies: Europe has a role to play

A gradual roll-out

The issue of cleantech sovereignty is, in principle, less acute than for hydrocarbons, which depend on a continuous flow of raw materials, most of which are imported, creating long-term dependence. By contrast, dependence on cleantech imports only comes into play at the time of investment and becomes negligible over the lifetime of the equipment (around 30 years on average).

ACCELERATING CHINESE CLEANTECH EXPORTS TO THE EUROPEAN UNION

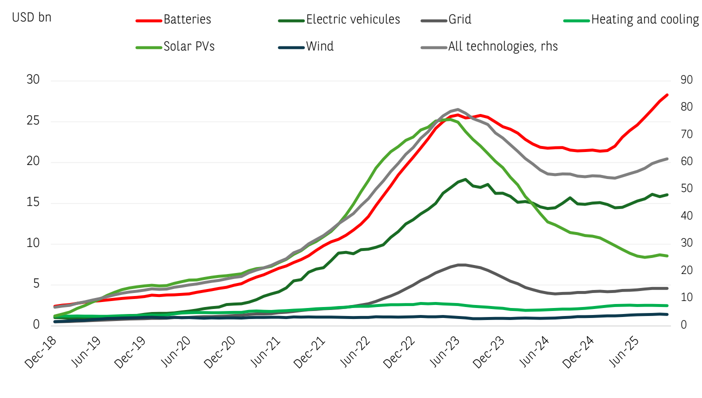


CHART 15 SOURCE: BRUEGEL, BNP PARIBAS

CLEANTECH: DECREASING EU TRADE DEFICIT

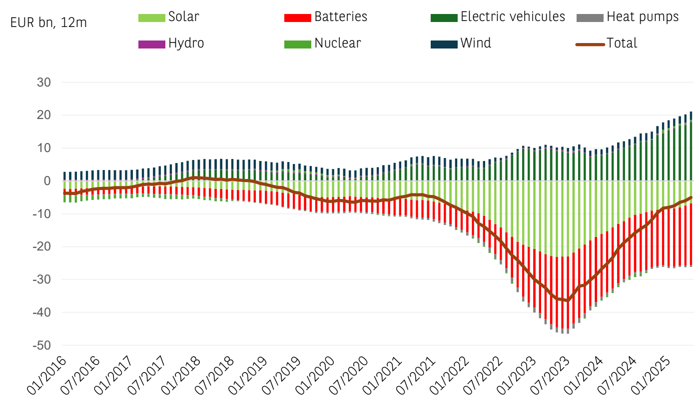


CHART 16 SOURCE BRUEGEL, BNP PARIBAS

Nevertheless, delays in the electrification of energy uses and the investments required to integrate renewable energies into networks entail massive and long-term expenditure on cleantech.

Furthermore, the escalation of trade tensions between the United States and China could run counter to the objectives of strengthening European production capacities (Chart 16). This is because China, which dominates the production and export of many of these technologies, has redirected part of its exports to Europe. These exports have risen sharply since the first half of 2025, driven by batteries and electric vehicles (*Chart 15*).

Three categories of equipment can be identified based on the level of market maturity and compliance with European objectives :

1/ Equipment related to the decarbonisation of the energy mix, for which the market is mature. This mainly includes equipment related to solar and wind generation. It has been rolled out on a massive scale for around a decade and has reached a roll-out rate that is relatively in line with European targets. Nevertheless, the pace of investment in this equipment must remain sustained in order to stay aligned with European transition targets.

2/ Equipment related to the electrification of energy uses, with its adoption lagging significantly behind European targets: electric vehicles and equipment related to the energy efficiency of residential buildings, mainly heat pumps.

3/ Finally, technologies that are essential for optimising the convergence between decarbonisation of the energy mix and electrification of energy uses: these are mainly electricity storage equipment (stationary batteries) and the development of electricity networks. There are significant development prospects in this area, but they are difficult to measure at present.

Strong European presence in wind power and overwhelming Chinese dominance in solar power

More than three-quarters of global photovoltaic-panel production capacity is concentrated in China. Furthermore, in 2023, China was Europe's leading supplier of photovoltaic systems (79% of total European imports). Europe's trade balance in the photovoltaic-panel segment is in deficit (*Chart 16*). However, this deficit has been narrowing since 2023 for two reasons: 1/ the European energy crisis of 2022 accelerated the installation of photovoltaic equipment, before slowing down in 2024; 2/ Chinese production overcapacity, the depreciation of the yuan and high public subsidies have caused prices to fall from 2023 onwards, and especially in 2024[43], leading to a decline in the value of imports. The difference in the cost of producing a solar module is 40% between China and Europe (50% compared to the United States).

The situation is more mixed for wind power equipment. In terms of finished products, China remains the dominant producer, with 60% of global capacity, but European capacity accounts for 16% (double that of the United States). This means that the EU only needs to rely on wind power imports for 3% of its needs. Furthermore, Europe has been a net exporter of wind technologies[44] since 2000. In this area, European dependence on China is higher up the value chain: 93% of the permanent magnets used in Europe are imported from China, with almost total European dependence as a result.

Europe has strong points for electrifying energy uses

The results are mixed when it comes to electric vehicles. Although China is undoubtedly the world's leading producer (70% of global production in 2024), There is significant electric car production, supplying both the domestic market and exports. Approximately 48% of production capacity is located in Germany.

Two other factors should be taken into consideration: public policies to support equipment, and taxes on imports of vehicles from China. In 2024, the European Commission imposed a tax on imports of electric vehicles powered by batteries manufactured in China, regardless of the nationality of the parent company. This tax, which can be as high as 35%, is a countervailing duty for aid received by Chinese producers and is leviedin addition to the pre-existing 10% customs duty. Furthermore, the construction of Chinese production plants in the EU is currently limited. This represents 2% of total Chinese production and 8.5% of European production. The European trade balance for electric vehicles (plug-in hybrids and full battery) has been positive since 2017, due to the significant development of this market worldwide. The 12-month surplus reached EUR 18 billion in May 2025, up 80% year-on-year.

43 Expressed in USD per watt, the average price of solar panels (equi-weighted average of different technologies) fell by 21% in 2023 and then by 45% in 2024. It is currently below the production costs of most Chinese manufacturers. Solar Power Europe, 2025, Reshoring Solar Module Manufacturing to Europe.
44 Including blades, nacelles, generators and towers.

CLEANTECH: LIMITED DECLINE IN CHINESE DOMINATION BY 2030

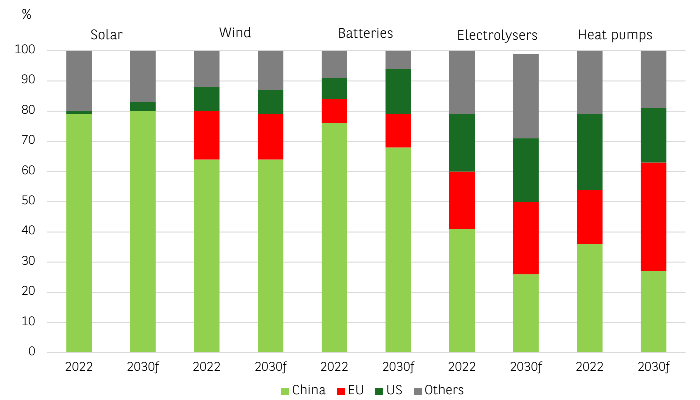


CHART 17 SOURCE: AIE, BNP PARIBAS

CLEANTECH: CHINA KEEPS ITS TECHNOLOGICAL ADVANCE

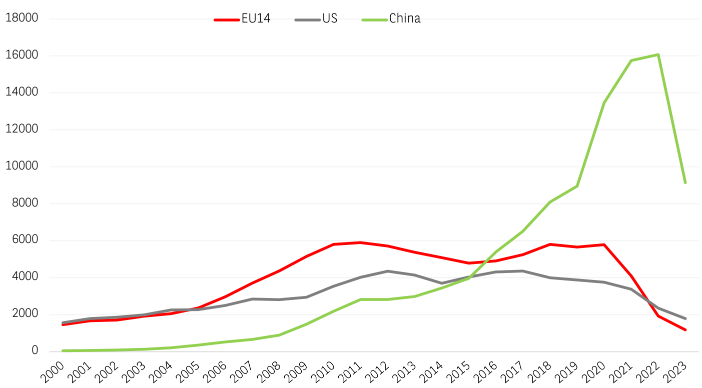


CHART 18 SOURCE: AIE, BNP PARIBAS

ASIA INDUSTRIAL BASIS IS THE MOST SUITABLE TO BATTERY INDUSTRY

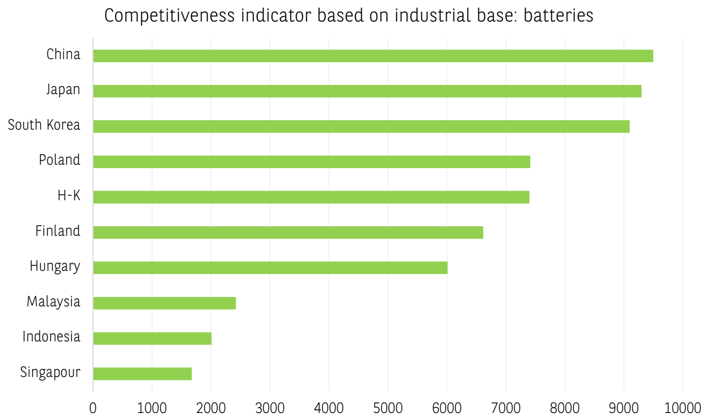


CHART 19 SOURCE: JOHNS HOPKINS UNIVERSITY, BNP PARIBAS

EUROPE KEEPS INDUSTRIAL ADVANTAGES IN THE WIND INDUSTRY

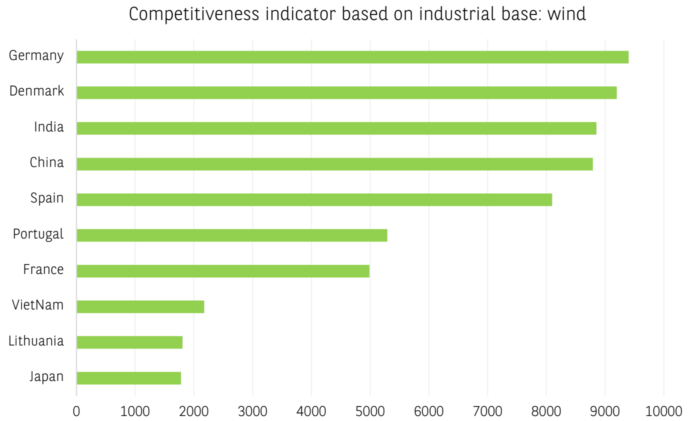


CHART 20 SOURCE: JOHNS HOPKINS UNIVERSITY, BNP PARIBAS

EUROPE HAS THE INDUSTRIAL CAPACITIES TO MEET RISING GRID NEEDS

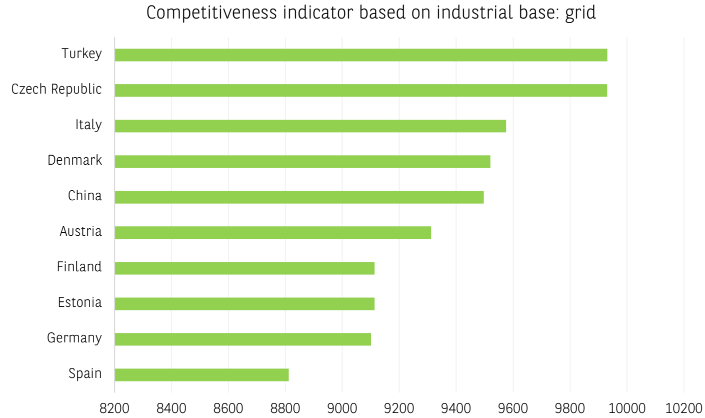


CHART 21 SOURCE: JOHNS HOPKINS UNIVERSITY, BNP PARIBAS

Furthermore, the EU is a net importer of heat pumps (58% come from China), but the trade deficit remains modest (around EUR 50 million over 12 months in May 2025).

Strengthening electricity networks: a necessary European priority

Among green technologies, batteries for vehicles and, above all, stationary batteries, which optimise the use of renewable energies in complex electricity networks, are the fastest growing market. The European trade deficit in this segment is significant standing at EUR 18 billion (over 12 months) in May 2025. There is a high level of dependence on China for finished products (50%) and an even higher level for anode chemical components (81%). However, Europe has significant production capacity. According to an estimate by Bruegel[45], European battery production capacity (at the finished-product stage) is equivalent to around two-thirds of demand and is 80% owned by South Korean companies.

On the other hand, the dependence rate for equipment needed for the electricity network is moderate and mainly concentrated in non-EU European countries (notably Switzerland and Norway).

Europe's cleantech potential is real

It should be emphasized that the shortfall in European production capacity in clean technologies is linked in particular to a very significant cost difference with Chinese competitors. It is not due to technological backwardness or a lack of control over the production chain. In terms of technology, according to the number of patents filed by the main European countries in the cleantech sector[46], Europe only began to lag behind China in 2017. Furthermore, the last two years seem to indicate that this gap is narrowing. In addition, the number of European patents was comparable to that of the United States until recently (*Chart 18*).

The Net Zero Industrial Policy Lab[47] has developed a model for ranking countries according to the correspondence between their industrial structure and the production chain required for developing of certain cleantech technologies[48] (*Charts 19-20-21*). For example, a developed chemical industry provides an advantage in the battery-production-capacity sector. This study shows that European industry has many strengths in this area. For certain technologies (wind power, heat pumps, electricity grids and batteries), several EU countries are among the ten best-placed countries in the world.

CONCLUSION

Three lessons can be drawn from this overview of the challenges around the convergence between the low carbon transition and energy sovereignty in Europe :

1/ While the European Union picture for the low carbon transition is fairly positive, particularly in terms of progress on decarbonisation, its impact on improving energy sovereignty is less clear at present. Whether in terms of the primary energy mix or the entire value chain for transition equipment, Europe's dependence on imports and concentration of major suppliers remains high. This dependence is expected to decrease in the medium term, but will remain high.

2/ Geopolitical tensions and the trade war between the United States and China since 2025 are posing challenges to the convergence between transition and sovereignty. Furthermore, they are making it difficult to achieve Europe's sovereignty objectives in terms of the cleantech value chain. New protectionist barriers are having a significant negative impact on European competitiveness in certain sectors. Furthermore, the trade and technology war has increased the strategic importance of critical materials and severely constrained the availability of some of them.

3/ Differences in pace (or lack of forward thinking) and timing in the development of certain stages of the transition are creating lags and bottlenecks.

45 Brugel, 2025, Europe has a solid basis for battery and electric vehicle manufacturing growth.
46 IEA study covering 14 European countries.
47 NZIPL from Johns Hopkins university, Country Industrial Base | The Clean Industrial Capabilities Explorer by Net Zero Industrial Policy Lab.
48 The sectors most relevant to the development of green technologies are electronics, machinery, industrial materials, minerals and metals, and chemicals.

These are also constraining the convergence between transition and sovereignty. Therefore, the delay in electrifying energy uses, compared to decarbonisation, and the lag between the development of renewable energies and their integration into electricity systems can both slow down the transition and constrain sovereignty. This is because they drive the use of hydrocarbons, mainly gas.

This question of pace is particularly sensitive, but difficult to answer. In a period of particularly intense international upheaval, both geopolitical and economic, the time needed for European decision-making and the even longer time needed for the low carbon transition pose challenges to the convergence between transition and sovereignty.

There are reasons for optimism. The EU has adopted a more proactive stance that could enable it to leverage its strengths for the low carbon transition. International partnerships are being established to reduce the vulnerability of value chains. Furthermore, the potential adoption of measures favouring European industrial suppliers could strengthen the convergence between the low carbon transition and energy sovereignty.

Pascal Devaux
pascal.devaux@bnpparibas.com

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

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